

IC-90

HUMAN RESOURCE MANAGEMENT

ACKNOWLEDGEMENT

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HUMAN RESOURCE MANAGEMENT

IC-90

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PREFACE

1. This study course on Human Resources Management has been prepared for the use of candidates appearing for the Fellowship examination of the Insurance Institute of India. The course can also benefit students pursuing this subject as part of their studies for examinations other than the Fellowship of the Insurance Institute of India.
2. The course deals with the principles and concepts relevant to the Management of Human Resources. These principles and concepts are uniformly applicable, regardless of the nature of business or industry. They may vary to some extent, between countries and communities because of factors relating to values and culture. In service businesses like insurance, the importance of managing human resources is a critical.
3. Human Resources are complex entities. They are not amenable to influence through any standard stimulus or intervention. They have skills. They have their own ideas as to what needs to be done and how. They are also subject to changes and developments in societal values, political compulsions, demographics, trade unions, technology, etc. Concepts from psychology, sociology and other social sciences would be relevant in understanding these complexities. This course will naturally be far from being a complete or comprehensive text. Students are advised to read other books or journals on the subject and try to gain wider knowledge of the subject.
4. The developments referred to in the last chapter on the Future were happening in March 2016, when this book was being written. By the time this book is published, maybe in a couple of months, new developments may have taken place, adding to or negating some of the existing ones. Those who are studying this book after a couple of years may find some of it obsolete. They may be familiar with and even practising the newer technologies and devices. That is the expected pace of change.
5. The book is written without recourse to jargons or too much theory. However, in view of the complex nature of the subject, students are advised to take the help of other students or other experienced seniors in their towns, for discussing and better understanding of the concepts in the book. This would provide better clarity.

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CHAPTER 1

INTRODUCTION TO MANAGEMENT SCIENCE

Chapter Introduction

This chapter deals with the concept of management and its evolution. In this chapter we will study about the evolution of different schools of management, the theories and the principles that evolved over a period of time.

Learning Outcome

- A. What is Management?
- B. Evolution of Management Thought
- C. Human Relations Approach and Social System
- D. System Approach

A. What is Management?

1. Introduction to management

Definition

- Management is an academic discipline, a social science whose object of study is social organization.
- It lays down the principles and concepts relating to the efficient and effective deployment of human resources, financial resources, technological resources, and natural resources to obtain the desired outcome/outcomes in organizations and businesses.

2. Evolution of management

Management, as a subject for study, is of recent origin; may have been developed during the last, about, a hundred and fifty years. But management had been practiced as long as human life had existed. We find references to management issues in ancient literature.

- a) One of the earlier works is the Arthashastra by Chanakya, also known as Kautilya and Vishnu Gupta, who lived between 350 BC and 275 BC and was a Professor in Taxila University and also adviser to the emperor Vikramaditya Maurya. The Arthashastra as well as the Chanakya Niti lay down precise rules relating to monetary and fiscal policies, security of the State, relations with other kingdoms, etc. as well as the responsibilities of the king for the welfare of the people.
- b) The magnificent pyramids of Giza in Egypt were built more than 4000 years ago over a period of nearly twenty years. The Kailasanath temple, among the Ellora caves near Aurangabad in Maharashtra, was carved out of a rocky hill between the 5th and 10th century. The Brihadeesawara temple in Thanjavur in Tamil Nadu was built 1000 years ago with stones collected from over 60 miles away with one 80 ton stone being carried to top of the temple using a ramp.

These massive structures, built to the specifications of designs visualised by some master designer, could not have been possible but for some persons directing the work of thousands of workers using principles of management in a practical way without knowing the theory's.

- c) Principles of management can also be seen in operation in some of the oldest uni-command organisations like the military and the Catholic Church.

3. Principles of management

Example

Let us consider the following scenario

Software upgradation in networked PCs in Branch Office

Besides the technical work involved in upgrading the system, effective change control will probably be the biggest challenge surrounding a software upgrade.

An Executive must be assigned the job of Change Control Management to the process and his role will include:

- i. Understanding the rollout plan in order to make sure everyone knows their role and responsibilities for the release and the rollout happens without glitches. (Objective)
- ii. Preparing a workflow to avoid problems in the operation (Planning)
- iii. Developing a clear precise communication plan mentioning the steps relevant to different stake holders including employees. Drawing and ensuring implementation of time lines (Responsibility).
- iv. Estimating the number of persons to be engaged in the task and the amount of money and other resources that may be required (Resources).
- v. Arranging and deploying necessary resources (Organising).

From the above it can be seen even a highly technical job at a unit-level also requires management/administrative support wherein management concepts like Objective, Planning, Responsibility, Resources and Organising are used.

4. Management science

As stated earlier,

Management is the science that deals with the principles and concepts relating to:

- the efficient and effective deployment of human resources,
- financial resources,
- technological resources,
- and natural resources

to obtain the desired outcome/outcomes in organizations and businesses.

Example

Various Businesses will have varied objectives and the activities will also vary depending on the nature of business.

- i. A Financial conglomerate will have activities relating to raising and deploying finances for earning profit.
- ii. A car manufacturing unit need to have a unit for manufacturing and assembling of cars.

In both the above examples Profit is the prime motive but activities are very different.

From the above, it can be seen Business organisations may have multiple and varied objectives. Each of these objectives would be using different kinds of resources and working on principles of management, which could be different.

a) Resources in management

Whatever be the objective of an organisation, it needs resources to achieve the chosen objectives. The resources are usually:

- i. Men,
- ii. Materials,
- iii. Machines,
- iv. Money and
- v. Minutes (Time)

These resources have to be managed if they have to contribute to the achievement of the objectives. Each of these resources will have to be managed differently. Appropriate principles and concepts have been developed as to how each of these resources must be managed.

b) Human resource

The expression 'human resource' refers to People. It is the most critical resource in an organisation. The utilization of all other resources depends on this resource. None of the other resources can achieve anything by themselves. They will contribute only in the manner that they are utilized by the people handling them. It is also the most difficult resource to manage. They have their own identity and ideas as to what needs to be done and how it needs to be done. They have skills, which may be unique. For these and many other similar reasons, the management of Human Resources is of crucial significance in every organisation.

5. Management: Science or Art

Management is not a pure science like Physics or Mechanics, which lay down clear predictable relationships between input and output or stimulus and response. When heat is applied to water and the temperature reaches 100°F, the water will boil and become steam. But sciences like economics or psychology or meteorology do not lay down such predictable outcomes. They suggest possibilities. There are too many factors in any given situation that interact with each other, that it becomes difficult to predict the outcome accurately.

Painting has rules. So has music. These are taught in schools. But painters and musicians often digress from the rules and create totally new effects which become the identity of their outputs and also add to the dimensions of the rules that are taught. They are artists. Art allows them the freedom to move away from the rigidity of the rules.

Those practicing Management also will have to make decisions that do not conform entirely to laid down principles, because of the way they see the situation. Thus, we may say that management is both a science and an art. The practice of management is an art but the body of knowledge on which managers depend for their actions, is a science.

Test Yourself 1

Which of the following is / are considered as resource/s in management?

- I. Men
- II. Materials
- III. Machine
- IV. All of the above

B. Evolution of Management Thought

The practice of management has been in evidence right from the time human beings joined together to carry out various activities. However, the development of a theoretical framework of management came about only with the industrial revolution in the UK and the USA in the late 18th and 19th centuries. As industrialization and international trade and commerce developed, the need for the systematic study of managerial aspects became evident. Some thinkers and analysts tried to synthesize the observations they made and the knowledge they gained and put forward what are known as different approaches to management or different schools of management

thought. The main schools of thought which helped in developing management science are the following:

- i. Max Weber's Ideal Bureaucracy Theory
- ii. Taylor's Scientific Management Movement
- iii. Administration Theory
- iv. Human Relations Approach
- v. Systems Approach
- vi. Contingency Approach

1. Max Weber's Ideal Bureaucracy Theory

One of the earliest writers on management was Max Weber (1864 - 1920). He was a German professor in sociology. In his book titled, 'The Theory of Social and Economic Organisation', Weber described a formal organisation as a 'Legal - Rational' system based on precisely defined and organized 'across-the-board' competencies of various offices and individuals. He called such a system a Bureaucracy.

- a) The essential components of a formal bureaucratic organisation, as described by Weber, are
 - i. **Division of labour**, meaning that at every level and position, the tasks to be performed are to be clearly determined and defined which is termed as Task Specialization.
 - ii. **Hierarchy of positions**, meaning that the chain of command (Authority) is clearly defined and understood along with Responsibility and Accountability at every level
 - iii. **Formal Selection**, implies the employees are selected on criteria like qualification expertise experience etc. Employee is paid on the basis of position occupied and he has no ownership in the company
 - iv. **Uniformity of rules** relating to conduct and discipline, which would apply uniformly to everyone.
 - v. **Impersonality**, meaning that individual personal considerations would not apply when dealing with work and people. Recruitment, placements and promotions will be based on prescribed qualifications.
 - vi. **Primacy of merit** meaning people will occupy high positions by virtue of their competence and not their political or social contacts.

The Weber's system of Bureaucracy has advantages and disadvantages due to the above characteristics.

The advantages are:

Impersonality, not whims of individuals

- i. Hierarchy of positions representing tasks of different kinds
 - ii. Rationality which not only emphasizes Impersonality, but requires written records being maintained to make known the basis of actions and decisions
 - iii. Procedures to be laid down and followed
- a) The disadvantages are, the term 'Bureaucracy' has acquired a rather derogatory connotation indicating a large, unwieldy organisation full of delays and red tape. No innovation and initiative. Less employee involvement.
 - b) To sum up for larger established Organization the Bureaucratic system helps the organisation to function smoothly albeit slowly. Gives Job security and sufficient expertise to do a particular job or jobs to the employees. A new employee fits into the system fast due to laid down procedures and rules.

In case of new age organizations like start- ups all factors of Bureaucracy cannot be made applicable but few of them are still required to impart stability.

2. Taylor's Scientific Management Movement

The year 1911 marked the beginning of a new school of management thought which became famous under the name of 'Scientific Management'. This school of thought was developed by Frederick W. Taylor (1856 - 1915) who was a mechanical engineer. He was also probably the first management consultant to be employed by a factory. His mantra was that there should be complete harmony between management and the workers.

In his testimony before a Special Committee of the House of Parliament on 25th January 1912, Taylor said that "scientific management was not a bundle of efficiency devices, or a system of fixing costs and determining piece work wages, or a system of paying bonuses, or a method of holding stop watches over man and writing down things about them; not even a study of the movement of men, **but a system to bring about a mental revolution on the part of the workmen towards work and management, as also to revolutionize the management's understanding of their duty to workmen.** Both would strive to increase surplus instead of bothering about how to divide surplus."

Taylor applied engineering principles to study work done in factories and find ways to improve efficiencies. He began to experiment with the methods of doing work and found that changes in methods would increase the outputs per worker with reduced effort and therefore help the worker to improve his wages.

Example

The angle at which the shovel is held and moved could lift a larger quantity of material with lesser use of energy.

Taylor observed that, in spite of accelerated industrial development, workers were experiencing monotony, boredom and fatigue. They were not satisfied with the wages that they thought were low. Taylor thought of introducing the piece-rate systems whereby wages were related to quantum of work done. He began to provide proper training to workers. He attached great importance to proper job selection, placement and training so as to get maximum advantage of each employee's potential.

His efforts to scientifically define the standard for a full day's output became the beginning of scientific management. Taylor book published a book in 1911 entitled, 'Principles of Scientific Management'.

Taylor's idea of scientific management was based on the following principles:

- a) Every job must be understood in terms of time taken and process. This became the subject of 'Time and Motion' studies.
- b) Time and Motion studies should be the basis for comparing jobs to decide on wages and qualifications required for recruitment, replacing 'Rule of Thumb' methods.
- c) Workers should be given detailed instruction on how to do the work and also supervised closely to avoid waste of resources.
- d) Workers should be given proper training and helped to grow instead of leaving it to themselves to learn on their own

Scientific management brought about a revolution in thinking about jobs and workers. It was possible and necessary to understand ways of doing a job for better productivity and earnings for the workers, by observing the effects of changes in the methods of operations. It laid emphasis on improving productivity by increasing the ratio between output and effort.

This approach gave a fillip to the concept of study of work and in course of time, found application even in offices where the work done was not manual. The focus of such studies shifted also to conditions of work like ventilation and lighting as well as layout of work places as all of them had effects on productivity.

However, Taylor's concepts looked at the human being as a factor of production like a machine, focusing only on self-interest and financial incentives alone. The awareness that the human being was different from a machine emerged only by

the 1930s leading to the Human Relations School, which will be explained later in this chapter

3. Administration Theory

Henri Fayol (1841-1925) a French industrialist, based on his experiences of managing a mining company, put forward the first theory of general management which came to be known as the Administration Theory. In 1916, Fayol enumerated fourteen principles of management. Fayol's contribution was broader than that of Taylor. Fayol's fourteen principles are comprehensive and embrace almost the essentials of all the functions of management. The fourteen principles are

a) Division of Work

Workers should, at all levels, be specialized in specific tasks. This will ensure better ability, confidence and accuracy which will, in turn, improve output both in numbers and in quality. It will also enable reduction in the number of objects to which attention and effort must be directed. Change of work requiring different skills will require adaptation and therefore, can cause reduced output.

b) Authority and Responsibility

Authority is the right to give orders. Whoever gives orders is responsible for the results of those orders being carried out. Thus authority and responsibility go together.

c) Discipline

Every member in an organisation is required to respect and abide by the rules of conduct and of work processes. This implies that the rules are fair and also that penalties for transgression are clear and uniformly applied.

d) Unity of Command

A person should receive instructions from only one superior. Otherwise authority will be undermined and discipline likely to be threatened.

e) Unity of Direction

This means that the operations in organisation must all have objectives which are moving in the same direction and not in conflict with each other.

f) Subordination of Individual interest to the Common Good

The interests of individual interests should not get precedence over the interests of the organisation as a whole.

g) Fair Remuneration

Fayol suggested that fair remuneration would recognize cost of living and business conditions, rewarding exceptional efforts, using job rates, bonuses, profit sharing and other methods.

h) Centralisation

This refers to the extent to which the decision making powers are retained at the higher levels of the hierarchy (centralized) or delegated to the lower levels of the hierarchy (decentralized). The optimum levels would depend on a number of factors including the nature of the business and the experience of the personnel involved.

i) Scalar Chain

There should be a clear chain, or scale of supervision from the bottom to the top. This chain would decide the flow of authority and communication. This principle reinforces the 'Unity of Command'

j) Order

There must be a place for everything and everything must be in its place. Processes must be put in place to avoid both system errors and human errors

k) Equity

Managers should be fair in their decisions and treatment of subordinates.

l) Stability of tenure of personnel

Efficiency is promoted by a stable work force. High employee turnover undermines efficiency.

m) Initiative

Within the limits imposed by respect for authority and for discipline, subordinates must be free to think and carry out their plans.

n) Esprit-de-Corps or Union is Strength

This emphasises the need for team spirit, morale and harmony.

Fayol's fourteen principles represent the first attempt at a complete theory of management and included the basic management functions of planning, organising, staffing, leading and controlling.

Henri Fayol is often referred to as the 'Father of modern management theory', because he recognized management as a separate industrial activity, distinct from others, like technical, commercial, financial, security and accounting. Many of the basic principles are still valid after several decades of experience. In fact, some of them are being rediscovered.

The works of Taylor and Fayol are essentially complementary. Both believed that proper management of personnel and other resources was the key to industrial success. The major difference in their approaches centered on their orientation. Taylor's perspective concentrated at the operative level. Fayol spent most of his time in executive positions and had more of a top-management perspective.

C. Human Relations Approach and Social System

1. The early theories concentrated on the structure and tasks of the organisation. Both Taylor and Fayol had recognized the human factor. Taylor tried to link the individual to the machines and recognized fatigue, rest periods and physical capabilities as relevant. Fayol had recognized kindness, justice, morale, teamwork, etc. But both were concerned with productivity and efficient task performance and studied the individual to the extent he contributed to task.

Towards the late 1920's Elton Mayo (1880 - 1949) along with Roethlisberger and other colleagues conducted extensive studies at the Hawthorne plant of the Western Electric Company in the USA to ascertain the effect of physical aspects like light, ventilation and temperature on the output of workers. Their work was based on Taylor's concepts relating to effects on work and productivity. The conclusions were surprising. The variations in work outputs following changes in ventilation and light conditions were not as expected. Careful observations brought to light that emotional factors influenced productivity more than physical, environment factors.

During their experiments between 1927 and 1932, Mayo and Roethlisberger found that the output of work did not conform to the anticipated patterns when working conditions were altered. Work output improved when lighting was reduced as well as when lighting was increased. Further probing revealed that the morale and output were affected by factors other than working conditions.

Their studies also found that informal work groups had significant impact on workers' productivity. Group standards and sentiments were more important determinants of a worker's output than wage and other incentive plans.

The researchers learnt that the attention paid to workers had a greater effect on productivity than improvement in the physical aspects. These findings helped in focusing on the feelings and attitudes of workers. It was seen that people are ruled by emotions and feelings. Workers are social beings and are prone to influence by peer groups. Attitude to work is

influenced as much, if not more, by social interaction than economic incentives or working conditions.

2. Thus, a new concept came to be recognized as important in the work place viz., the social system. The Hawthorne Studies of Mayo and his colleagues gave rise to the Human Relations Approach to Management.

The Human Relations Approach asserted that the person at work was a bigger and different entity than the performer of a task. The individual brought to the work place his entire complex personality, including his emotions and need for social relationships and these affected the work which he performed. Social relationships (belonging to a group) was one such factor.

In addition to the technical system that included machines and workflow, there also existed in organisations, social systems developed through the interaction of the individuals. Effective management had to concern itself with the social systems. Behavior in organisations had to be studied as a separate discipline.

3. The Human Relations approach made the following important contributions to management thought:
 - i. Organisations are social entities in addition to being technical entities.
 - ii. Rational economic assumptions about human behavior were inadequate to explain behavior at work.
 - iii. Informal work groups exist in organisations, with affiliations different from the formal work groups
 - iv. The understanding of informal work group culture is crucial to understanding behavior of workers at work
 - v. Productivity is intimately related to workers' satisfaction
 - vi. Workers' motivation is not based merely on economic considerations, but sentiment and need for social affiliation also play important roles.
 - vii. Workers' participation is important especially in communication and decision - making
4. The Human Relations Movement (HRM), triggered off an entirely new branch of study called Organizational Behavior (OB). Yet the concepts developed by Weber, Taylor and Fayol cannot be considered irrelevant, in modern times.
5. Ways to improve clerical activity and office efficiency can be done through principles of Time and Motion study, developed by Taylor. Ergonomics, looking at relationships of human body to work, thereby helping designs of office furniture and instrument panels in aircraft cockpits, etc is an

extension of Taylor's methods. Increasing globalization, the need for transparency as well as fairness to consumers, will require systems guaranteeing uniformity and consistency that bureaucracy seeks to establish.

D. Systems Approach

The approaches to management discussed so far considered the organisation as an independent entity. As the complexity of organisations increased, it was realized that no organisation is independent, but is affected or influenced by the environment within which it functions. The environment consists of others in the same business or industry, the rest of the economy and the policies that govern it, the society at large and so on. Similarly, the various parts (departments and elements) of an organisation interact with each other and are affected and influenced by each other. The systems approach seeks to understand the dynamics of such interactions of the parts of a system and the whole of it.

A 'system' is an organized unitary whole, comprising of two or more inter-dependent parts or components, called subsystems.

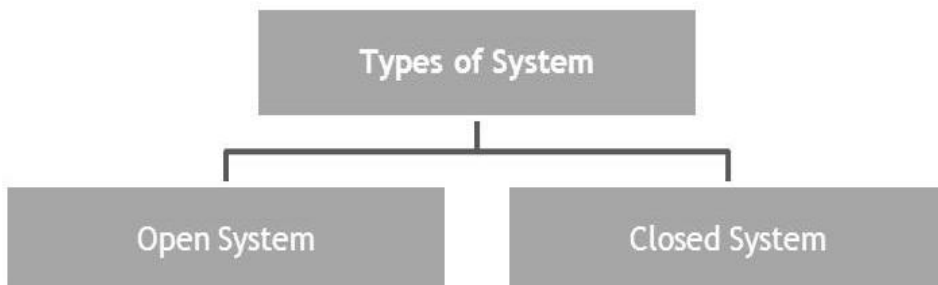
In other words, a system is a combination of subsystems that acts as a single entity rather than as a mere collection of individual parts. Each part influences and is influenced by every other part in the system.

- a) By way of analogy, one may think of the human body. The body functions as a result of the coordinated efforts of its various parts like the nervous system, the digestive system, the respiratory system, etc. Each of these parts have organs and structures performing separate tasks that together ensure proper responses (nerves), digestion, intake and distribution of oxygen, etc.
- b) Each of these subsystems is dependent and related to each of the other subsystems. Unless these subsystems function in unison, the end result is the mal-functioning of the total system viz. the body. The body as a whole is a different entity (a person) and not merely a summation of the individual systems. The behavior of the entity (body) is a resultant of the function or the behaviors of the individual parts or subsystems and their interactions. Likewise, the work of an organisation is organized through the creation of several departments and sections. An organisation is a system with many subsystems and is also a subsystem within a bigger system, which is the society.
- c) A system has several parts which are dynamic, inter-related and inter-dependent.

Example

- i. The quality of play in a football match is influenced by the spectators, whose behavior (enthusiasm or disgust), in turn, is influenced by the quality of play.
 - ii. A musician feels encouraged to put in a better effort when the audience is knowledgeable and appreciative of the performance. The performance of a musician is a function not only of his skills but also of the nature of the audience in whose presence the performance is happening. The behavior of an element affects the whole.
 - iii. This is so in a classroom and in an office. The customer influences the behavior of the counter clerk and vice-versa. In the human body, if there is a small boil in the little finger causing pain, the mind may become sluggish, the appetite may be affected, and concentration will become difficult.
- d) A system may be a closed system or an open system.

Diagram 1: Types of System



i. Closed System

A closed system has little contact with the outer environment.

Example

A clock is a closed system having little interaction with the environment outside it. It keeps on doing its work, regardless of what happens in the room in which it is.

The refrigerator is also a closed system.

ii. Open system

An open system receives inputs from the environment, transforms the inputs into outputs and sends the outputs to the environment.

An organisation is an open system. It receives inputs like people (which will include their skills), capital, materials, equipment's as well as information from outside for being converted into outputs to be sent out to the outside environment. Outputs would be products, services, profits and satisfactions. An organisation, when viewed as an open system, makes it more complex and therefore, more difficult to comprehend.

The Contingency Approach

Arising out of the systems approach, management theorists came to believe that there was no one best way of structuring organisations and that what is appropriate in one situation may not necessarily be so in another situation.

According to this approach management science considers that management is a complex process and that there is no single approach to management matters. This is known as the contingency approach and this approach is still being refined so as to be of help in designing organisations to be more and more effective.

Test Yourself 2

_____ means that the chain of command should be clearly defined and understood along with responsibility and accountability at every level.

- I. Division of labour
 - II. Hierarchy of positions
 - III. Uniformity of rules
 - IV. Primacy of merit
-

Summary

- a) Management is the science that deals with the use of resources in an organisation in order to achieve the purposes of the organisation.
- b) Whatever be the objective of an organisation, it needs resources to achieve the chosen objectives. The resources are usually
 - i. Men,
 - ii. Materials,
 - iii. Machines,
 - iv. Money and
 - v. Minutes (Time)
- c) The expression Human Resource refers to People. It is the most critical resource in an organisation. The utilization of all other resources depends on this resource.
- d) The main schools of thought in the evolution of management science are the following:
 - i. Max Weber's Ideal Bureaucracy Theory
 - ii. Taylor's Scientific Management Movement
 - iii. Administration Theory
 - iv. Human Relations Approach
 - v. Systems Approach
 - vi. Contingency Approach
- e) Max Weber, in his book titled, 'The Theory of Social and Economic Organisation' described a formal organisation as a 'Legal - Rational' system based on precisely defined and organized 'across-the-board' competencies of various offices and individuals. He called such a system a Bureaucracy.
- f) The essential components of a formal bureaucratic organisation, as described by Weber, are
 - i. Division of labour
 - ii. Hierarchy of positions
 - iii. Uniformity of rules
 - iv. Impersonality
 - v. Primacy of Merit

- g) The school of management thought which became famous under the name of 'Scientific Management', was developed by Frederick W. Taylor (1856 - 1915).
 - h) Taylor's idea of scientific management was based on the following principles:
 - i. Time and Motion studies should be the basis for comparing jobs to decide on wages and qualifications required for recruitment, replacing 'Rule of Thumb' methods.
 - ii. Workers should be given detailed instruction on how to do the work and also supervised closely to avoid waste of resources.
 - iii. Workers should be given proper training and helped to grow instead of leaving it to themselves to learn on their own
 - i) Henri Fayol (1841-1925) a French industrialist, put forward the first theory of general management which came to be known as the Administration Theory. In 1916, Fayol enumerated fourteen principles of management.
 - j) Fayol's fourteen principles represent the first attempt at a complete theory of management and included the basic management functions of planning, organizing, staffing, leading and controlling.
 - k) The Human Relations Approach asserted that the person at work was a bigger and different entity than the performer of a task. The individual brought to the work place his entire complex personality, including his emotions and need for social relationships and these affected the work which he performed.
 - l) The Human Relations Movement (HRM), triggered off an entirely new branch of study called Organizational Behavior.
 - m) The systems approach saw an organisation as a system, with many subsystems and as also a subsystem within a bigger system, which is the society.
 - n) Contingency approach of management science considers that management is a complex process and that there is no single approach to management matters.
-

Key terms

- a) Administrative Theory
 - b) Authority
 - c) Bureaucracy
 - d) Complex Personality
 - e) Contingency approach
 - f) Division of labour
 - g) Hierarchy
 - h) Human Relations
 - i) Impersonality
 - j) Organizational Behavior
 - k) Procedures
 - l) Rationality
 - m) Resources
 - n) Responsibility
 - o) Scientific Management
 - p) Social System
 - q) Systems and Sub systems
 - r) Time and motion study
-

Answers to Test Yourself

Answer 1

The correct option is IV.

Answer 2

The correct option is II.

Self-Examination Questions

Question 1

Who is known as the father of scientific management?

- I. Max Weber
- II. F W Taylor
- III. Henri Fayol
- IV. Henri Ford

Question 2

“A person should receive instructions from only one superior”. This is known as principle of _____

- I. Order
- II. Scalar chain
- III. Unity of direction
- IV. Unity of command

Question 3

“There must be a place for everything and everything must be in its place”. This is known as principle of _____.

- I. Order
- II. Scalar chain
- III. Unity of direction
- IV. Unity of command

Answers to Self-Examination Questions

Answer 1

The correct option is II.

Answer 2

The correct option is IV.

Answer 3

The correct option is I.

CHAPTER 2

FUNCTIONS OF MANAGEMENT

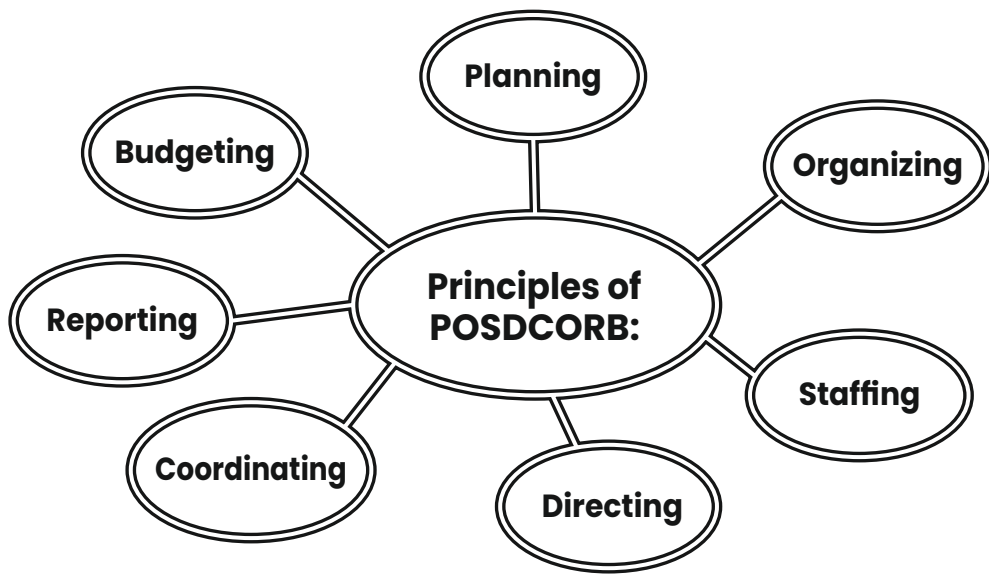
Chapter Introduction

The acronym below brings out succinctly the Functions of Management 'POSDCORB'- This acronym was coined by Luther Gulick and stands for major management functions viz., Planning, Organizing, Staffing, Directing, Coordinating, Reporting and Budgeting.

Learning Outcome

This chapter deals with the functions involved in the process of

- P - PLANNING
- O- ORGANIZING
- S - STAFFING
- D - DIRECTING
- CO - CO-ORDINATING
- R - REPORTING
- B - BUDGETING



COURTESY Facebook

The whole edifice of an organization is built on its Vision Mission and Goals.

Vision - A vision statement is a business document that states the current and future objectives of an organization.

Mission - - The mission of an organisation is the **broadest possible statement** of why that organisation has been created. It would be stated in very general terms and without a time frame.

Goals - Goals are precise actionable statements to help the organisation to achieve its Vision and Mission. A well-known acronym to describe Goals is “SMART”

- Specific,
- Measurable,
- Achievable,
- Realistic, and
- Time-bound.

“POSDCORB’ will succeed only if the above is well articulated.

• Planning

Planning is foreseeing the future of the organization using intellectual processes and modern tools combined with technology by formulating the objectives and developing various courses of action. Planning helps in laying down the

objectives and ways and means of attaining the same. It is vital for continued success of organisations.

There are three different levels of Planning:

- Corporate Level
- Business Level
- Functional Level

Corporate Level - Primarily the focus will be on macro issues to be dealt at within the organization and the outside environment. Normally the Head of the organization and Top Management are actively involved at this level.

Factors like allocation of internal resources among different entities within the organization, How and when resources should be allocated, Market dynamics, what new initiatives must be taken to keep pace with changing times etc.,

For example

How much money should be invested?

How resources have to be raised?

Should they enter new markets?

Will form part of Corporate Level Planning

Business Level - Here the emphasis will be on facilitating the plans drawn at Corporate Level to achieve the purpose and goals of the organization as set out by Top Management. Normally planning at Business Level will be done by Heads of the Business concerned. They normally are senior executives heading functions like Marketing Finance HR technology Product Development etc.

For Example

Which areas of Technology should be strengthened?

How the workforce must be trained in new age skills.

What new products can be launched?

Functional Level - It visualizes and emphasizes the support to be extended by different functions to achieve the Business and Corporate Goals.

For Example

How to improve customer satisfaction.

How to optimize cost

- 1) Building Blocks of Planning
 - a) Purpose to be achieved

- i. What are the goals / objectives to be achieved? (Why am I doing?)
- ii. What activities will lead to such objectives?
- iii. What resources are required to do those activities?
- iv. How and when should those activities be carried out?

b) Determining the activities to achieve the planned objectives

The next step in planning is to determine the activities to achieve the planned objectives. Planning then proceeds with the selection, from among the various alternatives available, of the type and course of actions required for achieving the objectives.

Once that choice is made, one has to decide

- i. how to do it,
- ii. the appropriate time frame,
- iii. the personnel,
- iv. materials and equipment required to do the activities,
- v. how to acquire these resources,
- vi. the funds required and how to arrange for the funds and so on.

Objectives or goals are stated in specific quantitative terms and indicate how the mission would be carried forward in a specified time frame. The Zonal Office or Regional Office of an insurance company might lay down an objective for a certain percentage growth in business for the next year. Therefore, setting goals is a method of giving effect to the mission in quantitative and time - bound, actionable and measurable terms.

Strategies

a) Strategies and tactics

While discussing planning, one would come across the expression 'Strategic Planning'. Strategies differ from tactics, mainly in the extent of details and specifics and time frames. Both words are commonly used in the military. In the Army, the top generals decide strategies and the local commanders determine tactics. In businesses; top managements may discuss strategies to attain dominance in the market place, which may range between mergers or takeovers of similar companies or building market shares through lower costs and better quality. A business strategy decision may be whether to conduct marketing directly or through distributors.

b) Corporate strategy

It will deal with matters referred to in the mission statement. It will refer to the portfolio of interests it wants to pursue, whether it wants to acquire other businesses or not and what would be the financial ratios like Return on Capital Employed, that it would aim at.

c) Business strategy

It would deal with business positioning, distribution arrangements, use of capital, use of technology and so on.

d) HR strategy

It will deal with ways of acquiring and preparing adequate human resource capital, training in-house or outsourced and so on.

e) Difference between strategies and tactics

Strategic planning gives only broad indications and not specific details, while tactical decisions will specify operational details. An investment strategy decision may involve a choice of the preferred mix of allocation between bonds, stocks and other instruments. Tactical decisions may determine the timing to buy and to sell. Strategic decisions may be to support local talent for employment and to help them to qualify for the prescribed standards, while the tactical decisions may relate to criteria for selecting potential recruits.

1. Policies

- a) The planning process may lay down policies. Policies are statements of intention, declarations of broad objectives towards which resources will be applied.
- b) A policy clarifies principles and values of management. Policies are not decisions but provide guidance for decision makers.

Example

- i. A policy may be that staff (at certain levels) should be recruited only from among the local persons.
- ii. There can also be a policy that 50% of the appointments to the officers' cadre will be made through internal promotions and the balance by external recruitment.
- iii. There can be a policy that all the cars owned by the company will be replaced after 5 years.

A policy guideline will normally apply in a variety of situations and across the organisation. Policies exist relating to:

- i. use of contract labour versus internal staff,
- ii. facilities for health care,
- iii. encouraging individual initiatives,
- iv. Non-tolerance of indiscipline and so on

Policies on purchasing may require long term agreements with vendors or suppliers or looking for new vendors every six months or so, in order to avoid vested interests.

2. Procedures

Procedures lay down detailed steps for implementation of policies.

Example

The insurers will state the coverage offered by them, what will be the premium, at what intervals they should be paid, for how long etc., these are parts of the policies relating to premium.

On the other hand, procedures will relate to how the premium can be paid, where they can be paid, acknowledgment of premium paid etc.

Difference between procedure and policy

A procedure lays down step-by-step details of actions while a policy lays down a general guideline.

3. Rules

- a) Rules lay down what is permissible and what is not permissible. In a sense, a rule is law for the company.
 - i. “No smoking” is a rule.
 - ii. Amount of interest to be charged for default in payments and how to calculate interest are rules.

When there is a rule, there is no discretion unless the rule itself allows for it. Some offices have rules on the dress to be worn at work. Rules can be changed by those who made the rules.

b) Difference between rules and policies

Rules are general guidelines and therefore may seem similar to policies. Policies provide guidance for making decisions. Rules provide guidance for actions. Policies may change less frequently than rules. Policies will have

applications in a much wider set of situations, while a rule may apply in a lesser number of situations.

All procedures will follow rules. But there may be rules independent of any procedure.

4. Programmes

- a) A programme is a decision involving a number of activities to be performed over a specified period of time in order to achieve a stated objective.

An insurance company wanting to penetrate deeper into the remote areas, may choose to try out some intensive marketing activities in a village or district. The company may decide to do various promotions, publicity, exhibitions, competitions, meetings, door to door canvassing, etc. over, say, a period of six months or so. This would be called a Programme as it involves many related activities for a specified objective over a period of time.

Programmes are one time actions, not repetitive. A programme is usually a concentrated effort. There can be a programme to familiarise all employees in the new plan of insurance proposed to be introduced soon so that from the day of launch, the offices will be ready to answer all questions and to service the proposals.

5. Schedules

- a) Schedules lay down the sequence in which a series of operations will be carried out. The schedule will also lay down the time frame for such activities.
 - i. The **production department** will have a schedule specifying how much, of what product, will be made, when.
 - ii. The **sales department** will have a schedule of billing, time-wise or customer-wise or area-wise.
 - iii. **Computer operations** follow schedules over specified time cycles so that the inputs reach the various related departments in time for them to use these inputs.

What information should go in and what output should be generated and in what sequences, constitute a schedule that will be repeated every day, or week, as the case may be. This is different from a procedure which deals with how the input or output should be prepared or checked and sent, to whom and in what formats.

• SWOT Analysis

1. Concept

SWOT stands for Strengths, Weaknesses, Opportunities and Threats. Good planning should, it is suggested, take note of these four factors.

- i. S and W relate to characteristics of the organisation which is making the plan. S and W are internal factors and will include management styles, policies, morale, decision processes, research capability, trade unions, etc.
- ii. O and T are related to happenings in the environment. They are external factors and will include political, regulatory, technical, technological, competitive, financial, economic, demographic, social, etc. factors.

2. Analysis

Scanning of the internal environment will clarify the organisation's strengths and weaknesses.

- i. **Strengths** are resources which are available to be exploited, things which can be done well.
- ii. **Weaknesses** are the opposites of strengths, lack of resources or lack of competences. These are determined in absolute terms as well as in relation to the competition.
- iii. Scanning of the external environment will clarify the changes that may provide **opportunities** (to be taken advantage of) as well as **threats**, constraints or risks (which have to be guarded against).

By clarifying strengths, weaknesses, opportunities and threats (SWOT), it becomes possible to determine the possibilities that exist and towards which efforts can be directed. The objectives are thus chosen.

- i. Strengthening the already robust field force capabilities through different interventions by LIC to face competition helped it to gain a competitive advantage.
- ii. Cheap imports from China forced many factories to close down in the 1990s and towards the turn of the 21st century. Some shifted manufacturing to China. This helped them to neutralize their weakness to some extent.
- iii. The entry of big multinationals into India after the economy opened up since the last decade of the twentieth century was an opportunity for many suppliers of accessories to automobiles and farm produce to hotels and for food processing companies. [Take advantage of the opportunities.]

- iv. There were severe threats to the local manufacturers of competitive products, who had to either sub-serve the newcomers or find capital and technology to match the new products. Many closed down their businesses and moved to other ventures.
- v. But many took help from the new entrants to understand their needs and produce appropriate products. For example, top grade hotels which used to import salad leaves helped some farmers to grow high quality salad leaves and the need for the import stopped in a few years. Several engineering companies upgraded their machines and technologies to meet the standards of the new automobile manufacturers. Thus, the threats were overcome or neutralized.

3. Why SWOT?

SWOT analysis helps the organizations to strengthen what they do well, redress the weaknesses, seize new vistas, ward off external threats.

The way to do SWOT analysis is to look at the likely developments in the foreseeable future and be prepared for what might happen. It is not possible to see the future with any certainty. Therefore, the practice is to work out the likely scenarios and give values to them in terms of probability. Three scenarios may be prepared, the worst, the most likely and the most favorable.

Test Yourself 1

_____ lay down what is permissible and what is not permissible.

- I. Schedules
- II. Policies
- III. Rules
- IV. Procedures

• Organising

Organising is the function of management which follows planning, According to Chester Barnard “Organizing is a function by which the concern is able to define the role positions, the jobs related to the co-ordination between authority and responsibility.”

Organising as a function of management comprises of:

- Determination of organizational activities to match with its objectives.

Identification of activities is a major step where activities like Product Development, Marketing, Accounts Record Keeping etc., are identified keeping the nature of business in view.

- Deciding the organization structure [Departments, Matrix Teams, Job Responsibilities, Roles etc.]

Similar and related activities are combined and grouped together as Departments or Units, Structured Team Matrix is put in place, Roles in terms of functions and hierarchy are defined and Job responsibilities are assigned.

- Classifying the authority

The extent of administrative and financial powers that can be exercised by Executives are defined. Hierarchical ranks are given and organisations are divided into top level middle level and line function staff

- Co-ordinating between authority and responsibility.

Relationships are established among different groups for smooth interaction for common goal achievements. A clear organizational structure is drawn. Authority and accountability levels are delineated.

Importance of Organizing Function:

- ✓ Specialization
- ✓ Well defined jobs
- ✓ Clarifies Authority
- ✓ Co-ordination
- ✓ Effective Administration
- ✓ Sense of security

Conclusion

If the organising function is not done properly whole organization structure will become weak.

For example, we have seen some of the small cooperative banks going bankrupt. Despite being in a high-risk business their organization structure in relation to roles, powers, responsibility and accountability are not well defined. This leads to their collapse.

Test Yourself 2

Co-ordinating between authority and responsibility creates

- I. Specialization
- II. Leadership
- III. Relationship

• Delegation

1. Delegation

Delegation may not form part of major organization functions. However, it is important to understand nuances of Delegation as it is the oil which lubricates the wheel of management functions. It helps in smooth running of the administration, fosters employee skills and builds trust among the hierarchy. Delegation can happen only when organization function operates in a robust manner in the business entities.

a) Meaning

Delegation is the process by which a manager passes on to his sub-ordinate, the authority to make decisions and the responsibility to achieve certain results. Instruction to perform a certain task is not delegation.

If a peon is asked to go and deliver a letter to someone, that is a task assigned. The peon has a responsibility in performing that task. He has to be careful not to lose that letter, for example. He has to be prompt and not waste time. This level of responsibility is at a minimal level.

In delegation, the sub-ordinate will be told what to achieve and he will have some discretion to decide how he has to go about it. Responsibility is for achieving the objective. While delegating the responsibility, the sub-ordinate will also be given the authority to decide whose assistance he may draw upon or the amount of money that he may spend and so on.

There is always some authority and some responsibility attached to a role that a person is occupying. These are determined when the structure is determined. What is delegated is beyond these. What is delegated is to a person and not to a role. It would also be for a specific period. What is delegated may be what normally would be part of the senior's (the one who is delegating) role.

b) Delegation - A tool to develop people

Studies show that when people are given authority to make decisions and responsibility to achieve results they are likely to show enthusiasm and commitment in their work. Delegation signifies that the person concerned is being given a responsibility, not normal for the role he is occupying. This has a

message of confidence in his abilities. It also gives the sub-ordinate an opportunity to learn about jobs normally handled at a higher level and thus improves his experience. It is a tool to develop people. Also, delegation gives senior managers additional time to concentrate on jobs which require their attention.

c) Barriers to Effective Delegation

Despite the distinct advantages of delegation, managers are often unwilling to delegate and many sub ordinates are reluctant to accept the delegated responsibility. This may be because the manager:

- i. is autocratic and unwilling to delegate
- ii. feels that he can do it himself
- iii. does not have confidence in his subordinates
- iv. is insecure and apprehensive that the subordinate may do the job better than him

The reason for failure to delegate may also be because the subordinate may be:

- i. not interested in taking up higher responsibility
- ii. afraid of criticism if the job is not done satisfactorily
- iii. feeling that he does not have adequate resources to do the job
- iv. reluctant to take up new jobs without personal benefit
- v. feeling that he lacks the necessary skills
- vi. afraid of trade unions and / or peer groups that dissuade them from additional jobs

d) Inverted pyramid type of structure

Modern organisation structures tend to be different from the traditional structures. As stated earlier, the trends are towards reducing the number of levels in the hierarchy. Decentralisation is happening to much larger extents because of the need for faster decisions making. This is also made possible because of the higher skill levels of personnel and fast communication technologies.

It is often accompanied by what is known as ‘an inverted pyramid’ type of structure. The ‘inverted pyramid’ type of structure consists of the customer at the top followed by employees, management and the top management towards the bottom.

• Staffing

1. The function of organizing will determine the jobs to be done by people. The function of finding the people to do those jobs is called staffing. Staffing is the third major function of management.

The main function of staffing is to put the right people in the right job,

Staffing Elements:

- Workforce Planning
- Recruitment, Selection and Placement
- Training and Development
- Remuneration including incentives
- Performance Appraisals
- Promotion and Transfer
- **Workforce planning**

The core element of workforce planning is to plan the manpower required by a Concern to match the job requirements and demands. It involves forecasting and determining future manpower needs of the Establishment.

- **Recruitment, Selection and Placement**

This can have the following three elements and in the changing scenario in addition to the three elements new age workers are recruited in different ways

- I. a group of core workers,
- II. a set of contractors and
- III. a complement of flexible work force

Once the workers are selected and recruited on the basis of above grouping they undergo orientation programmes and are made familiar with work environment and their work units. Later they are posted to their respective units.

- **Training and Development**

Normally two types of training are given:

- a. Training on Skills
- b. Imparting Knowledge

Before technology was fully implemented skills training was given to functional staff and imparting of knowledge was done at Managerial Levels. Now with the latest technological developments these lines have blurred and skill plus knowledge training goes hand in hand.

Training helps in the development of the individual and also gives the Organisation competitive advantage.

- **Remuneration**

Monetary compensation including benefits like PF, Health Insurance, LTC etc., form part of remuneration. Earlier days, remuneration was confined to salary but now it is pay package i.e., salary plus other benefits. Remuneration depends on the nature of work and the type of organisation. Certain elements of remuneration package are Government mandated like PF and Bonus.

Since it is a major factor of work ethics, there are laws governing remuneration and also internal policies and rules for the same. The aim of these laws and rules are to protect the workers' interests and ensure organisations get desired outputs from employees while keeping the motivational levels of employees high.

- **Performance Appraisals**

A Performance Appraisal is a systematic and periodic process of measuring an individual's work performance with respect to organisation's expectations from him.

Generally, it is done at the end of the year with reference to goals set in the beginning of the year in relation to his individual achievements and his contribution to the team. There can be mid-term reviews as well.

Performance Appraisals also has a softer side to it. Employee's strength and weaknesses, his potential, his capacity to take higher responsibilities will also be assessed.

There are four distinct types of Performance appraisal:

- I. 360-Degree Appraisal- Information through questionnaire is gathered from supervisors, co-workers, group members and self-assessment.
- II. Negotiated Appraisal - Here a mediator or an institute is engaged to evaluate employee's potential and strengths. Work related performance is not measured here.
- III. Peer Assessment - This is a new development, The team members, work-groups, and co-workers rate the employee
- IV. Self-Assessment - The employees rate themselves on the parameters set by the organization.

During appraisal either one of the above or a combination of them can be used.

A robust unbiased scientific appraisal system boosts employee morale and helps the organization to identify talent commitment potential etc.

- **Promotion and transfer**

According to Pigors and Myers, “Promotion is the advancement of an employee to a better job, better in terms of greater responsibilities, more prestige and status, greater skill and specially increased of pay or salary.”

Purpose of promotion:

To utilize the skill knowledge at the appropriate level

To inculcate competitive spirit with emphasis on improving competencies

To develop employee efficiency to enable them to take up higher responsibilities

To build and strengthen internal resources

To motivate employees to develop themselves and contribute for organization's growth.

Transfer

“A transfer involves the shifting of an employee from one job to another without changing the responsibilities or compensation.” If it is combined with promotion it can involve change of responsibilities and a higher compensation as well as location change.

Transfer is normally effected:

- i. To give employee exposure to different functions
- ii. To change the geographical location in order to build greater rapport in the organization.
- iii. To utilize the specialized skills in critical operations
- iv. To avoid creation of vested interests

If an unbiased well laid down transfer policy is implemented the employee-readiness to accept the transfer will increase which in turn will increase the efficiency of the organization.

- **Directing or Leading**

While Planning Organising and Staffing relates to preparation for achieving the Organisational goals, directing which is the fourth important function of Management deals with action or performance.

It is the heart of management process. Directing refers to **instructing, guiding, and overseeing the performance of the workers to achieve the predetermined goals**. Directing helps to create an appropriate work environment that facilitates efficient discharge of duties.

Directing Elements

- **Supervision:** To oversee the work of staff. Supervision is the act of coaching, reflecting, and directing work and workers for the self-development of employees and guiding them to achieve the goals set for them at organizational level.
- **Motivation:** To inspire, stimulate, and encourage staff. This is dealt in detail in a later chapter

Leadership: To guide and influence the work of staff in a purposeful direction. Leadership requires power. That power can come from a number of factors, all of which will, in different ways, make the persons being led amenable to being influenced by the leader.

Managerial levels and skills

Pervasive Function

Directing takes place at every level of the organization. Wherever there is a superior-subordinate relationship, directing exists as every manager provides guidance and inspiration to his subordinates.

Continuous Activity

It is a continuous function as it continues throughout the life of organization irrespective of the changes in the managers or employees.

Descending Order of Hierarchy

Directing flows from a top level of management to the bottom level. Every manager exercises this function on his immediate subordinate.

Human Factor

Since all employees are different and behave differently in different situations, it becomes important for the managers to tackle the situations appropriately and change his style based on several factors. Thus, directing is a significant function that gets the work done by the employees in a smooth and mutually acceptable manner and increases the growth of the organization.

- **Co- Ordinating**

Co-ordination is an act of harmonious synchronization. The activities, processes and human resources are synchronized to achieve the results. Harmony and synchrony are the pillars of co-ordination, this function helps in maintaining balance in the organization.

There are two major types of co-ordination functions. Internal and External, Internal relates to co-ordination within the organization between different departments and across all the function and both vertical and horizontal] while external relates to co-ordination among the organization and external elements like stake holders, customers Government etc.

Effective coordination requires clear communication, defined goals, shared responsibility, and efficient utilization of resources. Well planned coordination enables efficient use of resources, maximizes productivity, and enhances overall performance.



Examples of well co-ordinated companies in India (From Google images)

- **Reporting**

“Management reporting is a tool that allows an organization’s managers across all levels to identify, monitor, and measure the key performance indicators (KPIs) to gauge the business’s performance against the predetermined goals.

Businesses can use the KPI information to take crucial operational decisions that can improve organizational efficiency.” [Wallstreetmojo team}

Typically, these reports are published at regular pre-determined intervals. They are Industry specific. For e.g. in Insurance the reports will relate to premium collected, growth analysis of premium collected, profit/surplus generated, Investments etc., The reports assists business managers in the following key functions:

- Organizing
- Planning
- Directing
- Controlling

The information conveyed to the decision-makers regularly highlights deviations between the actual and budgeted or planned performance. This enables the managers to take corrective measures and improve the business performance.

Reporting is not as simple as it seems to be. Data has to be compiled from correct source. There has to be coordination among Departments providing same type of data. Too much of data will cloud the information too little data will hide the information. At present with so much of data around and numerous tools data compilation is leading to dilemma regarding correct choice. If pitfalls in collecting data and presenting information are avoided, Reporting Repertoire [full supply of data/information] of a company is a powerful tool which helps the management to make crucial decisions.

• **Budgeting**

“Budgeting projects anticipated revenue and expenditures for a future period based on prevailing internal and external factors. A detailed statement of projected financial result is prepared by considering inputs from various levels.”-Wallstreetmojo team

A budget is a fundamental planning instrument. It clarifies objectives, lays down targets in detail for every operation and helps resource allocation. Budgets vary in accuracy and detail. A review of the budget (which means comparing actuals with expected ones) will give an overall view of how the plans are working in practice and also decide on whether the targets and / or the allocations need to be revised.

A budget is usually prepared for a financial year, but may also be split up into budgets for shorter periods to make frequent reviews possible.

A budget is a plan stated in numerical terms. It may state the expectations with regard to incomes from various sources and the expectations of expenses on various heads. These figures, usually in financial terms, are worked out from the physical targets planned out by the various operating departments.

The budget may refer to numbers (of actual cash) or ratios (of recoveries) or combinations of these.

It may indicate capital outlays (creating assets) or it may indicate cash flows or it may show profitability of operations.

A budget may be a comprehensive document including in it, all operations. It may also be specific to the operations of a department

A budget is a fundamental planning instrument. It clarifies objectives, lays down targets in detail for every operation and helps resource allocation. Budgets vary in accuracy and detail. A review of the budget (which means comparing actuals with expected ones) will give an overall view of how the plans are working in practice and also decide on whether the targets and / or the allocations need to be revised.

A budget is usually prepared for a financial year, but may also be split up into budgets for shorter periods to make frequent reviews possible.

All the management functions listed in POSDCORB starting from Planning and up to Budgeting, delineates the 14 principles of management formulated by Henry Fayal, who is the Father of Modern Management.

The 14 principles -division of work, authority, discipline, unity of command, unity of direction, subordination of individual interest to the general interest, remuneration, centralization, scalar chain, order, equity, stability of tenure of Personnel, Initiative and Esprit de Corps]

The framework of POSDCORB is robust but there are few disadvantages as well, one of them being it is very rigid and not amenable to changes. It has only a top-down view and not a lateral or Bottom- to--Top view. Hence while using Luther Gulick's POSDCORB framework care should be exercised to introduce an element of flexibility as well.

Test Yourself 3

The acronym 'POSDCORB' was coined by

- I. Henry Fayal
 - II. Luther Gulick
 - III. Adam Smith
-

Summary

- a) A Vision Statement states the current and future objectives of an organization.
- b) The mission of an organisation is the **broadest possible statement** of why that organisation has been created. It would be stated in very general terms and without a time frame.
- c) Planning is deciding in advance what to do, how to do it, when to do it and who is to do it. The first step would be to identify the purpose to be achieved.
- d) Objectives or goals are stated in specific quantitative terms and indicate how the mission would be carried forward in a specified time frame.
- e) Strategies differ from tactics, mainly in the extent of details and specifics and time frames. Corporate strategy will deal with matters referred to in the mission statement.
- f) Policies are statements of intention, declarations of broad objectives towards which resources will be applied.
- g) Procedures lay down detailed steps for doing things. A procedure lays down step-by-step details of actions while a policy lays down a general guideline.
- h) Rules lay down what is permissible and what is not permissible. In a sense, a rule is law for the company.
- i) A programme is a decision involving a number of activities to be performed over a specified period of time in order to achieve a stated objective.
- j) Schedules lay down the sequence in which a series of operations will be carried out.
- k) SWOT Analysis: S and W are internal factors and relate to characteristics of the organisation which is making the plan. O and T are related to happenings in the environment. They are external factors.
- l) Organising is the activity of creating the organisational structure necessary to carry out the planned activities.
- m) Delegation is the process by which a manager passes on to his sub-ordinate, the authority to make decisions and the responsibility to achieve certain results.
- n) The 'inverted pyramid' type of structure consists of the customer at the top followed by employees, management and the top management.

- o) The function of organising will determine the jobs to be done by people. The function of finding the people to do those jobs is called staffing. Leading is the process of influencing people.
 - p) Directing is the process of communicating to the people appropriately (in time and content) what to do, how to do it and why it has to be done.
 - q) Co-ordination is the function that ensures that all activities are happening in proper sequence in time and in space.
 - r) Reporting is a tool that allows an organization's managers across all levels to identify, monitor, and measure the key performance indicators (KPIs) to gauge the business's performance against the predetermined goals.
 - s) A budget is a plan stated in numerical terms. It may state the expectations with regard to incomes from various sources and the expectations of expenses on various heads.
-

Key Terms

1. 4 principles
2. 360 Degree Appraisal
3. Authority
4. Budget
5. Coordination
6. Decision Making
7. Delegating
8. Henry Fayal
9. Luther Gulick
10. Mission
11. Mission
12. Objectives
13. Organising
14. Performance Appraisal
15. Planning
16. Policy
17. POSDCORB
18. Procedure
19. Programme
20. Recruitment
21. Responsibility
22. Roles
23. Schedule
24. Strategies
25. SWOT Analysis
26. Transfer
27. Vision

Answers to Test Yourself

Answer 1

The correct answer is III.

Answer 2

The correct option is III

Answer 3

The correct option is II.

Self-Examination Questions

Question 1

A _____ lays down step-by-step details of actions while a _____ lays down a general guideline.

- I. Strategy, tactic
- II. Rule, policy
- III. Procedure, policy
- IV. Schedule, programme

Question 2

Co-ordination function is the _____ function of management

- I. Second
 - II. First
 - III. Last
 - IV. Fifth
-

Answers to Self-Examination Questions

Answer 1

The correct option is III.

Answer 2

The correct option is I.

CHAPTER 3

HUMAN RESOURCES MANAGEMENT (HRM)

Chapter Introduction

This chapter deals with the emergence of concepts related to Human Resource Management and explains the difference between Human Resource Management and Personnel Management. Behavioral aspects of HRM which is comparatively a recent development have been discussed as well. To understand how behavioral aspects affect HRM functions a significant psychological subject viz. Perception has also been discussed.

Learning Outcome

- A. Human Resource Management
- B. The Whole Man
- C. Behavioural Sciences
- D. Perception

A. Human Resource Management

1. Introduction

The first chapter of this book is on the evolution of theory of management where slowly but steadily not just the productivity but the resources contributing to the productivity gained importance. During this journey the significance of Human Resources for the growth of organisations and the economy got emphasized to a greater extent.

The second chapter is a corollary to the first chapter wherein the Functions of Management which are essential to get the best out of limited Resources is discussed in detail. In most of the functions role of Human Resources form the core.

Present Chapter solely deals with managing Human Resources for achieving certain objectives. The need for the same and methods to be adopted will be the subject matter of this chapter.

In many organizations, there was no separate Personnel department. Matters relating to employees were looked after by what was known as the Establishment department which looked after buildings, furniture and other inanimate things along with the staff. Managers thought only of production and profit and looked upon employees only as means for producing goods and services just like any other factor of production. Therefore, Personnel Management consisted of maintaining these factors to the extent they were necessary for aiding the production and creation of profit.

According to Leon C. Megginson, the term human resources can be thought of as **“the total knowledge, skills, creative abilities, talents and aptitudes of an organisation’s workforce, as well as the values, attitudes and beliefs of the individuals’ involved”**

This definition highlights the value and belief systems of Human Resources at organisational level and at employee level. These value and belief systems have a huge impact in achieving the vision mission and objectives of organisations and employee aspirations.

The objectives of the organization and goals and aspirations of the employees should be supportive of each other in a mutually beneficial way. HRM comes into play here. It has to manage the Human Resources scientifically and with sensitivity.

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Personnel Management to HRM - (Employees: Most valuable assets) There are basic differences in the approaches between Personnel Management and HRM.

Till late 1970s matters relating to Employees were managed through Personnel Management and this slowly metamorphosized to HRM. Personnel Management is based on having an inventory of employees and pay them for their work and implement organization policies concerning employee while HRM is a wholistic scientific approach where changing organizational needs and employee aspirations and latter's competency building are taken care of.

Due to fast paced Legislative. Judiciary and Organizational changes that happened since 70s which gave more power and rights to organized labour the concept of HRM took root. HRM is a wholistic and strategic approach where Human Resources is treated as a valued asset and efforts are made to promote mutuality in terms of goals, responsibility, reward etc. that will help in enhancing the economic performance and lead to high level of human resource development.

a) Human Resource Management (HRM)

Human Resource Management (HRM) is based on the understanding that every individual is complex, endowed with the potential to enhance skills and become a more valuable asset as well as having, at the same time, the capacity to withdraw his skills from work and become a liability. No person can be looked upon as having standard specifications, like other resources have. They cannot be treated in the same manner uniformly. Each person needs to be handled according to his unique personality

No resource other than the Human resource has this characteristic to become a more valuable asset or to become a liability, at its choice. All other assets, money, materials, machines and time, have capacities and capabilities, which are known at the time of procurement. They can all be described in standard parameters which will not change from time to time. They will perform to their stated capacities consistently during the expected life time, provided they are taken care of through appropriate maintenance procedures. Over a period of time, these resources depreciate in value and cease to be assets. Their capacities will not enhance by themselves unless some improvements or additions are made to them.

As against this, HR can learn and acquire knowledge and skills on their own, thus enhancing their capabilities, sometimes in totally different areas. They have minds of their own and may work harder or less as they choose to, for reasons that no one else may be able to understand. They are autonomous in their behaviours. They create their own goals. Unlike other resources, human resources may not depreciate at all. On the contrary they can appreciate.

Therefore, proper management of HR requires that they be provided with opportunities to realise their full potential for growth. It is also necessary to avoid situations that make them withdraw their skills and knowledge at work. Properly managed, they will not only continue to be assets but improve their value to the organisation and not become liabilities. HRM seeks to look at satisfaction of employees, clarity of roles, organisational climate, opportunity to learn and grow, preparation for the future and so on.

The activities of HRM can be broadly classified under four functions:

- i Acquisition,
- ii Development,
- iii Motivation and
- iv Maintenance

2. Developments affecting HRM

There were four main developments that made managements realise that people could not be treated as mere means of production.

- a) Government actively intervened through legislations, laying down minimum wages, overtime allowances, retirement benefits, gratuities and other welfare measures, like job security, working conditions, leave facilities, etc., to ensure that workers are not exploited. Mechanisms were created for the redressal of grievances and industrial disputes. Many judgements handed down by the courts of law pointed to the necessity of treating employees with dignity and respecting their rights.
- b) Trade unions became very active to seek better prospects and benefits for the workers.
- c) Various studies like those of Elton Mayo (which have already been referred in the earlier chapter) revealed the complex nature of human beings who are influenced by social factors more than by working conditions and incentives, because of which traditional methods of treating them like materials of production became inappropriate.

- d) Developments in behavioural sciences, which contributed a great deal to the understanding of complex issues like personality, motivation, leadership, communication and so on.

3. Purview of HRM

The following areas belong to the purview of HRM.

- a) HR Planning
- b) Selection and Placement of Personnel
- c) Training and Development
- d) Job design and Job Enrichment
- e) Career Planning
- f) Organisation and Development
- g) Compensation and benefits
- h) Labour Relations
- i) Personnel Research and information systems

Behavioral Aspects and HRM

The behavioral perspective of HRM was first formulated by Randall S. Schuler and Susan E. Jackson as a framework for highlighting how differences in business strategies might influence the ways employees are managed.

No formal theory exists to cover the behavioral aspects of employees which can influence organization's efficiency positively or negatively but many studies have been undertaken in this area.

The link between employee behavior, business strategies, HRM systems and variety of stakeholder responses associated with employee behaviour forms the basis of above studies.

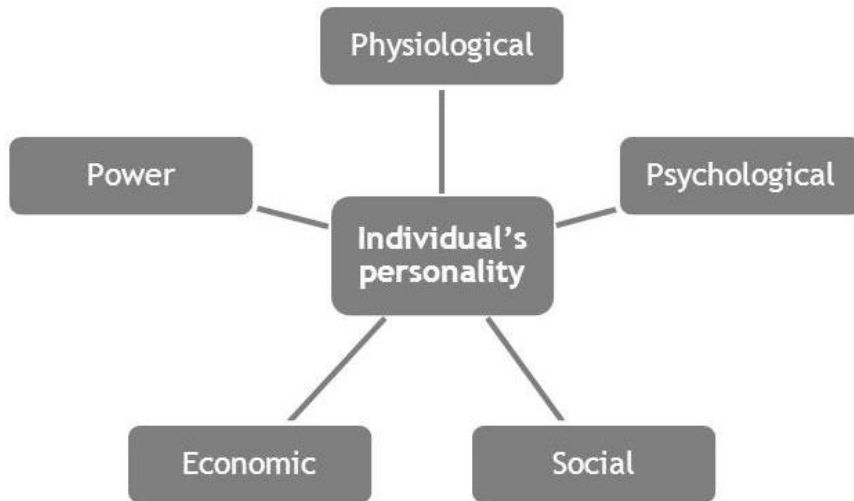
B. The Whole Man

1. Dimensions of Personality

The concepts of behavioral aspects of HRM are based on the understanding that an individual is a multifaceted personality, operating in several different roles in the family and in the society at all times. The person at work is this total person and is not devoid of the emotions and pressures from the other roles. All these affect the worker at work. The approach to management of a person has to be holistic. Peter Drucker, one of the greatest management thinkers of our times, has stated that when a company recruits a person it employs 'the whole man.'

It is believed that every individual has five distinct dimensions to his personality that affect his work. They are

Diagram 1: Dimensions of Individual's personality



- a) **Physiological:** which relates to the use of physical strengths, stamina, coordination (of senses, mind and muscle), alertness, speed of response, patterns of rhythm, stress, sharpness of observation, etc.
- b) **Psychological:** which relates to his self-image, sense of self-worth, complexes, fears, preferences, satisfactions, enthusiasm, etc.
- c) **Social:** which relates to his affiliations, memberships and status in religious, professional or community groups
- d) **Economic:** which relates to his earnings, standard of living
- e) **Power:** which relates to his need (or lack of it) for dominance or dependence

With such numerous variables constituting in shaping the personality of a human being getting consistent expected behaviour from any employee while he is performing his role will need effective interventions from the organization.

Behaviour of employees which contributes a great extent to the success of any organization is just not limited to the role for which specific tasks and skills are mandated. It goes beyond the job description.

For example, a cashier is expected to be punctual, handle cash with utmost care, keep the keys of the safe safely, has a good leave record, has high

integrity etc., but if he is rude with customers all the specific jobs which are performed efficiently by him will come to a naught.

Another complexity in ensuring expected employee-behaviour is it will differ from organization to organization at macro level and from function to function at unit or Departmental level. Following 'Best Practices' will not help. It should be discovering the 'Best Fit' strategy which has to be distinct for every organization and Departments within the organization.

The role of HRM comes into play here. It must create a climate for the employees to exhibit the desired behaviour voluntarily and they should also along with the organisation/Department benefit from the same.

HRM Department in collaboration with other Departments of the organization will have to

- Identify desired behaviours
- Create a conducive climate for demonstrating the desired behaviour
- Build up competencies in employees required for the above
- Encourage employees both in short term and long term to consistently behave in a desirable manner.

The initiatives listed above will yield the following results:

- ✓ Employees will learn new skills and acquire additional knowledge and contribute to the knowledge capital of the organization. **The contribution that an employee makes to an organisation is based more on his knowledge and expertise than on his mechanical and motor skills.**
- ✓ They will co-operate with other employees and build rapport with outside environment.
- ✓ Job satisfaction levels will increase.
- ✓ Willingness to take additional responsibilities will rise

This in turn will lead to creating good will among

- Customers
- Stake Holders
- External Agencies interacting with the Organization
- Board
- Investors
- Alliance partners

- Management and Employees

2. Development of 'People'

Behavioral aspect of HRM considers development of the 'people' in the organisation as one of the prime responsibilities of all superiors in the organisation and not the job only of the specialised Personnel or HR department. If we look at financial management we find that only persons with adequate qualifications and experience in finance would be managing the financial matters. So is the case with marketing and production.

But with HR, every manager has to manage his people and be responsible for their growth and for their contribution to the organisational goal. In fact HRM pervades all areas of the organisation. Only the administrative aspects of HRM are handled by the specialised department, which will deal with personnel matters and also maintain records relating to the growth of each individual.

This is a very significant development from the erstwhile personnel management outlook. As a result, it becomes necessary that every manager who has people working with him, be called upon to focus on the development of the people working with him and integrating their personal goals with those of the organisation. Obviously, HRM itself needs to be integrated with the whole management. Though HRM is one aspect of management as a whole (the other major aspects being financial management, production management and marketing management), it has a say in every area because people are involved in every sphere of activity.

a) Those who have to interact with customers play a major role in customer satisfaction

They must be sensitive and empathetic. In addition, they have to possess the right knowledge to answer the customers.

a) Supervision of a knowledge worker is difficult

He cannot be directed to use his knowledge. The extent to which he is using his knowledge at work cannot be known. The amount of time spent on a job that requires use of knowledge is not a measure of the quality of the job. More time spent on a job does not make the job better or worse. So also a long report on an investigation or enquiry is not necessarily a good one. A shorter one may perhaps, have been better and more to the point. One can use a lot of data and references without any significant contribution to the output.

Knowledge workers enjoy considerable autonomy in how and how much of their knowledge and their skills they use at work.

- b) If conducive environment is provided a person can increase his capacity through learning and experience. The manager's responsibility is to utilise the knowledge of a worker to the best extent possible.

C. Behavioural Sciences

The two phrases, HR Management (HRM) and HR Development (HRD), are often used as interchangeable synonyms. In fact they are not the same. HRD deals with activities that contribute to the growth of individuals, enabling them to acquire more skills and competencies. HRM is more comprehensive and includes HRD, which will focus on education and training as well as job rotation.

The concepts relating to HRM are developed largely from sciences relating to behaviour of people like Psychology, Sociology, Anthropology and Social Psychology. These sciences deal with human beings, their nature and their behaviour as individuals and as members of groups. The science of Anthropology (which is known as the science of man) concentrates on the role of culture in human behaviour. Psychology, which is the study of the mind, makes the greatest contribution to our understanding of human behaviour. Social psychology focuses primarily on group structure, group behaviour, attitudes, social influences and leadership.

a) Psychology

Psychology is the science that attempts to explain and sometimes change behaviour in human beings. Psychologists study learning patterns, perception, personality and counselling skills. At present industrial and organisational psychologists are contributing to the understanding of work-related problems like fatigue, boredom and stress. They have also been working on learning, motivation, leadership and job satisfaction.

b) Sociology

Whereas psychologists study individuals, sociologists study the social system, which is made up of interacting individuals. In other words, sociology studies individuals in relation to other human beings. Specifically, sociologists have made valuable contributions to the study of group behaviour in organisations. Sociologists have given us ideas of group dynamics, work teams, organisational culture, communication, power, conflict and inter group behaviour.

c) Social Psychology

Social Psychology is a science which blends concepts from Psychology and Sociology. These help in understanding attitudes, communication patterns and group decision making processes. One of the important contributions made by

social psychologists relates to the phenomenon of change and how it affects people.

d) Anthropology

Anthropology is a study of man and his activities in the society. The work of anthropologists on culture and environment has helped in understanding differences in values, attitudes and behavior between people in different countries and within different organisations.

e) Political science

Political science also has influenced studies in organisational behaviour. Organisations are political entities. Power struggles exist in organisations. Apart from trade unions who try to dominate, different departments and different professionals also seek to hold power and try to force their viewpoints and interests, while decisions are being made on policies and strategies. Political science deals with the behaviour of people in the context of holding power.

f) Organisational Behaviour

The subject of organisational behaviour is people. People, as stated several times earlier, are complex entities. Therefore our ability to make simple, accurate and sweeping statements is limited. This means that organisational behaviour concepts must necessarily be subject to conditions or factors in the context.

Example

We can say that X will, most likely, lead to Y, but that too only under condition Z.

Scholars of Organisational Behaviour would avoid providing prescriptive recommendations. What is to be done will depend on the situation.

Test Yourself 1

Which dimension of an individual's personality relates to the use of physical strengths, stamina and co-ordination?

- I. Physiological dimension
- II. Psychological dimension
- III. Social dimension
- IV. Economic dimension

D. Perception

As discussed earlier there are many external and internal dimensions which have effect on employee-performance. Just to get an overview of the magnitude of these factors a small but significant part of psychological factor that plays a significant role is discussed below viz PERCEPTION

Perception

- a) Perception is an important concept of great relevance in HRM. Perception in HRM context refers to how the employees are seen, and how they see each other. How people tend to operate and behave in the organization, based on what they believe to be true. It's important to remember everybody has their own beliefs and unique mix of traits, preferences and perceptions.

Example

When a person looks at a sunset and says “Beautiful” or admires the screen dialogue of his favorite hero, he is expressing his personal reaction to an external event. Everyone will not react in the same way in the above two scenarios. As the saying goes “Beauty is in the eye of the beholder”

Perception is what makes people:

- a) Not see facts / data the same way
- b) Not be objective about observations and judgements
- c) Argue
- d) Prejudiced or biased

1. Perceptual errors

Definition

Perceptual error is the difference between reality or fact and perception.

Perceptual errors may happen due to a number of factors. Some of them are

Stereotyping - Assumption about others based on category or belonging to a particular group

For e.g. Employees who have strived hard to reach a position may feel children of affluent parents will not be hard working which may not be necessarily true.

Halo Effect - When overall positive impression of a person is based on a single characteristic

e. g. Someone's oratory skills cover up his weak performance and impresses higher ups.

Selective Perception - Tendency to consider only the information which reinforces one's belief.

e.g. - Only non-performers become trainers,

All said and done Perception is the reality. HRM practices will have to eliminate perception errors and make employees perceive things with as much accuracy as they are.

Certain Negative Perceptions can arise in the organizations due to the following factors

Reward System - If Reward Systems are not properly formulated or communicated performance will get affected

Historical Precedents - There might have been labour unrest at some point of time either due to external or internal environment, even when issues are settled smooth relationship between management and unions gets established only gradually

Bureaucratic Approach - Where Rules and Regulations get quoted in a rigid manner without sensitivity. For e.g. an employee being posted far away from his current place although some close relative may be having some critical illness which requires his or her stay in the current place of posting.

No Role Clarity - This problem can be seen in start-ups. Since the number is not very large and very innovative functions have to be performed start-ups may not have role clarity. Overlapping of authority and functions can happen which leads to friction. In the worst case scenario there can be financial frauds as well.

Undefined Goals - If Goals are not well defined and path for achieving well defined goals are not articulated by the Organization it will even lead to the downfall of the organization, Employees' perception regarding Organization structure itself will turn negative.

Few ways to manage negative perceptions:

1. Authentic and Timely Communication
2. Empathy
3. Strengthening Openness
4. Being Fair and unbiased

To conclude, the journey from Personnel Management to HRM has been shaped both by internal and external factors. HRM has blossomed into a wholistic

approach where more new functions compared to earlier ones have been added to the bouquet. The addition of behavioral approach in HRM is of recent origin and with the innumerable data that will be made available due to application of Artificial Intelligence(AI) this approach will see a sea change Human Resources will be given greater importance and nurtured further and be effectively used by Organizations.

Summary

- a) Management is the process of using resources in order to produce goods and services.
- b) All resources are valuable assets. They are not available in plenty in the environment. They are procured at a cost and for a purpose. If not properly used, they go waste and the cost incurred becomes a waste.
- c) Principles of management provide guidelines to minimize the costs of procurement and to maximize the benefits that they have the capacity to provide.
- d) Over a period of time, it was recognized that the most important of all assets of an organization is its people. Therefore, managing people or Personnel management became one of the most important functions of management.
- e) Traditionally Personnel management used to deal with ways of recruitment, placement, leave, salary administration, perquisites, promotions and transfers, retirement benefits, disciplinary matters, etc. The approach was to ensure uniformity while dealing with people. The rules would be applied without discrimination. Individual problems did not matter.
- f) Human Resource Management (HRM) is based on the understanding that every individual is complex, endowed with the potential to enhance skills and become a more valuable asset as well as having, at the same time, the capacity to withdraw his skills from work and become a liability.
- g) The activities of HRM can be broadly classified under four functions:
 - i Acquisition,
 - ii Development,
 - iii Motivation and
 - iv Maintenance
- h) It is believed that every individual has five distinct dimensions to his personality that affect his work. They are:
 - i Physiological dimension.
 - ii Psychological dimension
 - iii Social dimension
 - iv Economic dimension
 - v Power dimension

- i) Perception is an important concept of great relevance in HRM. It affects behaviour of people. Simply stated the concept of perception says that what one sees is not the same as what there is to be seen.

Key terms

- a) Anthropology
 - b) Behavioural sciences
 - c) Development
 - d) Experience
 - e) Group
 - f) Growth
 - g) Knowledge worker
 - h) Learning
 - i) Perception
 - j) Power
 - k) Psychological distance
 - l) Psychology
 - m) Reinforcement
 - n) Sociology
 - o) Social psychology
 - p) Whole man
-

Answers to Test Yourself

Answer 1

The correct option is I.

Self-Examination Questions

Question 1

Which of the following discipline studies individuals in relation to other human beings?

- I. Psychology
- II. Sociology
- III. Anthropology
- IV. Political science

Question 2

Which factor/s can lead to perceptual error?

- I. Occupation
- II. Halo effect
- III. Non-verbal symbols
- IV. All of the above

Question 3

The 'subject' of organisational behaviour is _____.

- I. Organisation
 - II. Perception
 - III. People
 - IV. Learning
-

Answers to Self-Examination Questions

Answer 1

The correct option is II.

Answer 2

The correct option is IV.

Answer 3

The correct option is III.

CHAPTER 4

ACQUIRING HUMAN RESOURCES

Chapter Introduction

This chapter deals with various aspects involved in acquiring human resource and explains the importance of Job analysis, Job Description, Building Human Resource Inventory, Identification of Vacancies, Internal Placements External Recruitment and Succession Planning.

Learning Outcome

- A. Human Resource Planning
- B. Job analysis
- C. Job Description
- D. Job Design
- E. Human Resource Inventory
- F. Recruitment and Selection
- G. Succession Planning

A. Human Resource Planning

1. Human Resources (HR) Planning

A well-planned HR function will ensure that the right people are available at the right places at the right times. In order to achieve this goal, there must be a proper understanding of manpower needs of the organization in the present and in the future. (What kind of people does the organization need, and how many?)

It is the responsibility of the human resources department to understand the requirements of the individual departments and get to know the skill sets required from the Departments concerned. Apart from this they should know the type of man power required by the organization at macro level.

Also, based on the inputs received from the higher management, the HR professional must devise an effective plan to hire the right talent including nurturing homegrown talent and ensure the company is neither understaffed nor overstaffed.

For understanding the above aspects, the first step involves job analysis which includes job description for the positions that need to be filled up. It is not necessary that every time recruitment happens there should be a job analysis, for existing jobs the job description already available can be used. It also implies that job analysis and job description should be continuous process if Organizations have to keep pace with changes happening internally and externally.

B. Job Analysis

Job Analysis deals with requirements of a specific job which involves:

- in depth exploration of functions relative to the job,
- recording the responsibilities that goes with a specific job,
- enumerating the duties,
- mapping the skills,
- Fixing the accountability.
- scanning the work environment and
- Physical and emotional skills required for the job

Example A broad job analysis of the job of an insurance agent

- Prospecting skills
- Meeting sales goals

- Motivation for sales
- Product knowledge
- Organizational skills
- Attention to detail
- Strong communication skills

On the basis of job analysis, it is possible to

- Distinguish between operational, supervisory and managerial jobs.
- Evaluate which jobs are more important than others, although no job will be unimportant. If any job is unimportant, it can and should be, eliminated.
- Make a hierarchy of jobs on the basis of difficulty in acquiring the knowledge and skills necessary to do the various jobs.
- Identify the jobs that are very crucial or critical for the operations.
- Decide the kinds of jobs that will have to be done in various offices and various points of time.

A. Parameters relating to a job required for job analysis

The various parameters relating to a job required for job analysis can be known by using one or more of the following methods:

- Performance:** actually doing the job
- Observation:** watching others doing the job
- Interviews:** asking people who are doing the job
- Structured questionnaires:** asking people on the job to respond to a questionnaire, which has a list of tasks, behavior, knowledge and skills
- Diaries maintained by employees** stating in detail what they have done
- Critical incidents:** listing out significant events from which the more important and crucial elements can be identified'

C. Job Description

The efficacy of job description is dependent on how well job analysis has been performed.

Job description is a written document which narrates the job content in a systematic manner. It is an explanatory prospectus which mentions the job facts which are appropriate and authorized.

Job description normally contains the following

- Description about the job with summary
- Designation of the person manning it
- Duties and responsibilities
- Developmental aspects including training
- Authority
- Salary Package
- Reporting authority
- Performance Standards

D. Job design

Job analysis may also help in job design which is restructuring of the job in order to adjust to the change in technology, environment, personnel, etc. There are various methods for redesigning jobs such as, job enrichment, job enlargement, job sharing and other related methods.

Differences between Job Analysis and Job Description

- A careful study of each aspect of the job is known as Job Analysis while as the name suggests, a descriptive statement that lists out all job facts is Job Description.
- Job analysis forms the basis of Job Description.
- Job Analysis is a process whereas Job Description is a statement
- Job analysis is used internally within the organization while Job Description may be used for attracting required talent through advertisement.

Recruitment Process

Once Job Analysis and Job Description are in place, it is possible to identify where there is shortage of manpower, where there is excess, what type of capabilities must be brought in from outside environment and where is it available internally.

E. Human Resource Inventory

For knowing the above an internal Human Resource Inventory is of great help.

Human Resource Inventory is also known as Skill Inventory. It lists out the information of employees like their names, qualifications, age, sex, capabilities, current position, salary etc.

Vacancy Identification

Recruitment Planning will have to begin from finding out the vacancies that may arise.

a) Vacancies arising out of retirement, resignations or deaths

Assuming that there are enough person now to carry out the current tasks in the organisation, vacancies will arise in future due to retirements, resignations or deaths. Retirements can be known from the HRIS. The other two cannot be known. Past experiences are not good enough as indicators to the future.

b) Vacancies due to expansion plans

Requirements will arise due to expansion plans. This may mean more people in existing offices or more offices in same places or more offices in more places.

If there are plans for diversification of business or hiving off some businesses, the requirements will be affected.

c) Induction of new technology in organisation

The numbers will be affected by plans for inducting new technologies, or restructuring the organisation or for introducing new systems. Some of these plans might ask for newer or different skills of people. Some of these plans may mean that some of the existing personnel will become redundant.

Some of these plans may happen in a short time. Some may happen only after a longer period. The HR department, therefore, will have to be in touch with the various levels of management to be able to assess the requirements in the near as well as the not-so-near future.

The three factors viz. Job analysis, Job Description and Human Resource Inventory will be useful for the Process of Recruitment after identification of vacancies in which the above three tools are used as well. For example, the Human Resource Inventory will be able to identify if internal talent is available for filling up the vacancies.

This inventory can also be of use in finding suitable candidates for posting as well as training, promotion, or transfer. Most organisations have the HR Information System (HRIS) which will, in addition to HR inventory, will have more in depth data and will use technology to strengthen the HR Inventory.

F. Recruitment and Selection

1. Recruitment

After estimates are made of the requirements of the personnel, for existing and future operations, it is necessary to find and appoint the required personnel for filling up the requirements. The process of doing so is called Recruitment and Selection.

Definition

Recruitment is that part of the process that finds persons who could be considered for the appointment.

a) Sources of recruitment

Organisations have specific policies about whether recruitments will be made from outside the organisations or, through promotions or otherwise, from within the organisation.

Usually, a healthy ratio is maintained while using the homegrown talent and fresh recruitment from market. Organizations require both. Internally nurtured skills and talent brings in experience, understanding of organization culture and other competencies acquired over a period of time and acceptability by peers and sub-ordinates is also high. While fresh talent brings new perspective, younger age group, higher mobility etc. There can be few lateral entries at higher positions because of the technical nature of the job. These will be very job specific. Like Actuaries in Insurance, CTO, CFO, Compliance Officer and other similar positions. Normally these positions will be tenure based with different type of compensation package.

Some of the sources from which persons can be found are

- i Advertisements in newspapers / journals
- ii Employment exchanges
- iii Placement and head hunting agencies
- iv Educational and training institutions
- v Professional or other associations
- vi Friends and relatives
- vii Existing and old employees who could recommend friends and acquaintances

viii Own records about existing employees as well as applications received from time to time

ix Nowadays social media platforms like Linked- In are used albeit sparingly and with caution,

Before tapping any of these sources for names, it is necessary to determine and state the relevant criteria relating to age, qualifications, experience, physical characteristics, sex, etc.

Some of these criteria will be determined by Job Analysis. Some of the criteria will be determined by the policies of the organisation

b) Reservations

There are reservations of jobs for certain categories of persons like weaker sections, scheduled castes, scheduled tribes, ex-servicemen, etc., in the public sector. Such reservations are not mandatory in the private sector.

There is a concept of Affirmative Action, which requires that organisations must provide opportunities for people who have been deprived of such opportunities. They may have been deprived because they are living in areas where there has not been much economic development (remote areas), or they are transgenders, or they have disabilities like being spastics, deaf and dumb, short of limbs and so on.

c) Recruitment through advertisements

Recruitment through advertisement in the press has the advantage that the range for selection becomes quite wide.

Advertisements inform large numbers about the available opportunities. Advertisements are resorted to even if there is only one vacancy, because of the need to spread the net wide and find the best for an important job.

To cut down the advertisement cost and for ease of administration, Companies now resort to giving smaller sized advertisements compared to 1980s or 1990s(Recruitment Advertisements many a time are mandated by Government or will be part of company policy) and the advertisement will direct the interested candidates to the website of the company. The website of the company giving the advertisement in newspaper will have all information related to recruitment.

d) Recruitment agencies

Nowadays majority of the organizations both in Public and Private Sectors have out sourced Recruitment activities to professional agencies. The Organisations give their requirements like the nature of the job for which candidates have to be recruited, the specifications in respect of the

candidates like their age, qualification experience etc., what type of selection methods to be adopted - subjective pattern/ objective pattern or both, other methods like group discussion so on and so forth.

This outsourcing activity has helped the organizations in many ways. It has brought in specialization in the Recruitment Function, it has freed the valuable resources of the organization to be deputed more productively elsewhere, has brought in more objectivity and fairness. The final stage of conducting interviews of the shortlisted by the Recruitment agencies is still done by organizations to ensure right fit of the candidates for the posts advertised. This process is termed as final selection after which appointments are offered to selected candidates.

2. Selection

Definition

Selection is that part of the process that makes decisions as to how many and who, among the persons identified through recruitment agencies should be offered appointments. Selection process is followed even while promoting or for filling up specialized functions with the employees who are already in the Organisation'. This is done through the process of interview.

The thumb rule is that the number to be interviewed must be 3 to 5 times the vacancies. Hence a ranking list is drawn and a cut off for marks obtained through recruitment process for external candidates is determined for calling for interviews. For positions that have to be filled up internally there may or may not be interviews and the process of promotion or selection will depend on the nature of jobs and the company policy.

Face-to-face Interviews including utilizing video calls play an important role in selection, it helps in knowing about the shortlisted candidates better.

-
- The knowledge and skill they possess
 - Their attitude aptitude and behavioural characteristics
 - Their suitability for the post for which they are likely to be selected.
-

a) Conducting Interviews

- i The person to conduct an interview must be properly briefed about the way to conduct the interview. An interview is not the place to check on data which is available already on the records. Data on family background, hobbies, achievements, etc. are available on records. An interview is also not a place to show to the candidate that his knowledge and understanding of any matter is not adequate.

- ii An interview is an opportunity to make an assessment about the candidate on attributes which can be best known only through personal interaction. Attitudes, views, behaviours, values, belief systems, styles, aspirations, expectations are examples of such attributes.

The interviewer therefore has to get the candidate to talk and do more, revealing his inner thought processes. It follows that the interviewer should talk as little as possible

- ✓ avoid making the candidate uncomfortable
 - ✓ enable and encourage the candidate to talk
 - ✓ avoid arguing with the candidate
- iii Simple questions on achievements, family background, etc. will be appropriate to the extent that they
 - ✓ are preliminaries, intended to make the candidate shed the tension and begin to feel comfortable
 - ✓ lead to explore further issues that are of relevance in making valid assessments
 - iv There are some kind of questions that can be answered by giving factual information on data. “Who is the Indian political leader who was originally an Italian?” is an example of such a question. There is only one answer to that question. Such questions are referred to as closed questions. Closed questions help to check general awareness.
 - v There are other kinds of questions that can be answered in a number of different ways and require the candidate to think. He will have to give his opinion and his reasons. “Why do you say so?” is a question of this kind. Such questions are called open-ended questions. They are exploratory in nature and reveal the thinking process of the candidate. They are most appropriate to understand the person being interviewed.

Exploratory questions would elicit answers that reveal the candidate’s thoughts. These thoughts may not find the approval of the interviewer. But they would show how the candidate thinks. If the disapproval is expressed, the candidate may get disturbed and even nervous. There is no need to argue with the candidate or to prove him wrong. The interview is meant to help know the candidate. However, such expressions of disapproval or challenge to the candidate’s position may be selectively done to test.

- i response to situations of stress
- ii emotional control.

- iii whether he was just repeating whatever he may have heard or read, without application of mind.

When the interview is being conducted by a panel, the individuals in the panel need to have some understanding about how they will divide the work and time among themselves. Each member should be able to complete whatever he is exploring, before another member gets into the action. The following tendencies are common and should be avoided

- i. Interrupt the candidate who is talking in response to a question and suddenly shoot out with a question on an entirely different topic
 - ii. While a candidate is responding to probing questions from one member of the panel, another tries to elaborate on the answer of the candidate, giving an impression that the probing questions were unnecessary
 - iii. Discussion between the panel members on the appropriateness or correctness of the answers of the candidate.
- b) At times interviews are conducted with certain other selection tools as well, like testing of leadership competencies, teamwork capabilities, problem solving skills etc.

c) Group Activity

In this method, about eight to ten candidates will be brought together and asked to perform an activity. The activity could be assembling a figure from broken pieces like a jig saw puzzle, solving a problem of prioritizing ten items on the basis of importance in a given situation, finding a solution to tackle a difficult management problem or discussing a topic of common interest.

Group activities provide a lot of data about the candidates, to the extent that they reveal the thought processes, creativity, values, listening ability, argumentativeness, aggressiveness, etc. The process is equally important as it reveals interpersonal skills and important behavioural tendencies.

d) Tests

i Psychological tests

Psychological tests are intended to test behavioural characteristics like dominance, tolerance, adaptability, adjustability, aggression, emotional characteristics, etc. These tests have to be carefully chosen after checking for reliability and validity. These tests produce very unreliable results, if they are not administered by competent and trained persons. Some of these characteristics will be revealed in group discussions as well.

e) In-basket

An “in-basket” is a set of papers which might come to an executive desk. The candidate is expected to record his decision on each of those papers. These decisions may be discussed later, between the candidates themselves or with the selectors. The decisions are expected to indicate executive competence as well as values. An in-basket exercise is appropriate as a selection tool if the vacancy is in jobs at a high level, involving policy decisions and for promotions from within.

Selection of those recruited from within, may not need such elaborate processes as a lot of data is likely to be available in the HRIS. If the selection is for a higher level of responsibility and there is not enough data to assess suitability for such levels, some selection processes may be gone through.

f) References and medical tests

References and medical tests provide secondary data, after the main selection process is over. These only confirm suitability but do not decide suitability.

3. Induction

After the selection process is complete, the appointment letter may be issued. But before placing the new appointee on the job, it is advisable to let him go through what is called Induction. The purpose of induction is to help the candidate to understand the organisation, its structure, its values, its objectives, its policies, etc. The process of Induction is also called orientation.

- a) During the first few days or months of the Induction, all the new recruits may receive the same inputs, about the organisation as a whole. After that, they may be separated according to the jobs which they are likely to undertake and given inputs pertaining to those jobs, so that they will find it easier to get into the routine. They will be provided with a complete description of the job and also told about the rules and procedures to be followed at work. They may be informed about the authority they can exercise as well as their responsibilities.
- b) Orientation is also useful when an existing employee is transferred to a new role in the same place or another place. However experienced or senior in age and service a person may be, it takes a little time to adjust to the new environments of work and to begin to perform as expected. If the transfer involves a change of place, the orientation is also necessary to get familiarised with the facilities in the new place.

G. Succession planning

Some organisations use the HRIS for what is known as succession planning. The idea of succession planning is that the vacancies that arise due to retirements, transfers and / or promotions at important middle and senior levels are filled up without delay.

The succession plan will identify people from within the organisation, who will be ready to take over when the vacancy arises and prepare them to do so. The purpose is to ensure that there should not be a vacuum at those important levels.

The succession planning exercise will show whether there is enough strength in the existing manpower to fill up the important vacancies as they may arise in future and whether anything special needs to be done to ensure that the strength becomes adequate.

Test Yourself 1

What is the first source of recruitment for an organisation?

- I. Recruitment agency
- II. Advertisement
- III. Educational institutes
- IV. Employees within the organisation

Test Yourself 2

_____ is a statement about the purpose, scope, duties and responsibilities of a job.

- I. Job analysis
- II. Job description
- III. Job specification
- IV. Job evaluation

Test Yourself 3

During the selection process, which of the below is intended to test behavioural characteristics like dominance, tolerance, adaptability, adjustability, aggression, emotional characteristics etc.?

- I. Psychological test
- II. Physiological test
- III. Intelligent quotient
- IV. In basket

Summary

- a) A well planned HR function will ensure that the right people are available at the right places at the right times.
- b) Human resource planning will have to begin from finding out the requirements for people.
- c) The first source for availability of people is the organisation itself. For this purpose, the HR department should have what is known as an HR Inventory or Manpower Inventory.
- d) A job is a collection of activities that have to be done by an individual. These activities may be related or unrelated to each other.
- e) Job Analysis is related to three other processes called job description, job specification and job evaluation.
- f) Job description is a statement about the purpose, scope, duties and responsibilities of a job.
- g) Job analysis may lead to job design which is restructuring of the job in order to adjust to the change in technology, environment, personnel etc. There are various methods for redesigning jobs such as, job enrichment, job enlargement, job sharing and other related methods.
- h) Recruitment is that part of the process that finds persons who could be considered for the appointment.
- i) Selection is that part of the process that makes decisions as to who, among the persons identified through recruitment, should be appointed.
- j) An interview is an opportunity to make an assessment about the candidate on attributes which can be best known only through personal interaction.
- k) Selection through group activity technique provide a lot of data about the candidates, to the extent that they reveal the thought processes, creativity, values, listening ability, argumentativeness, aggressiveness, etc. The process reveals interpersonal skills and important behavioural tendencies.
- l) Psychological tests are intended to test behavioural characteristics like dominance, tolerance, adaptability, adjustability, aggression, emotional characteristics, etc. These have to be carefully chosen after checking for reliability and validity.
- m) An “in-basket” is a set of papers which might come to an executive desk. The candidate is expected to record his discussion on each of those papers. An in-basket exercise is appropriate as a selection tool if the vacancy is in

jobs at a high level, involving policy decisions and for promotions from within.

- n) After the selection process is complete, the appointment letter may be issued. But before placing the new appointee on the induction is conducted for the candidate. The purpose of induction is to help the candidate to understand the organisation, its structure, its values, its objectives, its policies, etc.
- o) After induction and orientation, the new employee would be sent to the job he was thought fit for.

Key terms

- a) Group activity
 - b) Human Resource Inventory
 - c) Induction
 - d) Interview
 - e) Job analysis
 - f) Recruitment
 - g) Recruitment Agencies
 - h) Selection
 - i) Succession planning
 - j) Tests
 - k) Vacancy Identification
-

Answers to Test Yourself

Answer 1

The correct option is IV.

Answer 2

The correct option is II.

Answer 3

The correct option is I

Self-Examination Questions

Question 1

_____ lays down the personal attributes and abilities required to perform the job.

- I. Job analysis
- II. Job description
- III. Job specification
- IV. Job evaluation

Question 2

Which of the following is appropriate as a selection tool if the vacancy is in jobs at a high level, involving policy decisions and for promotions from within?

- I. Physiological test
- II. Psychological test
- III. Intelligent Quotient
- IV. In basket

Question 3

_____ refers to the movement of an employee from one job to another within the organisation.

- I. Recruitment
 - II. Selection
 - III. Transfer
 - IV. Promotion
-

Answers to Self-Examination Questions

Answer 1

The correct option is III.

Answer 2

The correct option is IV.

Answer 3

The correct option is III.

CHAPTER 5

DEVELOPMENT OF HUMAN RESOURCES

Chapter Introduction

This chapter deals with the responsibilities of an organisation with regard to the growth and development of its people and the ways to achieve them.

Learning Outcomes

- A. Manpower Development
- B. Training
- C. Counselling
- D. Appraisals

A. Manpower Development

1. Introduction

All resources, including HR, are obtained by an organisation at a cost. Resources, whether land or water or money, are scarce. They are valuable. There is demand for every resource from other organisations in business or otherwise.

It is the responsibility of every management to ensure they do not:

- i. waste the resources acquired and
- ii. enhance their value or capabilities after acquisition

This responsibility is much greater in the case of HR, as they are the ones that can make the other resources perform and more importantly, their potential for development (or enhancement of capabilities) is unlimited.

Human beings are complex personalities and they require multi-faceted development:

- i. physical,
- ii. intellectual,
- iii. social and
- iv. psychological

While many organisations do pay attention to the intellectual and technical growth of their employees by imparting them with necessary job knowledge, other qualities of the employees cannot be ignored. The development has to be holistic, covering the 'whole' person and not merely the 'worker' person. Some organisations extend such developmental activities to the family as well because the family at home affects the worker at work.

2. Manpower development

Manpower development seeks to achieve the following in a planned way:

- i. Enable individuals to acquire / sharpen their capabilities
- ii. Enable everyone to discover and exploit their potentials for own and organisational purposes
- iii. Strengthen relationships, team work and collaboration between individuals, contributing to their well-being, motivation and pride.

a) Cognitive knowledge

Cognitive knowledge can be acquired through reading, hearing and seeing. That knowledge is useful to anyone only if he can use it himself in practical action.

Example

A person may have learnt how to calculate various ratios to appraise a project or to work out cash flows. But when he sits down to do it in a real case, there can be a number of doubts which will arise. As he does it, slowly to begin with, he will get over those doubts and then he will know.

The difference is the same as between knowing how to ride a bicycle or a horse - everybody knows it - and being able to do the riding.

b) Skill

Skill improves through doing. Learning of new tasks takes place through having to do new things. Repetitive doing of the same job will reveal (and cause learning) newer nuances and thus sharpen one's skills. If the variations in such repetitions become minor, learning ceases to be worthwhile. The job becomes routine, monotonous and perhaps uninteresting. At this stage, newer jobs provide opportunities to acquire new skills. Both sharpening and acquisition of skills contribute to the development of the individual.

c) Development of Individual

Development of professional competences is different from the development of an individual. The dimensions of individual development are many. They constitute the differences between a child and a grown up person, not physically, but mentally and emotionally. The most important of these is that the child sheds its dependency as he grows up. It learns to be on its own, to take responsibility for self. Management practices may make employees:

- i. be continuously dependent (on seniors, or other experts) and blaming others for all failures
- ii. learn to take responsibility and not find excuses for failures in external circumstances
- iii. understand the obligations of being a good citizen in a social system, where others also have their rights and where interdependence (not independence) exists

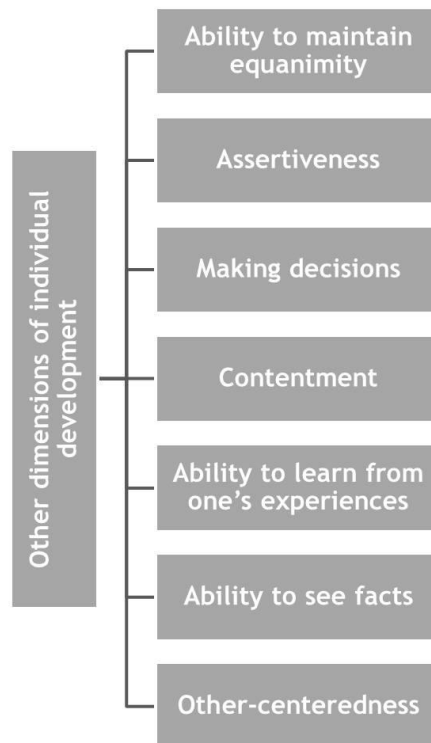
Dependence indicates immaturity. Independence could lead to arbitrariness.

Obligations of being a good citizen include adequate respect for:

- i. the abilities and concerns of others
- ii. the authority and area of discretion of others (boundary maintenance)
- iii. the systems and procedures which are in vogue. Changes thereto may be made but only after due deliberation and knowing the rationale for their introduction in the past

d) Other dimensions of individual development

Diagram1: Other dimensions of individual development



Some other dimensions of individual development will be the following:

- i. **Ability to maintain equanimity** (emotional balance) in situations of crisis so that the brain and mind can search for appropriate actions to overcome the difficult situations. Lack of equanimity may lead to extremes of anger or depression or panic, none of which are helpful for clear thinking and exploration of available options. Clear thinking becomes a casualty even in cases of ecstatic elation. That is therefore, as bad as too much of anger and despondency.
- ii. **Assertiveness:** Arising out of equanimity is the skill to be assertive, avoiding the extremes of submissiveness and aggressiveness. Both

submissiveness and aggressiveness leave one dissatisfied and regretting - not having done differently.

- iii. **Making decisions** on the basis of data, avoiding the tendencies to: (i) act on hunches, (ii) confuse facts with one's opinions (problem of perception)
- iv. **Contentment**, which means acceptance of one's position and trying to do one's best therein, without being over-anxious about the consequences thereof on oneself, either as reward or as punishment. Lack of contentment leads to continuous dissatisfaction, always wanting what one does not have, consequent disappointment when desires are not attained and possible psychic disturbances.
- v. **Ability to learn from one's experiences**, through reflective observation on whatever may have happened. A corollary to this would be to help others to learn, by sharing one's experiences. The sharing would become mutually beneficial. This is also a test of professionalism.
- vi. **Ability to see facts:** Ability to learn implies ability to see the facts as they really are, not as one imagines them to be. In the process, one would become aware of oneself and his environment without being carried away by fantasies or hallucinations of imagined glory or imagined risks.
- vii. **Other-centeredness**, as opposed to self-centeredness, is an aspect of individual development. Self-centered people, through their behaviour, convey disrespect to others, attempt manipulation, seek unfair advantage (at the cost of others), generate suspicion and will have difficulty in seeking or giving collaboration.

Developed individuals will seek opportunities for continuous learning and growth within the organisation. When opportunities are made available, there will be satisfaction. There is a virtuous cycle that feeds on itself for sustained improvement.

Developed individuals will find it easier to respect and support other colleagues in the social systems. They generate collaborative responses with relative ease. They handle problems with confidence. They contribute to better organisational climates.

Not all individuals may want to develop the same way. Not all of them have the same strengths. Some of them may have difficulties and / or weaknesses which inhibit their development in certain directions. HRD practices take note of these unique features and seek ways to minimise the effects of such weaknesses, while allowing the other strengths to grow. The HRD practices

can generate pride in one's strengths, instead of shame that may develop if the weaknesses are highlighted.

The well-being of the individual is as important an objective of HRD, as his professional skills, team work, motivation and organisational culture. Wellbeing is both physical and mental and is concerned with satisfaction at work and at home. HRD therefore, looks at issues of Quality of Life (QL), Quality of Work Life (QWL) and often extends even to the home of the worker. Programmes related to stress management or Yoga, Vipasana, hygiene, childcare, balanced diets, personal finance, etc. deal with these issues.

3. Behaviour

a) Concept

Behaviour is what one does. Doing nothing is also 'doing'.

Behaviour occurs in a context. A person is rude or polite in a particular situation. Some justification for that behaviour may be found in the situation itself. The other person may have provoked the resultant behaviour of the employee. Similarly, the employee's behaviour can generate a certain behaviour, pleasant or unpleasant, in the other person. It can even reduce the intensity of the unpleasantness in the other's behaviour and even modify it to a pleasant one. It is difficult to identify the trigger for a particular situation.

b) Dynamics of social behaviour

All social situations are dynamic, changing with the combined impact of all stimuli, emanating from several sources, some of whom may not even be present in the situation at a given time. Anxieties related to some distant event (like the boss expressing displeasure in the morning, accident en route to work, report from the college about the son) may be affecting behaviour at work.

The events themselves do not cause any anxiety. The individual's assumptions, beliefs, etc., interacting with the experience of the event, cause the anxieties, which in turn affect behaviour and thereby affect the other's behaviour in the situation. Managers and also employees have to understand the dynamics of social behaviour, so that they may exercise appropriate influence in the situation.

c) Social skills

A mechanical skill can be taught by explaining and showing the steps involved. If an activity can be analysed and broken up into its various components, the best way of doing it can be found and taught, like

programming a computer. But the social skills need, not analysis, but synthesis, total understanding of situations, within the context of one's logic of understanding. Training methodologies, if effective, influence behaviour by changing these logics. Hearing and reading are not as effective as seeing, doing, reflecting and experiencing.

d) Favourable perception of behaviour

Behaviours will be perceived favourably by others, if the employee:

- i. has a high energy level and does not seem to be tired or exhausted or bored or tense
- ii. is action oriented
- iii. listens
- iv. looks to be genuinely interested in others
- v. can express clearly and effectively
- vi. makes people feel good
- vii. establishes eye contact with people
- viii. is pleasant in manners, does not hurt, tries to provide comfort
- ix. personalises transactions by using the other's name or by reference to something that recognises him / her as a unique individual
- x. treats others in a calm manner, even if harried himself / herself
- xi. makes the other person feel as though he is No.1 while acknowledging the presence of another requiring attention
- xii. forms correct impressions from observing body language
- xiii. gets on the other's wave length and is sensitive to his feelings, anxieties and fears
- xiv. possesses a mature, entrepreneurial instinct that encourages him to go that extra distance to help and ensure satisfaction
- xv. has good work habits, like being prompt, not postponing work, attending to detail
- xvi. is flexible, adaptable
- xvii. has the ability to identify problems, understand causes and tries to work out solutions (not plead helplessness)
- xviii. can prioritise tasks, set objectives and work them to completion

Many of these might seem to be natural traits. But all of them can be acquired. Some may have already acquired these capabilities before they joined the organisation. They might find it easier to practice them.

The skills have to come naturally while dealing with others. They have to be practiced always. Then they will become habits. Otherwise they erode. None of these capabilities can be used sporadically, except perhaps, by consummate actors.

Employees will learn appropriate behaviours, from the way they see their superiors behaving. It is said that employees behave with customers, as superiors behave with employees. When they receive consideration, they learn to give consideration to others. If they are treated roughly, they may pass on similar treatment to others. Superiors are role models from whom sub-ordinates learn. Like all generalisations about behaviours, this statement will not be true always.

4. Knowledge development

In order to encourage employees to widen their knowledge base, employers provide a variety of incentives which include increments, special pay and accelerated promotion. The following are examples:

- a) Graduation increments may be given to employees on their passing degree examination in any discipline.
- b) Insurance companies encourage their employees to acquire Associateship or Fellowship of reputed technical and professional institutes like the Actuarial Society of India and Insurance Institute of India.
- c) Persons interested in taking up part time studies are given permission by the employers as a matter of course, regardless of the fact whether the subjects taken up are of direct relevance to the business of the company or not.
- d) Employees are helped to attend professional seminars conducted by professional organisations by paying the fees and treating the period spent as duty

Apart from the above instances wherein the initiative for acquisition of knowledge may come from the individuals, organisations also arrange for regular full time training for their employees. Many organisations have established well-equipped training centers at various levels, running courses suitable for employees at different levels and for different kind of tasks.

Employees are also deputed to training courses at various levels conducted by reputed establishments or professionals in India and even abroad. Those who attend such training programmes derive benefit from the contents of the

programme as well as from the opportunity for exchange of views and sharing of experiences with executives serving in different fields in various parts of the country or even in other countries. Such exchanges lead to a wider vision, greater confidence and higher maturity in the executives, paving the way for the growth of their personality, which in turn brings in benefits to the organisation.

Test Yourself 1

Cognitive knowledge cannot be acquired through one of the following. Identify the odd one out.

- I. Reading
- II. Hearing
- III. Speaking
- IV. Seeing

B. Training

1. Principles of learning

The social - learning theory has given us some principles of learning in the context of work. These are:

- i. Individuals learn only when they **want** to learn. Workers in an organisation may be willing to learn when they are able to see how the training will be of help to them
- ii. Learning requires feedback. People learn better if they are told periodically about the progress they are making, as and when they learn, not at the very end
- iii. Reinforcement encourages repetition of learned behaviour. Thus if a worker is appreciated when he performs a task well, he is likely to continue to perform the task in that way
- iv. Practice reinforces learning
- v. Learning begins rapidly but later flattens out, if not practised
- vi. Learning must be transferable to the job
- vii. Learning must result in a permanent change in behaviour

2. Effectiveness of training

There are limitations to what training can achieve. Training is most useful, if it is done within the organisation, by the persons with whom the trainee is working and with the equipments with which he has to work. In a big

organisation like an insurance company, the way work happens in one branch is not the way it happens in other branches.

People coming from different work situations, even within the same organisation, to a central place of training can help in better theoretical understanding of the concepts and rules but not be of help at the real work situation itself - not uniformly in any case. Graduates from the most eminent management institutes are often told to forget what they learnt in the management school and get to understand how the organisation that they have joined, works.

Managers of training classes in organisations try to develop courses of training keeping in mind the training needs for those attending the training sessions. Training needs are sought to be identified by:

- i. Interviewing employees, their colleagues or seniors
- ii. Conducting surveys through written questionnaires
- iii. Direct observation of behaviour at work

A combination of more than one method can also be adopted. However, it is difficult to identify the actual needs. Performance and behaviours can be observed and deficiencies noticed. The cause of the deficiencies are, however, not so easy to identify. It requires specially trained professionals to do so.

Even if the needs are correctly identified, no training course of a week or month's duration can bring about a permanent change. The inputs for correction have to be personalised for any worthwhile effect. A course designed to cater to a class cannot be targeting the needs of any individual.

In an earlier chapter, a brief reference was made to learning through experience. It was also mentioned that teaching does not necessarily end in learning. So also training does not ensure that either skills or knowledge are acquired. The **Social-Learning Theory** of learning states that we learn by observing what happens to other people as well as by direct experiences. This theory also implies that much of what we learn come from watching models - parents, teachers, bosses, characters in films, TV and so on.

3. Methodologies for training

Despite the limitations of class room training there are ways to help an employee to enhance skills and therefore of his value. The principle behind these methods or programmes is that it would provide the employee an opportunity to learn, mainly by doing, with minimal external guidance. The method will be most effective if the employee opts to go through the programme and not when he is 'nominated for a course' as often happens. To enable options being made, programmes of training can be announced in

advance specifying the contents and the objectives and the target employees (who should attend). Some of the methodologies of training are listed below:

a) Apprenticeship

Apprenticeship training is the oldest and the most commonly used method, especially when proficiency in a job is dependent on a variety of skills and on adequate practice. Operating various kinds of machines come under this category. Apprenticeship is useful in crafts and also in professions with or without any academic preparation.

In organisations, employees can benefit through apprenticeship, if they are being considered for a shift of duties involving different kinds of skills, like from a peon to a filing clerk or to a machine operator. Young executives identified to have the potential to rise high, can be attached to senior managers as Executive Assistants. The benefits of learning cannot be predicted but there will be as much benefits as when a new law graduate works for some time with a senior lawyer.

b) On-the-job training (OJT) / Job rotation

The employee is assigned a new job and he learns by doing with the help of a guide or mentor, who is available for guidance whenever required. One knows best what one does compared to what one sees others do or hears about. Learning on the actual equipment to be used and in the real environment of the jobs, makes it very effective. The method is effective for learning both unskilled and semi-skilled operations.

The commitment of the guide or mentor in giving adequate attention to the trainee will make a big difference to the effectiveness of this method. The method can be helpful to learn the 'how' of doing things and also the 'why' of doing them, which is equally, if not more, important. Job rotation is the name given when employees who are doing well are transferred to jobs that require different skills, as a part of a programme of career development

c) Lectures

The most common classroom methodology is the lecture. The content, sequence of ideas, development of thought and training are all under the control of the trainer. But this method is highly trainer-centered and not trainee-centered. It is rare that in the course of the lecture, the trainees' understanding is checked. The method ignores differences among trainees in learning styles and learning capacities. Studies in communication processes have shown that:

- i. there is a limit to the capacity of a mind to concentrate on a specified topic and therefore it tends to digress after short intervals of time

- ii. absorption of what one hears (in a lecture) is less than what one sees or does

A lecture is a convenient method if the audience is large. It is appropriate if the audience needs only a general understanding (as in the case of an introduction or a prelude to more intensive learning) or broad appreciation of a subject. A lecture will have a better effect if:

- i. it is interlaced with periodical diversions like illustrations, anecdotes and exercises
- ii. there are pauses for questions and answers and
- iii. audio-visual aids are used

d) Conferences, Seminar and Workshops

These are participative group-centered programmes for learning.

- i. **Conference:** In a conference, important issues are discussed. They may be business related like annual business plans and budget reviews. They may also be on broad overviews of what is happening in the environment.
- ii. **Seminar:** In a seminar the various participants are expected to come with prepared papers on the given topic. Sometimes the participants constitute themselves into smaller groups, called syndicates, for further in-depth study or analysis. The syndicates may report back to the plenary when it reassembles.
- iii. **Workshop:** A workshop or a clinic as it is sometimes called has the object of imparting practical experience to the participants, almost like a laboratory experiment. For example, let us imagine that a general insurance company wants to decentralise the settlement of mediclaim to its branches. It may call the nominated persons from the branches for a workshop where the trainees would be required to actually process some claim cases and calculate the amounts payable.

e) Case studies

A case is a written description of a real life situation. Participants are given cases to study and identify the issues and to explore the possible causes and solutions. The role of the trainer is that of a mere catalyst. He does not actively participate in the discussion but merely raises questions, summarises the discussion from time to time and connects observations of the participants to concepts, where necessary.

He makes the group identify the assumptions underlying their comments and to challenge those assumptions. The purpose is to make the participants

understand the complexity of real life situations as well as the perplexities of their own approaches to such situations. The main merit of the case study method is that it promotes analytical thinking and problem solving ability. One might also learn that what seems obvious at first is perhaps, not the reality and further possibilities must be explored.

f) Role play

The role-play is a method in which the trainees are required to act out given roles in a given situation. Sometimes, they are given the script as in a stage play. Sometimes, the actors have to improvise the script on the spot. The situations may be related to employee-employer relationships, grievance handling, salesmanship, counselling, post-appraisal interview or a problem solving session. This method helps in practising interpersonal skills and getting insights into the dynamics of behaviour.

g) Programmed instruction (PI)

Programmed instruction consists of a text, which progressively feeds information to trainees. The subject matter for learning is presented in small units called **frames**. They are arranged in logical sequence. After each frame, questions are posed which the trainee should answer before moving on. The merit of this method is that the trainee learns at his own pace, at his own time, at his own place of stay or work or leisure. Besides, immediate feedback on the extent of learning is available to the trainee. This method is very appropriate for learning and understanding theoretical concepts but not for acquiring operational skills.

h) Computer Aided Training (CAT)

CAT, also called CAL (Computer Aided Learning) is a modern version of Programmed Instruction (PI). While PI is organised on paper, CAT is organised on computers. The principles of organising the learning messages and sequences are the same. But the larger flexibility of the computer programmes makes it possible to introduce more variety and alternatives to each learning module. CAT and CAL are more interactive than the PI. The computer can refer the trainee back to earlier or later modules depending on his responses at various stages. Also the display through coloured diagrams and charts makes the learning enjoyable.

i) Simulation

Simulation techniques attempt to create situations in the class room similar to real life work situations, so that the skills required in real life may be tried out, experimented with and perfected. A 100% replication may not be practicable but a reasonable approximation can be attempted.

Vestibule training methods are simulations of one kind. Aircraft pilots are trained in artificial chambers resembling the cockpit of an aircraft. As the trainee pilot operates the controls, the chamber as well as the view in the screen in front of him will respond in exactly the same way as the aircraft in real flight. Simulation provides experience and practice avoiding the costly injuries and damage due to errors in real life and real equipment. The learning comes from the feedback on what the trainee did during the simulation.

j) Model office

The model office is a simulation of an office. It creates a duplicate of an office with 'in' and 'out' trays of a number of desks. The simulation of an office can never be complete as the pressures and the interactions at work cannot be duplicated. This helps in the learning of the interconnectedness of various activities and how one's work impacts on the work of others.

k) In basket exercises

This exercise was referred to in the context of tests for selection. This can also be used for training a prospective candidate for a higher level of responsibility.

l) Games

Games are exercises involving activities, individually and in groups. They vary in complexity and also in the duration over which they may be played. There are games that can be played in three hours or over three days. Normally the activities involve making decisions either individually or as a team. Each set of decisions is based on some data and the consequences that follow are influenced by factors not known in advance to the decision-makers.

The consequences of each decision may affect the tasks of other members of the team and also the tasks of the other teams. There may be occasional inputs from the managers of the game disturbing the validity of the judgements and assumptions made up to that time. The consequences of each set of decisions are worked out manually in simple games or by computer programmes in more complicated games and feedback given to the participants before they make the next set of decisions.

The participating individuals and groups are usually in competition. Constraints of time, resource, information, the need for continuous review and change of strategy are brought to bear upon the persons playing the game. The most useful benefits from the game come from the analyses made after the game

Business games can be used to understand issues relating to business policies and strategies in environments that are complex, uncertain and changing. Even very simple games can be used to focus on a variety of subjects like planning, resources allocation, decision-making, power dynamics and the behaviour pattern of individuals.

Games provide real experience. They are not played according to predetermined scripts. They are interactive. They are interactive with not only external factors like the actions of the other teams and the factors introduced occasionally by the managers of the game, but also interactive with the personalities (the fears, preferences, tendencies, values, etc.) of the individuals in one's own team. They therefore provide great learning opportunities.

m) Sensitivity training or T-groups

Sensitivity training, also called T-groups or laboratory training, seeks to help individuals become aware of - sensitive to - themselves, their needs, values, attitude and behaviour with the help of others in the group. The programme is unstructured and unplanned. When the group meets, there will be no agenda and no leader. The members of the group will gradually begin to interact, giving expression to their thoughts on what is supposed to happen, etc. and also on what they should do in that situation.

After about an hour or more, the individual members would have revealed themselves and even found bondings, closer with some and not so close with some others. Later, with the help of a qualified Faculty, the members of the group themselves will review the earlier happenings and provide feedback to everyone as to how they felt themselves and about others in the group.

Each member will make his own learning from the situation. The role of the Faculty is only to create a climate of trust and openness and to ensure that the group interacts adequately. This type of training sessions can be very effective in providing insights into oneself and improving communication and interpersonal skills.

4. Learning versus unlearning

Employees are adults. They have their own ideas and thoughts on many matters, as a consequence of what they have learnt in the past. Without some unlearning of the past, there cannot be any new learning. They would not easily accept that part of the past learning needs to be replaced by some new learning. Adults, therefore, are likely to be difficult learners.

They will not change their past learning just because someone says that it is necessary. They will unlearn the past and replace it with the new only when they see the validity for it themselves. Until then, they will deny the need. If

the guide or trainer or mentor pushes too hard, that will be resistance - suppressed, if not open. If resistance is seen, it will not help to confront or to get aggressive. The most effective way is to admit that there is a different point of view that cannot be ignored and that more reflection would be advisable.

It is necessary to understand why adults find it difficult to unlearn. One's identity at any point of time is the totality of what he has learnt till that point of time. All existing behaviours, beliefs, values, ideas, etc., that constitute one's personality is because of what had been learnt in the past. That is the basis for the recognition that he enjoys and the relations with the rest of the world. That is what his colleagues respect him for. That is how he is known. He values that personality and is proud of it. It is not easy to accept that there is something wrong with it. Change is threatening and likely to be resisted.

However, there should be no problem in learning something new, as long as it does not affect the employee's personality.

Example

For example, learning new methods of doing work may be accepted, even if they are different from the ways he had been used to in his past careers. Learning new skills may not be much of a problem. Difficulties may arise only when the change affects his personal predilections, priorities and styles. In such situations, the learning is best when the employee accepts the new learning out of conviction instead of as a tactical compliance.

5. Stages of learning

The four stages of learning have been described as:

- a) **Dissatisfaction:** The learner has to feel the need for some change in the existing behaviour and attitudes of himself or of others.
- b) **Unfreezing:** This occurs when the existing learning of values, beliefs, assumptions (these are supports for behaviour) are challenged and questioned because of new experiences that suggest that these and the existing behaviours and attitudes are inappropriate.
- c) **Conversion:** This refers to the replacement of or the modification of the existing learning of values, beliefs and assumptions with new learning that is different. This may happen when exploration of experience suggests that the new learning will support desirable behaviours and attitudes.
- d) **Refreezing:** When the changes that occur during conversion are firmly internalised, so that they automatically become part of the learner's behaviour and attitudes, the learning is complete.

All the stages of unfreezing, conversion and refreezing can occur when the learner is actively involved in the exploration of experiences.

6. Coaching and mentoring

- a) **Coaching:** An employee who is posted to a new job may be provided with a coach, who will help him to learn the job. The employee may be a new entrant to the organisation or one who has been transferred from some other position or place. The coach may be a colleague with a little more experience who has got his own work to do, but makes himself available as and when required.
- b) **Mentoring:** Another method is known as Mentoring. A new employee, on joining the organisation, is attached to a senior employee, who he is called the mentor. The mentor guides and coaches his ward in the ways of the organisation and its values in addition to helping him improve his knowledge and skills. Unlike the coach, this is a long-term relationship and it is not job-specific. In course of time, the ward may even occupy a position higher in rank and responsibility to that of the mentor. But the mentor remains the mentor, by virtue of his seniority in the organisation and the intimate relationship built up with his ward over the years
- c) **Difference between coaching and training**
 - i. Coaching is usually done on a one-to-one basis. Training may be also on a one-to-one basis or may be by one trainer to a class of students.
 - ii. Coaching usually deals with ability to do a specific task, while training may deal also with other perspectives relating to the work, its linkages with other jobs in the system and with the goals of the organisation.
 - iii. A coach exercises a close watch on the ward's learning while a trainer may, while dealing with concepts or with a class, not be able to exercise such a close watch. A mentor is concerned with the entire person of his ward, including his career.

Traditionally, training has focussed on technical and mechanical (motor) skills. Training has also to focus on interpersonal and social skills, on listening, on pleasing and not hurting, on understanding, on sensitivity to feelings, on recognising peculiar needs, on control over body language and so on.

The behaviour of a person comes from the way in which one sees the world, the assumptions one makes about why things happen and how they could be influenced, the beliefs about people and events, the values imbibed, etc. Changes in behaviour occur only when changes happen in perceptions, assumptions, beliefs, values, etc.

Changes are only partly cognitive. They are also affective, at the feelings level. They occur through learning something new and unlearning something learnt earlier. They need willingness to try new untested responses in preference to prior tested responses. Trainers are unlikely to have much impact on behaviours. Mentors have the maximum impact.

7. Evaluation of training

Training programmes cost money. A natural question to ask is about the benefits of incurring that cost. Evaluation by the participants at the end of a training session is not entirely reliable. Such evaluations tend to reflect the experience during training and may be indicative of the effectiveness of the trainer or the diligence of the learner. But it cannot be related to the learning that may have taken place sufficiently enough to change the behaviour at work. The test at the end of the training session also does not seem to be a true measure of the effectiveness of the training.

One should not expect that a person's efficiency and behaviours would have changed through a period of training. Individual behaviours are affected by a number of other factors in the organisation. The influence that the inputs in a training session may have over the other factors is unlikely to be more than marginal. Therefore, an accurate evaluation of training is difficult.

a) Approaches for assessing effectiveness of training

Several approaches are adopted in assessing the effectiveness of training.

- i. Training costs are similar to the costs incurred in maintaining expensive and valuable machinery. In such cases, the benefits are that the resource does not break down and no one would think of cutting those costs.
- ii. Another approach looks at training as investment, not cost. The difference is that while costs are sought to be cut, investments are seen as creating wealth and therefore, desirable.
- iii. A third approach says it is neither cost nor investment. It is like food and nourishment for the body. The benefits cannot be measured, except perhaps in the very long run.

Nevertheless, training programmes are essential to provide employees opportunities to update their own ideas on how the world and the organisation is changing and introspect on themselves and their future. The extent of benefit may not be measurable. The assumption is that there would be some benefits, just like food taken regularly benefits a person. Many modern organisations believe, as an axiom, that training is an essential activity in maintaining the health of the organisation through its human resources.

Test Yourself 2

Of the four stages of learning, which one occurs when the changes during conversion are firmly internalised?

- I. Dissatisfaction
 - II. Unfreezing
 - III. Conversion
 - IV. Refreezing
-

C. Counselling

1. Counselling

a) Dealing with problem people

Managers come across problem people. They have to be helped to improve. Or else they have to be removed from the organisation. Normally, removal or dismissal is resorted to

- i. if the problem is seen to be beyond correction like alcoholism or persistent misbehavior or
- ii. if the problem is of a criminal nature like committing a fraud or theft or
- iii. if it is a case of unacceptable indiscipline

Managements are not very enthusiastic about dismissing people, because the cost of acquiring that employee would go waste. Further, dismissals may lead to prolonged industrial disputes, diverting the organisation's energies into non-productive channels

A person's behaviour is an outcome of several factors, including factors outside the person and in the environment in which that behaviour takes place. It is difficult to know the causes for the particular behaviour which needs to be changed. The person himself may not know the cause. When the problem is not known, it would be difficult to find a solution.

b) Concept of counselling

If the manager tells the employee that there is a problem with him, it is unlikely that the employee will agree to it easily or agree to change. Change in behaviour comes from new learning after unlearning the past learning. This is not easy. The method to follow while attempting the correction, is to make the person aware himself that there is a problem and then help him to deal with it. This process is called counselling.

There are different types of counselling. Counselling is done for people with psychological problems. Such counselling is known as clinical counselling. It is done by trained psychiatrists. Managers are not so trained.

Basically, counselling means helping people to think and analyse their problems *themselves* and try to come to solutions which are acceptable *to them*. It is a delicate and skillful method of helping a person to see his own strengths and weaknesses and trying to find out what could be an appropriate solution for his problem.

c) Counselling helps make a dispassionate analysis of the circumstances

In order to appreciate the true nature of counselling it might be interesting to see what counselling is not. Counselling is not offering solutions and assurances. Counselling is not telling someone what is wrong with him. The counsellor's ability lies in helping the person counseled, (referred to as the client) to make a dispassionate analysis of the circumstances.

If a person is upset because he missed the promotion, the counsellor will not be able to get him the promotion. But he may help him by making him think through

- i. why it may have happened,
- ii. whether his current responses are helping him and others close to him,
- iii. what would be an appropriate way to cope with the situation

Any advice is likely to be dismissed out of hand. He must reason out the alternatives himself.

2. Counselling skills

There are many skills required by a manager to become a good counsellor. The most important among them are the skills of active listening, empathy and intervention. The counsellor must be capable of being patient, tolerant and understanding.

a) Active listening

Active listening means listening attentively so as to get both the *meaning* and the *feeling* behind what is being said. Maintaining general eye contact, being aware of non-verbal communication (body language) and concentrating on what the client says (avoiding the temptation to reply to his point) - these are characteristics of active listening. The skill of active listening can be developed by practice.

b) Empathy

Empathy is the ability to see things as the other individual does. The client must have developed a particular feeling in the given situation, which must have given rise to the problem. When the counsellor listens with this approach and interacts with this understanding he shows empathy. Empathy does not mean that the counsellor agrees with the feelings and opinions of the client. It simply means that the counsellor understands exactly how the client feels in the situation.

c) Intervention

Intervention is different from interruption or interference. The counsellor should avoid the temptation to interrupt the client. Intervention means helping the client to think through his own thoughts and examine the matter fully. Intervention should help the individual to re-evaluate his feelings, sentiments and values and look at the problem in a different perspective. Interventions must be brief, pointed and at times may consist of mere gestures.

3. Qualities of a good counsellor

- a) A good counsellor should be non-judgmental. He should be willing to accept the fact that, given help and encouragement, most people have the inherent capacity to understand and solve their own problems. Such a counsellor would convey to the client his genuineness, understanding and acceptance of the client as a unique individual.
- b) He makes the client articulate his ideas and feelings and helps him to interpret the same.
- c) He must go behind the feeling of the client and help him to identify the causes which give rise to the feelings.
- d) A good counsellor knows the importance of completely avoiding judgmental statements because they put the client in a defensive position. He also meticulously avoids arguing because arguments will not solve the client's problem.
- e) The main thrust of counselling is that the counsellor is only a catalyst and does not allow himself to become a support. He encourages the individual client to stand on his own feet and become self-reliant.

The counsellor has to be 'other-centred.' He will have to see the problems from the point of view of the client. This is possible only when the client talks and says how he sees the issues. The way the client sees it is more important than the way the counsellor sees, because it is the client who has to see and acknowledge the problems and accept solutions.

D. Appraisals

1. Performance factors: Skill, Will and Support

Appraisal or evaluation of performance is part of the development process. Performance of an individual is the resultant of:

- i. his skill or ability to do
- ii. his willingness or motivation to do
- iii. the support he gets from the organisation

“Support” relates to availability of adequate information, equipment, direction etc.

All the three factors, Skill, Will and Support, must be present at the same time, if there has to be any performance. If any one of these three happens to be zero, the total performance is zero. An effective performance appraisal has to identify not only the performance but also the extent of skills (or lack of it), motivation and support. Only then will the difficulties experienced by the subordinate, come to light. Appropriate corrective steps can then be taken by the organisation to improve the performance. Appraisal then becomes useful as a developmental tool.

2. Annual appraisals

Traditionally and even now in many organisations, an appraisal is an annual exercise, used to make decisions on the grant of increments and to determine promotions. Seniors would be required to complete appraisal forms, with their opinions on a number of traits (knowledge, attitudes, abilities, behaviours, etc.) and on how the appraisee had performed during the year gone by. This report may have to be reviewed by the next senior officer and perhaps by one more. Judgements are then made, by competent authorities, about whether at all and if so, how much, increment should be given to the appraisee. If the performance is rated very high, the appraisee may be considered for a promotion.

a) Drawbacks

This method suffers from several drawbacks.

- i. One of the important drawbacks is that the appraisers, aware that the appraisal would result in increments and promotions for their subordinates, tend to manipulate the ratings with a view to obtain, what they thought, should be the right decision.
- ii. Appraisers tried to make sure that they were not stricter than their colleagues from other departments, as otherwise their influence on their subordinates may suffer.

- iii. Some appraisers were able to use the appraisal as an instrument of punishment and make sure that sub-ordinates, who were difficult at times, suffered badly.

For all these reasons, the reports are less than genuine.

- b) **Behaviour Anchored Rating Scales (BARS):** Opinions expressed in the appraisal reports tended to be based on the most recent impressions and not on events over the year. The report written at the end of the year depended entirely on the appraiser's memory and invariably only some aspects of performance - and that too of recent times - will come to mind. There was no uniform standard for evaluating the traits.

Even the meanings attributed to the various traits by different appraisers could not be assumed to be uniform. On what basis would one say that the appraisee was 'Poor' or 'Outstanding' on a trait like 'Courtesy' or 'Concern for Others'? A solution was sought to be found by developing Behaviour Anchored Rating Scales (BARS) where every trait would be described in action terms, like "Tends to lose temper" and the rating being a tick on alternatives like 'Rarely', 'Often', 'Very frequently'. Though less arbitrary, clarity of BARS description could not be guaranteed and comparisons were still not good enough.

c) Other appraisal systems

Several other systems were developed from time to time with the aim to reduce subjectivity.

- i. One was to use graphic rating scales.
- ii. Another was to appraise a few employees in a department collectively, by comparing and rating them on various criteria.
- iii. Another approach was to give the appraiser a free hand to do the appraisal and not confine him to pre-determined factors.
- iv. Another system tried was 360 degree appraisal, where everybody in the working group would appraise everybody else. The 360 degree appraisal, may avoid some kind of biases but not all biases and was very cumbersome to organise. Also comparison between two individuals will become difficult as the basis of appraisals will have nothing in common.

None of the methods tried were found to be fully satisfactory. First of all, the appraisee does not get any feedback about his performance. In Government offices, the appraisal is called a 'Confidential' report. The reviewer often has little contact with the appraisee and the review, far from becoming a valid second opinion, becomes an endorsement of the appraiser, based on ignorance. When the appraisal report is known to be the basis for increments, the appraisers tend to be liberal. Sometimes, the appraisal is used as an opportunity to 'get even' with a difficult subordinate.

3. Management by Objectives (MBO)

a) Concept

One of the ways tried to make appraisals more reliable, was to set standards of performance or goals, say at the beginning of the appraisal period and measure performances made at the end of the period. A budget may lay down the expected results. Comparison of results achieved with the budget will provide evaluations of “excellent” or “outstanding” at one extreme and “poor” at the other. The MBO or Management by Objectives approach was developed under which objectives would be set for every role after discussion between the role incumbent and his senior. The appraisal would be based on the extent of achievement of these objectives.

b) Assumptions made under this method

This method also was not satisfactory. There is an assumption that achievement of results is an indicator of capabilities and attitudes. This assumption may not be wholly valid when the results are the outcome of not one person but of many in a team. The sales in an area may be the outcome of corporate promotional activities in that area or the dynamism of the retailer. The salesman’s contribution cannot be taken for granted.

An appraisal meant to reward through increments and promotions is a tool which the senior can use to frighten the sub-ordinate. Such an appraisal cannot be expected to be genuine and will be subject to manipulation by the appraiser and will be contested by the appraisee. An appraisal, to have any use as a developmental tool must be non-threatening and

- i. must provide reasonably accurate feedback to the appraisee
- ii. seek views of the appraisee on the problems identified
- iii. provide methods to overcome the problems which are identified
- iv. seek view of the appraisee on how he wishes to see his career progress forward

c) Key performance areas (KPA's)

An important concept related to development relates to setting Key performance areas (KPA) for every employee. It is suggested that every individual should identify certain KPAs for himself and seek to achieve them.

The KPAs are not given by the superiors as objectives to attain, but they are identified by the individual and discussed and agreed upon with the superior. They are within the responsibilities of the role. They may, or may not, clarify or supplement the main responsibilities.

Example

For example a person responsible for generating information from a computer, may have as his KPA for the next few months, ensuring the purity of the inputs into the system or sitting with input generating personnel to ensure timeliness of inputs or writing a system manual for his colleagues. All this can be done along with his main tasks.

A training manager may have as his KPA for the next few months “to ensure that the number of participants attending a session is not less than 90% of the persons invited to attend”.

An officer in a department may have as his KPA, rearranging the circulars file, so that “retrieval of any instruction does not take more than 5 minutes”.

The purpose is to enable every employee to look at his tasks, the problems he meets in performing better than he is and take responsibility to find a solution.

d) Appraisal feedback

If feedback and improvement is intended, the appraisal cannot be threatening. The appraisee will have to accept the appraiser as meaning well. Also, it cannot be an annual procedure. The feedback should be given as and when the need for feedback is felt. That means that there should not be any fixed time frame for appraisals. The action to overcome the problems should also be taken soon after the feedback and should be within the capability of the appraisee. Otherwise the appraiser will have to organise the necessary support.

Regular meetings between superiors and sub-ordinates can clarify mutual expectations, set standards for the future as well as evaluate the past, thus making appraisal a continuous exercise, helping the development of the individual. These regular meetings will also enable employees to become aware of how they are being evaluated. The corollary will be messages of how corrections need be and can be made. They will not be surprised when deficiencies are pointed out, as they will know that measures for correction will follow.

Test Yourself 3

Answer with regards to counseling skills. _____ means helping the client to think through his own thoughts and examine the matter fully.

- I. Intervention
- II. Empathy
- III. Active listening
- IV. Understanding

Summary

- a) Human beings are complex personalities and they require multi-faceted development - physical, intellectual, social and psychological.
- b) Cognitive knowledge can be acquired through reading, hearing and seeing.
- c) Skill improves through doing.
- d) Some other dimensions of individual development will be the following: Ability to maintain equanimity, assertiveness, making decisions on the basis of data, contentment, ability to learn from one's experiences, ability to see facts, other-centeredness.
- e) Employees will learn appropriate behaviours, from the way they see their superiors behaving.
- f) Apprenticeship training is the oldest and the most commonly used method, especially when proficiency in a job is dependent on a variety of skills and on adequate practice.
- g) On-the-job training (OJT) / Job Rotation: The employee is assigned a new job and he learns by doing with the help of a guide or mentor, who is available for guidance whenever required.
- h) Participative group-centered programmes for learning include: Conference, seminar, workshops etc.
- i) Programmed instruction consists of a text, which progressively feeds information to trainees. The subject matter for learning is presented in small units called frames.
- j) Simulation techniques attempt to create situations in the class room similar to real life work situations, so that the skills required in real life may be tried out, experimented with and perfected. A 100% replication may not be practicable but a reasonable approximation can be attempted.
- k) The four stages of learning include: Dissatisfaction, unfreezing, conversion, refreezing.
- l) Counselling means helping people to think and analyse their problems *themselves* and try to come to solutions which are acceptable *to them*. It is a delicate and skillful method of helping a person to see his own strengths and weaknesses and trying to find out what could be an appropriate solution for his problem.

- m) There are many skills required by a manager to become a good counsellor. The most important among them are the skills of active listening, empathy and intervention.
 - n) The MBO or Management by Objectives approach was developed under which objectives would be set for every role after discussion between the role incumbent and his senior. The appraisal would be based on the extent of achievement of these objectives.
 - o) Individuals may identify Key Performance Areas.
-

Key Terms

- a) Aggressiveness
 - b) Assertiveness
 - c) Coaching
 - d) Counselling
 - e) Freezing
 - f) In basket exercises
 - g) KPAs
 - h) Learning
 - i) Management development
 - j) Mentoring
 - k) Role play
 - l) Simulation
 - m) Submissiveness
 - n) T-groups
 - o) Training
 - p) Unlearning
 - q) Wellness
-

Answers to Test Yourself

Answer 1

The correct answer is III.

Answer 2

The correct option is IV.

Answer 3

The correct option is I.

Self-Examination Questions

Question 1

Human beings are complex personalities and they require multi-faceted development which includes:

- I. Physical
- II. Intellectual
- III. Psychological
- IV. All of the above

Question 2

_____ means acceptance of one's position and trying to do one's best therein, without being over-anxious about the consequences thereof on oneself, either as reward or as punishment.

- I. Equanimity
- II. Assertiveness
- III. Contentment
- IV. Other-centeredness

Answers to Self-Examination Questions

Answer 1

The correct option is IV.

Answer 2

The correct option is III.

CHAPTER 6

STRATEGIC CHANGE MANAGEMENT - ROLE OF HRM

Chapter Introduction

This chapter deals with the role of HRM in the process of change. This chapter also elaborates on the strategic nature of Change (along with other interventions) and HRM interventions required for success and sustainability of Change.

Learning Outcomes

- A. What is Change
- B. Why Manage Change
- C. Role of HRM

In the earlier chapters the discussions centered more around theoretical framework of HRM where the first chapter detailed the growth of HRM as a science and the following chapters the tools of HRM. From now on the application part of HRM will gain significance.

One important area where HRM plays a very active role is when Change happens in the organizations, whether planned or unplanned.

A. What is Change?

“Company or organization going through a transformation. Organization change occurs when business strategies or major sections of an organization are altered. Also known as reorganization, restructuring and turnaround.” -Business Dictionary.com.

Change is constant in business, even more so with technology. Hence time spent by Organizations on Change Management is significant.

As per Peter Drucker’s theory of Change Management (CM) the following tenets form the basis of change management.

▣ **Predict the Future by Creating It**

“The best way to predict the future is to create it.” - Peter Drucker

“Change Management” aims at changing the present to create a better future.

▣ **Understand the inevitability of Creative Destruction**

It is inevitable that many successful organizations get replaced by more innovative ones. Even the successful organizations, to survive, must constantly innovate. Drucker termed this as “Creative Destruction” - Leaving the old ways to embark on innovation.

For example, Product Innovation which was the buzzword till recently is now overtaken by innovations in the field of Artificial Intelligence (AI). In the years to come AI will change the whole way in which businesses are run.

B. Why Manage Change

Drucker’s solution was to develop our organizations into “change leaders”:

▣ **Manage with Ambidexterity**

- Managing in the present is vital - not uncommon for day-to-day activities to become overwhelming. Managers can find more than 95% of their time being spent on the here and now, which means there’s not enough time spent on the future.
- Drucker recommended that at least 10-20% of an executive’s time/resources be spent on the future. To manage change, you need to be working on both the present and the future at the same time. Drucker called this “managing in two time periods.”

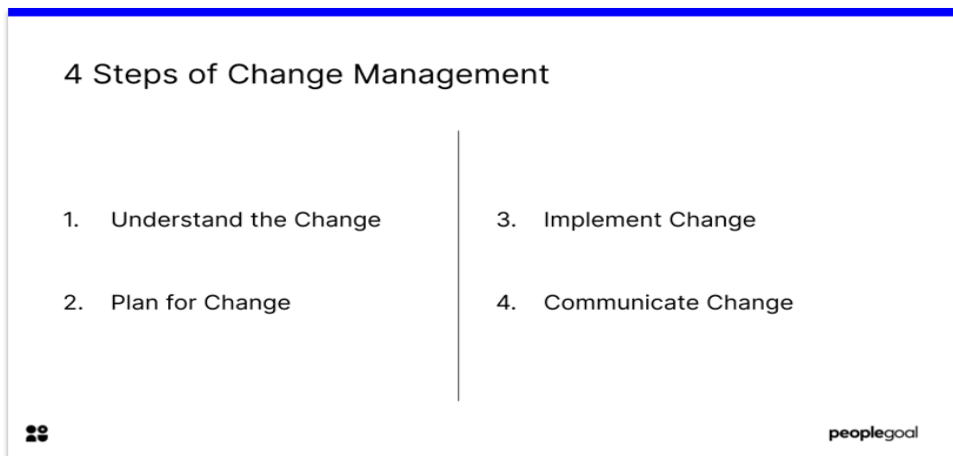
Manage Organizational Change

For managing organizational change on the lines elaborated above the human element becomes the most critical resource. Here HRM has a significant role to play. For any change to be effective the wholehearted co-operation of Employees and Executives at all levels in a proactive manner is vital.

The following five HRM initiatives (or HPWPs -High Performance Work Practices) which are self-explanatory, are examples of HRM interventions for proactive sustainable change in employees.

- training and development,
- feedback,
- job autonomy,
- participation in decision making
- and teamwork.

Following Diagram depicts the broad framework which the HRM must understand and within which it must operate to facilitate OD level Change Management.



C. Role of HRM

Role of change management facilitators in HR

Given are the different roles of change management facilitators in HR in building High Performance Work Teams.

1. Leading and Owning the Change

First and foremost, HR must understand the change eco-system and adapt fast to Change. For example, if they want a secure internal upward and downward communication systems for Change Management Communication, they must spearhead an intranet-based system with the help of Technology Department. This will include training the users in the communication system, introducing internal checks and control, documentation of the process and other related activities.

Mentor

The HRM can turn into a mentor, especially while working directly with employees, to lead them through the process of change. Mentoring builds confidence and courage in employees in times of uncertainties when change is happening.

Recently in 2023 in Switzerland one big bank was taken over by another bank. Many HR Department professionals from the merged Bank played the role of mentor by mapping the existing talent in the merged bank and assuring them of stability.

Guide

HRM is equipped with the unique skill of guiding people through a new change process due to the nature of the job. Can also utilize its expertise in self-education and educating people through workshops and creating practical tools. They can provide other important resources like reading materials and ensure the education of employees on the various change methodologies.

Listener

Listen to inputs and reactions from change participants and help in review and modification of the process and structure of change, wherever necessary. HR can help guide an organisation to be careful with every vital factor required to add value to CM.

Watchdog

HR plays the role of a watchdog in organisations by taking appropriate measures to maintain high level of integrity during change process. HR leadership is visible when the integrity of a company is guaranteed. It ensures fair-play and builds trust at a very critical juncture. HR comes up with organizational designs that help implement change. Likewise, it also controls the different change processes accompany adopts and ensures they are harmonious and coherent.

HR designs work-calendars and milestones that help both employees and organisations become time conscious while working to achieve their goals. A successful change in an organisation happens within a given timeframe. Therefore, working with a calendar can help team member's work within a timeframe. In short a process framework is given by HR making it easy for employees to understand their responsibilities and roles.

Recruiter

For an efficient change process, HR carefully oversees the recruitment of new employees. This recruitment process also includes onboarding (getting included in the team fast). It identifies the need for a role, writes job descriptions, enumerates the required skills for the right candidates, sets salary budgets, interviews, and selects qualified candidates. The HR finds this role to be one of its vital duties, as it helps job applicants know the required specifications for the positions they apply for. It ensures the recruitment of the best candidates for vacant positions in an organisation.

Training Facilitator

When employees receive training and guidance on their responsibilities, work operations can be smoother. HR trains managers to become knowledgeable and good change agents.

Effective communicator

The human resource team of every organisation often has the responsibility of communicating with the employees or team members of the company or organisation. Through effective communication, they share their strategic ideas with different departments to help them clarify the company's visions and goals. With their effective communication abilities, they influence transformation or change through vital HR policies.

Conflict Resolution

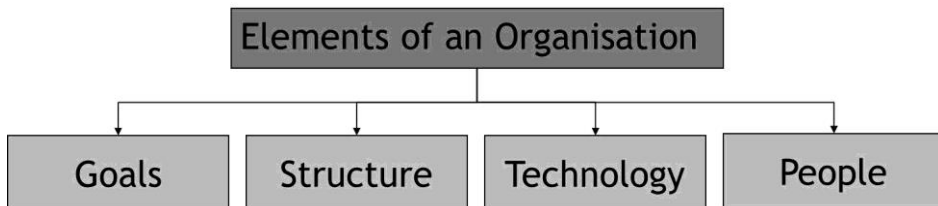
HR helps resolve conflicts between employees and employee relations. For a successful transformation process, HR personnel ensures that good relations exist between employees. They also ensure there's high organizational performance, enhanced engagement and loyalty between staff. Most times, HR acts as an intermediary between managers and employees and can establish fair working rules and regulations as it brings change to a work environment.

To further appreciate the importance of HRM in CM. the following points regarding interconnected role of HRM with other elements of an organization is elaborated upon:

1. Change process in an organisation

- a) Organisations are open complex systems. The four major elements of an organisation are:
 - i. Goals,
 - ii. Structure,
 - iii. Technology and
 - iv. People

Diagram1: Elements of an organisation



Any change in any element of the system affects and is affected by all the other elements of the system. Change may begin in any one of these or all the four together. The effects of change in one element are not an insulated one. It will have effect on others as well.

2. Contribution of HRM in Managing elements of change

Along with other change-agents HRM also plays a vital role in Management of change elements. Some of the major components which needs to be managed during change:

- a) Context of the organisation (outer and inner)
- b) Content of the change
- c) Process of implementing the change
- d) Time or sequence

a) Context of the organisation

The context of the organisation, encompasses everything within and outside the organisation. If it is decided to introduce new technology at work, it is not enough to look at the availability of technology and the economics of it. The unions, government policy, political situation and popular opinion are also important. Equally important are availability of steady electricity supply, communication linkages, maintenance and repair services and trained personnel at the various locations.

The development of “strategy” to implement change, is not a rational process with a clear relationship between one factor and another. It is shaped by varying interests and commitments of individuals and groups, as a continuous and interactive (repetitive) process.

The process of ‘adaptation’ to environment may sometimes lead to “drift” without any clear decision being made on the direction of change. Indecision occurs as a response to the environment as perceived.

Example

The need to shift from economic policies that gave Government a dominant say through licensing, centralised planning and ownership (nationalisation) had been felt even in the 1980s, long before the shifts were announced and implemented in 1991 and later. Most political parties found it difficult to disagree with this need, but found it equally difficult to actively support it. There was a certain ambivalence that existed because of the multiple interests that political leaders are concerned with.

The most common manifestations of drift are:

- i Strong and divergent departmental perspectives, leading to intergroup differences or conflict
- ii Diffused controls from too many control points, having different thrusts
- iii Low morale among the employees, manifesting in lack of concern for performance, poor inter-personal relationships, rigidity in styles of functioning and indifference to results
- iv Employees having a feeling of being neglected
- v Poor response to market demands.

To put it simply, people within, experience a sense of uneasiness, feel “nothing is being done” or “nobody seems to be bothered”.

The period of drift leads to growing signs of disquiet, eventually entering into a state of flux characterized by a lack of clarity of purpose, increase of divergent pressures and realignment of pressure groups. The period of disturbances caused by the “flux” and the realignment, is when the decision to change is made. The drift ends. This decision is possible when most of the forces in the situation modify their earlier ways of thinking.

HRM plays a major role by giving necessary inputs to top management at the time of ‘strategy’ formation (which may include supply of talent pool at appropriate points, mapping training and coaching needs, identification of mentors etc).

Again during 'adaptation' and 'flux' period HRM's role acquires greater significance for making smooth transition and avoiding 'drift'

b) Content of the change

The context determines the need for and direction of change. Content relates to the nature of change, what the end result after change should be. The content may relate to one or more of the elements in the system like:

- i Goals or objectives
- ii Work group
- iii Skills
- iv Role relationships
- v Technology
- vi Service functions (inspection, planning, quality check)
- vii Structure
- viii Management styles
- ix Information systems
- x Wages and rewards

In most of the elements listed above it is more than obvious HRM will play a significant role like setting up KRA for goal achievement, forming work groups, enhancing skills, establishing clear role relationships, talking to technology for setting up communication process, posting appropriate manpower for service functions, strengthening structure, improving management styles through training and coaching, upgrading information systems and last but not the least framing appropriate reward systems.

c) Process of implementing the change

Changes take place in organisations through people. Changes cause differences in the ways in which they behave. Organisational behaviour is the resultant of the behaviour of people as individuals and as groups. Changes in organisational behaviour have to be accompanied by changes in individual and group behaviours. While managing organisational change, the focus is also on individuals and groups.

We have learnt that for learning to take place in an adult individual, he has to first unlearn something. The same process takes place in organisations also. Organisations have knowledge. They have styles and methods.

Changes take place in organisations through the same processes of unlearning and moving to the new learning. Changes do not become effective and operational unless they are managed properly, during the “moving” stage and refreezing made to happen. Changes have to take place in the minds of people, before they become organisational phenomena.

It is said that a match is won in the mind first before it is won in the field. Similarly, before any change process takes place physically it must be accepted by the change agents. The process must be understood, accepted implemented and sustained. In the initial two phases namely to make the process being understood and accepted HR plays a very significant role.

For example, when LIC had to computerize more than 20 crore manual records held in the form of policy dockets in paper form, the first job was to convince the employees about the benefits of computerization. Once they were convinced, their help had to be obtained in weeding out redundant records and keeping the required papers in the policy-docket ready for outside agency to upload on computers more systems and processes also came into play before the mission was successfully accomplished.

No doubt technology was the back bone of this change but without HR stepping in the process could not have been smooth.

d) Time and sequence

Some changes are quick to make and also quick to unmake. Such changes have short term implications. Some other changes have long term implications. They are slow to take roots. They touch basic structures and processes. Long term changes are normally part of “strategic” decisions. Strategic change is descriptive of the magnitude of alteration in culture, structure, product, market positioning, etc. Generally, the changes which have long term implications are termed as strategic change

Steps involved in Time and Sequence Process:

Mapping

Mapping or charting shows the departments concerned with change and HR professionals a solid grasp of how many employees is currently working at the company and what their roles are. (Organizational chart)

This is the first in the sequence and not too much time can be spent on it. It is the duty of HR to always keep it ready.

Calibrate employees’ duties and functions

Keeping the emerging requirements due to strategic changes in mind, HR department will have to assign employees new jobs for emerging roles, rewrite the responsibilities and rewards and acquire new talent if needed.

Reinforce the change

In order to ensure continuity and sustainability HR Department will have to have structured reporting formats, continuous monitoring of changes at employee level, keep the morale high, and getting feedback from employees on aspects of changes that affect the employees and take corrective action

To sum up

Successful organizational change depends on a strong change management strategy, and HR plays a crucial role in crafting that strategy.

Other indirect factors that influence change management in which HR has a direct role to play.

1. Quality of life (QL)

Quality of life is a non-financial component associated with job and life satisfaction. When used in a work-related way, quality of life often refers to the time and ability to do the thing someone enjoys, other than his work.

Quality of life (QL) does not depend on the availability of material comforts.

At times of change where quality of work must improve HRM will have to realize just by increasing the salary the employee cannot be expected to work continuously. Optimum balance must be struck through proper rewards and incentives to ensure Quality of Life of the employees. Today especially the new generation of employees want an appropriate balance in salary and quality of life when considering how good or bad a job is. Quality of Life reflects on job efficiency as well.

a) Quality of Work Life (QWL)

The quality of the experience at work is Quality of Work Life.

Quality of life and Quality of Work Life affect and build on each other. Bad QWL leads to absenteeism, turnover, drugs, alcoholism etc. Good QWL leads to involvement, commitment and creativity at work. Management Development looks at QWL.

b) QWL programmes

QWL programmes generally focus on the environment within the organisation and include:

- i basic physical concerns such as heating and air conditioning, lighting, safety precautions and

- ii factors relating to health like clean atmosphere, drinking water, relaxation, fatigue and stress.

Also related to QWL are respect at work, suitability of working hours, convenience of commuting to work, monotony and challenge, freedom and responsibility, equity in reward systems, participation in decision making, levels of trust and recognition, behaviours of and relationship with superiors, colleagues and subordinates.

QWL is not based on any particular theory. Neither does it suggest a particular technique to be tried. QWL is concerned with overall climate and the impact of work on people. QWL tries to make work enjoyable, exciting and a pleasant experience.

c) Variables that affect QWL

QWL is, in the final outcome, the dependent variable. The variables that affect QWL are:

- i. The individual, his needs, background etc.
- ii. Job characteristics, responsibility, skill levels, pressures etc.
- iii. Organisational factors, structure, support, communication, participation, reward systems etc.

d) Happiness and satisfaction

Happiness and satisfaction occur when the actual experience is consistent with what one would like to, or expects to, experience.

Events that are consistent with one's deepest desires (needs and values) are very satisfying and vice versa. Events that cause fright and anxiety make the experience unpleasant. Unpleasant experiences make for bad QWL.

If stress leads to challenge at work and there is consequent learning and success, QWL is enhanced. The situation becomes challenging when the outcomes therefrom are "desired". What one desires, is what one values as important. Thus QWL (and QL) are related to values.

Certain factors like absenteeism are indications of poor QWL, while commitment to work is an index of good QWL.

- e) Organisations have the responsibility to improve the QWL of their employees. Otherwise, the contributions of employees will be less than optimal. Psychological energy and therefore, physical, and intellectual capacities, improve with QWL. Taking care of QWL directly impacts on organizational performance. **Options available with HRM for improving QWL**

- i. Redesign environment to have the attributes desired by the personnel within. This seeks to improve QWL because it:
 - ✓ humanises the work
 - ✓ provides opportunity to upgrade existing skills
 - ✓ provides credible support for challenges and innovation
 - ✓ encourages taking of responsibility
 - ✓ recognises person's non-work role also

Example

An organisation can help its employees in coping with stress, by

- i Showing them how to manage their emotions
- ii Providing social support in stressful situations.
- iii Demonstrating ways of coping with effects of stress.

f) WELLNESS Programme

Programmes to improve QWL, also known as WELLNESS programmes take several forms like:

- i Improving motivation and potential through:
 - ✓ job redesign
 - ✓ job enrichment
- ii Improving health through:
 - ✓ yoga
 - ✓ meditation
 - ✓ regular physical check up
 - ✓ bio feedback exercises
- iii Reducing powerlessness through:
 - ✓ various HRD practices
 - ✓ training
 - ✓ counselling

2. Stress

Stress is directly related to QWL. It is experienced by people, in the nature of tension or pressure. It generates a feeling of discomfort and sometimes even of

helplessness. If not properly managed, stress can become the cause of debilitating illnesses, like peptic ulcer, colitis, insomnia, hypertension, diabetes, cardiac and kidney problems, etc.

a) A person experiencing stress attributes it to someone else or to some situation, over which he has little control. In reality the experience comes out of what the person thinks about that situation.

Some people get tense as soon as they get a call from the boss. Many people get frightened when confronted by a dog or a snake. The cause of the disturbance is really within themselves, a creation of the mind. There are students who get extremely anxious on the day the results are to be announced and there are others who do not bother, saying that anxiety does not help as the examinations were over long back.

b) Stress is a condition when the body perceives ‘danger’.

In that perception, the body automatically gets ready to meet the danger. The response has to be either fight the danger (face it) or take flight (run away). Both responses require that the body’s strength be mobilised, that the state of alertness be high.

c) It helps to be tense at the appropriate moment.

A goal keeper in a football game has to become tense when the ball is being moved towards him. He can be seen to be on his toes literally, jumping, ready to meet the ball. That tension brings to the fore all his skills in coping with that ‘danger’. But it does not help him to remain in that state of tension, when the ball is at the other end of the field. There is no danger. Stress helps to optimise the use of available energy and competences.

The changes that happen in the system due to stress include more blood being pumped to the muscles of the arms and feet, faster breathing and heartbeat, release of more energy into the system, withdrawal of normal maintenance activities (in the stomach, for example) eyes being dilated for sharper vision. Finger tips get cold .because less blood flows there.

If the condition of stress continues for a long time, without abating, the changed situation would not be reversed to normal. In that case, like a rubber band that is kept extended for a long time losing its elasticity, fast breathing, fast heartbeat, etc., will continue permanently and that is the cause of the diseases mentioned earlier. Therefore, while stress is helpful for superior performance, it is necessary that the stress condition is not allowed to last for too long.

d) Situations at work in which people may often get stressed are:

- ✓ Inability to get results
- ✓ Feeling pressurised by public / bosses / unions
- ✓ Inadequate resources (powers, staff, time) to get work done
- ✓ Not being appreciated (lack of recognition)
- ✓ Inequitable rewards (someone else gets better benefits)
- ✓ Too much work (overload)
- ✓ Too little work (underload)
- ✓ Needs not met
- ✓ Not being included (groups organized against self)
- ✓ Feeling unequal (in skills, status, qualifications, etc)
- ✓ Monotony, no challenge at work
- ✓ Close supervision
- ✓ Little opportunity for growth
- ✓ No clear responsibility (role ambiguity)
- ✓ Role erosion (not allowed to do)
- ✓ Role conflict (clashes with other jobs)
- ✓ Multiple demands from role set
- ✓ Fear of failure

Here directly or indirectly HRM has a role to play

To conclude, HRM acts as catalyst in managing changes that happen in an organization

Summary

Role of HRM in strategic Change Management.

Company or organization going through a transformation is termed as CHANGE

The following three tenets forms the basis of Peter Drucker's theory of Change Management (CM)

- Predict The Future by Creating It.
- Understand The Inevitability of Creative destruction.
- Manage With Ambidexterity

Five High Performance Work Practices (HPWP) for HRM Change interventions:

- training and development,
- feedback,
- job autonomy,
- participation in decision making and
- teamwork

4 Steps of Change Management

- Understand Change
- Plan for Change
- Implement Change
- Communicate Change

Role of HR in Change Management

- Learn and adapt to change
- Mentor
- Guide
- Listener
- Watch Dog
- Recruiter
- Training Facilitator
- Effective Communication
- Conflict Resolution

The major elements of an Organizations are

- Goal

- Structure
- Technology
- People

All four are interconnected and during Change process one influences the other. HRM or People element along with others has influence on:

- a) Context of the organisation (outer and inner)
- b) Content of the change
- c) Process of implementing the change
- d) Time or sequence

Steps of change process in Context are

1. Strategy Formulation
2. Stage of Flux or uncertainty
3. Adaptation and at times
4. Drift

Content deals with following aspects during change process

- i Goals or objectives
 - Work group
 - Skills
 - Role relationships
 - Technology
 - Service functions (inspection, planning, quality check)
 - Structure
 - Management styles
 - Information systems
- ii Wages and rewards

Change process implementation stage Changes in organisational behaviour have to be accompanied by changes in individual and group behaviours. While managing organisational change, the focus is also on individuals and groups.

To make this happen there are three steps

- Unlearning
- Moving to new learning
- Refreezing

Time

Generally strategic changes are long term changes and following steps under this head is adopted

- Mapping
- Calibrating the employees

Other indirect forces in change management are

- Quality of Life (QL)
- Quality of Work-Life (QWL)
- Stress Management

HRM Takes into account directly or indirectly the above factors to accomplish a smooth change process.

Key Terms

Calibrate

Change management

Change Transformation

Content

Context

Creative Destruction

Elements of change

Guide

HPWPS-High Performance Work Practices

Listener

Mapping

Mentor

Peter Drucker

Process

Quality of Life (QL)

Quality of work life (QWL)

Reinforce

Strategy Sequence

Stress

Self-Examination Questions

Question 1

“Predict The Future by Creating It.” This quote is by.

- I. C.K.Prahlad
- II. Michael Porter
- III. Alvin Toffler
- IV. Peter Drucker

Question 2

QWL stands for:

- I. Quality of Work Line
- II. Quality of work Life
- III. Quality of Work Level
- IV. Quality of work Load

Question 3

Successful Change Management Strategy involves:

- I. Predicting the Future by Creating It.
- II. Understanding the Inevitability of Creative destruction.
- III. Managing With Ambidexterity
- IV. All four

Answers to Self-Examination Questions

Answer 1

The correct option is IV.

Answer 2

The correct option is II.

Answer 3

The correct option is IV.

CHAPTER 7

HRM AS A FULCRUM FOR ORGANIZATIONAL CULTURE AND ETHICS

Chapter Introduction

In the previous Chapter on Strategic Change Management, it was seen that Organizations constantly undergo Change.

Culture and Ethics act as anchor during the change which give stability and continuity to the organizations.

Culture. Vision Mission, Goals and Ethics are not standalone aspects but they are dependent on one another for giving strength and stability to the organization.

This chapter, elaborates on all the above aspects including values which is a manifestation of organizational culture. The chapter further highlights the role of HRM in fostering Culture, formulating Vision and Mission, finding methods of Goal Achievement, focusing on Value based Decisions etc.

The 5 Ps of Ethical Power viz. purpose, pride, patience, persistence, and perspective are also elaborated upon.

Learning Outcome

- A. What is Culture
- B. Role of HRM in building organization culture
- C. How HRM can help in spreading Vision Mission and Values
- D. What is Ethics
- E. Ethics and Governance

A. What is Culture

Culture is the way we do things around here - Charles Handy.

The principles and beliefs of any organisation form its culture. The organisation's culture decides the way employees interact amongst themselves and external parties. Every organisation has specific values and follows some policies and guidelines which differentiate it from others.

B. Role of HRM in building organization culture

Recruitment, Selection, and Training are some of the basic functions performed by HRM. These exercises can influence employee behavior and build values that develop the organizational culture.

Culture in an organization plays a pivotal role in the latter's progress. Most importantly culture should be all pervading and there must be employee-organizational culture fit.

Management experts have come out with many models for explaining the relationship between culture and Organizational success. The model selected here is Organizational culture profile (OCP) which is simple and easy to understand. It is also one of the latest and hence has more relevance to the current world.

OCP is an instrument initially developed by O'Reilly, Chatman, and Caldwell (1991) to assess person-organization fit. Which means, in theory, employees should have the same basic cultural assumptions and values as the company for which they work.

OCP deliberates on seven distinct values in culture.

The Diagram below shows the 7 dimension model of OCP



Innovative - In the current fast changing dynamics this is very much needed as a culture fit.

The choice facing the companies today is - Innovate or Perish.

A case in point where Human Resource Information Management System (HRIMS) which is part of HRM function (and technology) acted as catalyst for fostering innovation.

Unique Identification Authority of India - UIADAI which was spearheaded by Nandan Nilekani Infosys founder member, is a very good example of innovation. Aadhar card has revolutionized the way banking and many other major services are delivered. It has cut down the role of middlemen and has encompassed all strata of Society. This is not just a technological marvel but also an example of human co-ordination at all levels.

Aggressive - Whenever external factors like competition comes into play the company had to adopt an aggressive culture. To compete effectively competencies need to be built up and training on latest methodologies plays a major role which is part of HRM.

When Insurance sector opened for private players in late 1990s all public insurance sector companies adopted an aggressive approach by training their

staff extensively in areas like technology marketing product development etc. with the help of HRM.

Outcome Oriented - Here the focus is on predetermined result or goal. HRM has to work closely with Production to keep the morale of the employees high and avoid stress burnouts.

This can be mainly seen in manufacturing Sector. Mahindra and Mahindra company wants to produce 2 lakh Electric Vehicle every year up to 2029. This is not a vision statement but relates to achieving targets.

To appreciate the difference between outcome orientations which is a component of culture and vision the following vision statement of Tesla which is also into electric car manufacturing will help.

“To create the most compelling car company of the 21st century by driving the world's transition to electric vehicles” - Tesla

Output is a destination while Vision is a journey.

Stable - As the name suggests this type of culture is the one which is understood by majority of the company employees and is almost part of their DNA. Mostly this is found in well-established bureaucratic type of companies. It is good to have a stable culture but bringing changes becomes difficult.

HRM has a dedicated training Departments and outfits in such type of stable culture and at times outsourcing is also done.

The Brand TATA is a good example of a stable culture.

People Oriented - Here employees are empowered to take on the spot decision without referring to higher authorities in times of need. Here the training is ongoing and mostly on the job. Employees understand empowerment also carries responsibilities. Instant reward system is another contribution of HRM here.

“Treat employees like they make a difference, and they will.” The result: a loyal and dedicated workforce. CEO, Jim Goodnight

Rescue teams - Teams nabbing Terrorists Front line hotel staff of some big hotels are examples where the above culture prevails.

“India's best workplaces of 2016: Empowered employees make happy customers at Oberoi” Economic Times. Thus, Oberoi can be seen as practicing the culture of people empowerment.

Team Oriented - Where Teams are empowered and every team in the organization may have slightly different types of culture but the belongingness to the organization is there. Here the Onboarding training arranged by HRM plays a major role.

This can be predominantly seen where the teams work from different geographical locations. Many of the foreign banks like Citi .HSBC have their IT outfits in India while Head office is in a different country. The teams may have different culture but their objective is one.

Detail Oriented - The name is self- explanatory. The idiom “the devil is in details” which means, not paying attention to details can even lead to a catastrophe. Paying attention to details comes by practice and can become monotonous at times. Here HRM helps by building up interesting case studies and practical role plays to make the employees understand the importance of paying attention to details.

This type of culture can be seen in law enforcement institutions like Income Tax, Courts, Election Commission etc.

The Columbia space shuttle which carried Indian origin astronaut **Kalpana Chawla** is a classic case where details were ignored leading to a major catastrophe.

On investigation, it was found that a large piece of foam fell from the shuttle's external tank and breached the spacecraft wing which led to a series of mechanical failures ending in crash. This problem with foam had been known for years to NASA. The agency had a clear-cut rule in place forbidding debris strikes. The rule was never strictly enforced and NASA eventually came to look at foam shedding as an "acceptable risk." The result is there now for all of us to see.

Application of the model

It is not necessary that every organization should possess all the seven characteristics. There is a permanency about culture but all values and aspects need not be always present and not all through the organization.

As seen with the examples of the companies discussed above, cultural aspects

- Depend on the nature of business
- Are linked to the internal and external environments in which it operates.
- Need to face the challenges that may arise from time to time.
- Must adapt itself with changing times.

In short, cultural canvas will remain but the different colours will change depending on the picture that is painted on it. Culture is the climate of the organization which is permanent but changes are like seasons which keep changing. Building a conducive cultural climate is a must and HRM plays the role of a fulcrum here which balances the cultural canvas through different type of

interventions. HR is the fulcrum balancing the two groups that advocates for both the company's goals and employees' needs.

VISION

A vision statement is a short statement—about one sentence—that describes the future-facing goals and ambitions of your company

There is a debate as to which should come first - Culture or Vision? Both are equally important but as stated earlier culture is the canvas on vision is drawn. When a vision is not well-grounded in the values held in the culture and/or leadership team, it is likely to be only a temporary mirage.

What is vision and how it is linked to culture?

A successful **vision statement** inspires employees and steers an organization's efforts.

Some powerful vision statements:

Together we create the enterprises of tomorrow - HCL
Create experiences that combine the magic of software with the power of Internet - MICROSOFT

An inspiring vision statement motivates employees to be co-partners in their company's journey towards excellence. Inspired employees build customers' confidence which helps make a business's vision a reality. HRM must ensure that the vision is communicated clearly and comprehensively among all employees.

A powerful vision fosters culture and culture helps vision to gain in strength.

MISSION

A **mission statement** is an action-oriented sentence (or a short paragraph) that defines the **purpose and values** of the organization.

- They are a critical part of business and culture development.
- They are essential for clarifying a business's strategic direction.
- They play an integral part in deciding the organization's way forward.

A mission statement provides perfect clarity behind the,

“what,” the “who,” and the “why,” of a company.

Mission statements are short-term in nature. They are different from vision statements, which define an organization's goals and aspirations. Even though

both are used to define the organization's purpose, vision statements are long-term.

Mission statements also play an important part in defining the company's primary objectives along with its products and services. They highlight the core principles of the business, such as what the business does and who it does it for.

Some Mission Statements:

"Spread Ideas" -TED (a media organization that hosts hours of content as lectures or talk shows)

"To connect the world's professionals to make them more productive and successful." - LINKEDIN

Role of HRM in Mission Statement

Collaborating with leadership to communicate the company mission and strategy.

HRM role is with **ensuring employees understand and can articulate the company's mission, vision and values through clear employee communication.**

Goals Or Objectives **Goals and Objectives are used synonymously in this description**

A goal or objective is an idea of the future or desired result that a person or a group of people envision, plan and commit to achieve. People endeavour to reach goals within a finite time by setting deadlines. - Wikipedia

C. How HRM can help in spreading Vision Mission and Values

Role 1: Development

HR has in depth understanding of employees' behaviour and attitudes. Due to this, HR will be part of the core team along with senior leadership who develops and defines a company's mission, vision and values. The HR team will assist in this by seeking input from employees, customers and other key stakeholders. HR will have to develop strategies in reinforcing core values woven around the concepts, of mission, vision and values show the path to goal achievement.

Role 2: Communication

HR is tasked with ensuring employees understand and can articulate the company's mission, vision and values through clear employee communication. This communication has to be frequent, informal and formal, verbal and written.

Role 3: Leading by Example

HR professionals should lead by example by demonstrating ethical actions and behaviors on how to live out the mission, seek the vision and, most importantly, model core values for their peers.

Culture based values Vision, Mission and Goals or Objectives are all interlinked and help in the progress of an organization.

Few other ways how HRM can help in fostering culture vision and mission and achieve the goals

Recruiting and hiring employees whose values are consistent with the organization,

Every Training must have one input on the important areas mentioned above. For new recruits an elaborate training on Vision Mission and Goals is a must.

Key Result Areas (KRAs) and activities for their achievement need to reflect the Vision, Mission, and Goals of the organization, Assisting in writing KRAs of all Departments where the spirit of the vision is upheld, mission is clarified and goals become achievable.

HRM must formulate the standards and measures including review mechanism for KRAs. Appropriate reward systems with checks and balances for non-achievement must be put in place by HRM.

It is critical for HR to understand how culture vision and mission affects the bottom line and what actions HRM can take to analyse how these key aspects are influencing the **brand image** of the organization. Customers do not buy just the products they buy the brand.

In today's dynamic and technologically empowered company contexts HRM is no longer perceived as a profit centre for firms, but rather as a Valuable Stakeholder in their success. Rather than being tied to a department and limited to completing management objectives, HR should play a more active role in establishing company culture thus strengthening the vision mission and goal achievement process.

Test Yourself 1

Vision Statements are in nature.

- i Long Term
- ii Lengthy
- iii Advisory
- iv Short Term

Any discussion about culture vision and mission is not complete without elaborating upon Ethics.

Ethics is the foundation Culture, Vision and Mission.

The irony of calling a company “SATYAM” whose whole strong edifice collapsed due to unethical practices attracted the attention of every person in India

SATYAM became a classic case study to highlight the role of ethics very succinctly.

D. What is Ethics

“As we struggle with the uniquely complex challenges of the twenty-first century, it is good to remind ourselves that what matters most now is what’s always mattered: our bedrock values” - Gary Hamel.

Derived from the Greek word “ethos”, which means “way of living”, ethics is a **branch of philosophy that is concerned with human conduct, more specifically the behaviour of individuals in society.**

Ethics is the root of values. Values are generally accepted standards of right and wrong.

Values are learnt from contacts and experiences with persons who articulate values. Values are learnt from the mother’s knees, (listening to fables and fairy tales), school, dinner table conversations, literature, stories of heroes, legends and spiritual discourses.

- a. Values influence opinions and actions.
- b. Values are guiding principles that determine one’s evaluation of what is right or wrong.
- c. Values constitute the foundations of one’s discipline. They are deep rooted, fundamental beliefs.

- d. In the aggregate, values constitute the character of an individual. They lay down one's standards of propriety and righteousness.
- e. When anything happens contrary to these standards, brand image of the organization gets hurt. The conscience pricks. Conscience is the custodian of values.
- f. Business Ethics ensures a consistent principle-centered approach within the company, from executive-level management to the recruit.

A set of values practiced constantly by individuals, organizations and societies becomes the cultural ethos of the individuals, organizations and society respectively.

Business Ethics

Ethical behavior is a crucial component of a business's success and employee trust. Organizations rely on leaders and employees to make the right choices at work, even when it may be difficult as ethical principles are many a time not explicitly stated but implicitly known. There would be general awareness of what constitutes proper behaviour. For e.g. It is clearly not right to 'cheat'.

Business Ethics is not controlled by law in the strict sense of the term but it is guided by the basic principles of law, viz., fairness and justice and good of the society at large.

Business Ethics ensures a consistent principle-centered approach within the company, from executive-level management to the recruit.

As seen earlier Business ethics is the cultural ethos of the organization including its vision and mission, It is all pervading. It is there or not there. It is as simple as that. It is not possible that some parts of an organization are ethical and others are not. Any one unethical act can dent the Brand image.

HRM's Role in Ethics

- Develop a company appropriate policy of ethics in consultation with senior management which must cover Corporate Governance aspects as well.
- Understand the sensitive aspects of working of each Department which requires proper monitoring of employees' activities. For e.g., getting undertaking from Officials working in Investment Department where they may be privy to market sensitive information
- Create a code of conduct like Staff Regulation which will lay down the duties and responsibilities of the staff, including action that will be taken if dereliction of duty happens.
- Every employee must have access to this document and must be aware of the important provisions of the said document.

- The officials assigned with the responsibility of enforcing the regulations must undergo extensive training and must impart knowledge to the employees concerned.
- Compensation packages must commensurate with the job done.
- Performance Appraisal system must be scientific and merit oriented.
- Protect the privacy of sensitive data of the employees.
- Work towards creating a sense of pride amongst employees for upholding ethical values.

HR leaders have the opportunity to play a greater role in contributing to organizational success if they are effective in developing ethical policies aligned with the organization's culture, values, goals, and mission.

Test Yourself 2

Principles of Business ethics is

- Always Explicitly stated
- Laid down in statutes of Law
- Implicitly known
- Documented by the Company

E. Ethics and Governance

Questions of business ethics have been the focus at various forums. Codes on "Corporate Governance" have been drafted and adopted. All of them, deal with structural issues, like number of independent and / or full- time directors on Boards of companies, constitution of Audit and other committees consisting of directors, number of Boards on which a person may serve as director and so on.

To conclude, Organizational Ethics starts from the Top and permeates all over the organization. Senior management has to 'Walk the Talk.' A culture of Trust must be built up.

For HRM Ethics is not a just a function or role to be performed. It is the spirit which must be behind all its actions.

Since major decisions regarding employees are made at HRM, ethical decision making becomes very significant. Even one single unethical decision can make employees lose confidence about the ethics culture of the whole organization.

The model developed by Ken Blanchard and Norman Vincent Peale in their book 'The Power of Ethical Management' can serve as a touchstone for

checking the standard of ethical decision making. They have elaborated upon “Five Ps of Ethical Power” describing the principles behind ethical decision making. Principles of ethical decision-making.

- Purpose
- Pride
- Patience
- Persistence
- Perspective

Purpose in short, is an organization’s Vision embedded in its values. It says what is acceptable and what is not acceptable and why the company exists.

LinkedIn Vision statement is a good example for what the company stands for:

“Create economic opportunity for every member of the global workforce.”

Pride a healthy sense of pride springs from a positive self-image and confidence in one’s abilities. This can happen if the employees like what they are doing and their competencies are sharpened with different positive interventions.

Majority of the Public Sector Insurance Employees take pride in their company because of the work environment.

Patience is not seeking instant gratification. In the present time this virtue is in short supply both at individual level and Organizational level, The ‘two-minute maggi noodle’ culture has become all pervasive. Patience is required for long term growth, for putting systems in place, train manpower, have required checks and balances etc. Many unethical practices happen as the organizations look for short cuts.

Big Industrial Empires like TATA SONS Reliance and others like them are a testimony for the success of patience as a virtue.

Persistence, doing what is right in spite of any internal or external challenges. Patience is about commitment and not interest. Employees may lose interest after novelty wears off from a particular project but patience demands a commitment which must be there till the end.

Chandrayan II launch is a standing example of persistence which has made us Indians proud.

Perspective is about understanding the correct context. If context is lost content will have no meaning ethical leaders have perspective – the ability to step back and view situations from a big picture point-of-view. This can be tough to do – especially today, with the pressures created by increased competition in the global economy and constantly evolving technology.

When Insurance Industry opened-up a Regulatory Body for insurance was set up by Government Authorities. The Body regulated the industry in such a way the whole opening-up of the Industry to Private players was smooth and effective, since the perspective was clear the systems fell in place quickly.

Test Yourself 3

5Ps elaborate on:

- i. Organizational Culture
- ii. Ethical Decision Making
- iii. Ethical Dilemma
- iv. Culture and Values

Brand image building with HRM: Customers do not just buy the product, they buy the Brand and Brand is built by culture and Ethics, which the customer experiences through employee-behaviour. HRM plays a vital role in this chain of action, therefore, it is critical for HRM to understand how culture affects the bottom line.

Culture Vision Mission and Ethics are s present throughout the organization and anything negative happening in a very small proportion to any one of these aspects can damage the organization's reputation badly They are simply present or not present. There are no two ways about it. HRM as to ensure every small detail in this regard is taken care.

Some time back there was a classic case of ITC having one biscuit less in every packet of one of its famous brands which neither the public or legal authorities were prepared to ignore. ITC's image got dented. For a big business empire like ITC this is a small slip which proved costly.

“For want of a battle, the kingdom was lost, and all for the want of a horseshoe nail.” Benjamin Franklin Founding Father of US, included a version of this proverb, preceded by the words, “A little neglect may breed great mischief,” in Poor Richard's Almanack in 1758 when the American colonies were at odds with the English Parliament.

For want of a nail, the shoe was lost;
For want of the shoe, the horse was lost;
For want of the horse, the rider was lost;
For want of the rider, the battle was lost;
For want of the battle, the kingdom was lost;
And all from the want of a horse shoe nail.

Summary

- a) Culture. Vision Mission, Goals and Ethics are not standalone aspects but they are dependent on one another for giving strength and stability to the organizations in general and during Change Process in particular.
- b) The principles and beliefs of any organisation form its culture.
- c) Recruitment, Selection, and Training are some of the basic functions performed by HRM. These exercises can influence employee behavior and build values that develop the organizational culture.
- d) Culture in an organization plays a pivotal role in the latter's progress. Most importantly culture should be all pervading and there must be employee-organizational culture fit.
- e) OCP (Organizational Cultural Profile) is an instrument initially developed by O'Reilly, Chatman, and Caldwell (1991) to assess person-organization fit. Which means, employees should have the same basic cultural assumptions and values as the company for which they work.
Seven aspects of OCP are: Innovative, Aggressive, Outcome Oriented, Stable, People Oriented, Team Oriented and Detail Oriented.
It is not necessary that every organization should possess all the seven characteristics. There is a permanency about culture but all values and aspects need not be always present and not all through the organization.
Definitions and Examples of Vision Mission Objectives and Values.
Role of HRM in fostering Culture, spreading of Vision, creating awareness about Mission and setting standards for Goal achievement.
- f) What is Ethics
- g) Ethics as foundation of Culture, Vision, and Mission.
- h) Ethics is a branch of philosophy that is concerned with human conduct, more specifically the behaviour of individuals in society.
- i) Business Ethics
- j) Business Ethics ensures a consistent principle-centered approach within the company, from executive-level management to the recruit.
- k) HRM's Role in Ethics
- l) Ethics and Corporate Governance
- m) Organizational Ethics starts from the Top and permeates all over the organization. Senior management must 'Walk the Talk.' A culture of Trust must be built up.
- n) Since major decisions regarding employees are made at HRM, ethical decision making becomes very significant. Even one single unethical decision can make employees lose confidence about the ethics culture of the whole organization.
- o) The 5 P's model of Ethical decision making developed by Blanchard and Peale,

- Purpose
 - Pride
 - Patience
 - Persistence
 - Perspective
- p) Brand image building by HRM
- q) Every small detail involving ethics is important

Key Terms

- a) 5P's of Ethical Decision making
- ✓ Patience
 - ✓ Perspective
 - ✓ Persistence
 - ✓ Pride
 - ✓ Purpose
- b) Blanchard and Peale
- c) Business Ethics
- d) Change Process
- e) Culture
- f) Ethical Decision making
- g) Ethics
- h) Ethics
- i) HRM
- j) Mission
- k) Objectives or Goals
- l) OCP-Organization Culture Profile
- ✓ Innovative
 - ✓ Aggressive
 - ✓ Outcome Oriented
 - ✓ Stable
 - ✓ People Oriented
 - ✓ Team Oriented
 - ✓ Detail Oriented
- m) Principle Centered approach
- n) Vision
- o) Walk the Talk

Answer to Test Yourself

Answer 1.

The correct option is i

Answer 2.

The Correct Option is iii

Answer 3.

The correct option is ii

Self-Examination Questions

Question 1

----- is the principles and beliefs of an organization

- i. Vision
- ii. Ethics
- iii. Mission
- iv. Culture

Question 2

Organizational Cultural Profile {OCP} has -----aspects to it.

- i. 10
- ii. 7
- iii. 5
- iv. 8

Question 3

Ethical Decision-Making model consisting of 5ps is developed by

- i. Peter Drucker
- ii. Phillips Kotler
- iii. Ken Blanchard and Norman Vincent Peale
- iv. None of the above

Answers to Self-Examination questions

Answer 1

The correct option is iv.

Answer 2

The correct option is ii.

Answer 3

The correct option is iii.

CHAPTER 8

MOTIVATION

A. Meaning of Motivation

1. Introduction

Definition of Motivation and methods of Motivation can vary and the definition can differ based on the context it is applied. In this chapter the focus is on Employee motivation.

Definition of Employee Motivation -

The psychological and emotional factors that influence an employee's behavior, dedication, and job satisfaction.

Employee Motivation in Human Resource Management (HRM) is a vital part of efficient workplace administration. It is crucial for organizations because it directly impacts the performance and productivity of employees.

HRM can increase the motivational levels of employees in a variety of ways which includes:

- Recognition
- Opportunities for growth and development
- Conducive work atmosphere
- Culture of the organization

It has also to be understood that Motivation is an internal impulse and not an external stimulus. External factors mentioned in the earlier paragraph can only act as a catalyst. When employees are motivated, they're more likely to be productive, creative, and engaged in their job.

Daniel Golman in his book on 'Emotional Intelligence' has written about the importance of Self-motivation and how it manifests.

- a. Achievement drive: Striving to improve or meet a standard of excellence
- b. Commitment: Aligning with the goals of the group or organization
- c. Initiative: Readiness to act on opportunities
- d. Optimism: Persistence in pursuing goals despite obstacles and setbacks

HRM can nurture self-motivation desire consisting of above components, in employees by adopting the following methods:

- Increasing employees' drive to achieve through setting standards of excellence and erecting goal posts towards the journey of excellence.

For e.g., Helping employees in clearing professional examinations related to their respective fields like IIT exams, Actuarial, Risk Management etc.

Helping them to increase their commitment by making them appreciate the Vision Mission and Goals of the Organization and aligning their aspirations with the goals of the group or organization.

For e.g., Communicating with them all milestone achievement of the organization and making them part of decision- making process.

Providing opportunities to take initiatives in their field of interest based on their talent knowledge and work experience and kindle their readiness to act on opportunities.

For e.g., Setting up a 'Think Tank' of highly qualified employees to present papers on strategic issues to Top Management.

- Keeping up employees' optimism levels even at the time of set- backs and give them courage to face the challenges, set-backs and obstacles.

For e.g., Establishing Counseling and Mentoring processes for employees who face problems in their work life and if need be, in their personal life, if they spill over to work life. (like alcoholism)

If motivation is perceived as 'coercion' 'authoritarian' or 'oppressive' it will have negative effect on the employees. For motivation to succeed it must to be perceived by the person who is getting motivated is something done in his own interest. Perception plays a major role here. Motivation sets a chain reaction. External motivation when done properly keeping the interest of the employee also in mind, results in internal motivation which is sustainable in long run. Many a time a motivated employee influences his team as well. If internal customers i.e., employees' motivation levels are high external customer satisfaction is also high.

Test Yourself 1

Which of the following statement is TRUE with regards to 'motivation'?

- I. Motivation is an external stimulus
- II. Motivations is an internal impulse
- III. Motivation can have a positive effect on external customer satisfaction
- IV. All of the above

B. Theories of Motivation

Every human activity is goal-oriented. No one really does anything without a purpose. Even involuntary activities, like a sudden twitch of the face, indicate something. The activity is expected to lead to the accomplishment of something. No one does anything unless there was a need to be satisfied.

The needs of human beings are the motivators for their performance. The right understanding of human motivation requires the study of the needs of human beings. Many studies have been made of needs and there are some popular theories that indicate the dynamics of motivation.

Human needs are varied in number and peculiar in character. Neither the nature nor the intensity of needs is similar in different individuals. But all of us are trying to satisfy some need or the other, by doing something or the other. Avoidance of a dissatisfaction (or pain) is also satisfying. Several thinkers have propounded theories of motivations.

1. Maslow's theory of motivation

According to Abraham Maslow, needs are grouped into five levels, starting from the lower level to the higher level needs. He calls this order 'The Hierarchy of Needs' which is explained below:

Diagram1: Maslow's Hierarchy of needs



a) Physiological needs

These are the basic needs for survival like the need for air, food, water, warmth and sleep. According to Maslow, unless these needs are satisfied, the other needs do not arise.

b) Security or safety needs

These needs are related to avoidance of physical danger, threat, sickness and deprivation (of job or property, for example). Stability is sought.

c) Affiliation or social needs

Since human beings are social beings, there is a need to belong to, to feel friendly and be accepted by others. Families, religions and group memberships provide satisfaction of these needs.

d) Esteem or recognition needs

Every individual wants to be recognized by society. This is not necessarily recognition of achievement. It may be recognition of good character, reliability, lovability, to be talked well about. It provides self-respect, enhances self-esteem. It generates concern. If one is afraid and another becomes aware of it and tries to help, there is recognition. Recognition is also sought through power, prestige and status.

e) Need for self-actualization

Maslow ranks the need for self-actualisation or self realisation as the highest need which usually manifests after all the other needs are met. A self-actualising person tries to realise his maximum potential for self-expression and become really great and worthwhile.

The concept is that all human beings try to satisfy their biological needs first. However, there are differences in what constitutes satisfaction. The need for food may be satisfied by a frugal meal or by a lavish feast. The intensity of the satisfaction of the other needs of higher order also vary from individual to individual.

Example

- i. For Indian Yogis the need for self actualisation does not wait for satisfaction of the other lower level needs. The other needs are perhaps, not significant.
- ii. Some painters or poets are known to continually express themselves through the chosen medium, even if none of the other needs are met. They could be hungry and homeless and yet they seek expression.
- iii. For the people who are homesick, the need for belonging, love and affection is very important.
- iv. Satyagrahis of the freedom movement suffered pain from lathi blows and went to jail, even faced death, but tried to fulfill themselves in the cause of the country.
- v. One may not understand the needs sought to be satisfied by suicide bombers, whether jihadis or naxalites, who live in jungles and caves and do not have any normal comforts, in terms of food or shelter.

A person may want to belong to a high class of society (esteem need) and may want to seek admission to exclusive clubs and therefore would like to earn well. He may therefore, try to cheat. He may dress and spend lavishly to appear rich, even at the cost of essential food for his family.

Persons working late in the office are ostensibly duty conscious, but may actually be wanting:

- i. the money (overtime) or
- ii. to avoid going home or
- iii. manipulating some fraud

The same conduct, therefore, may arise out of different kinds of motivations. The same motivation may express itself in different kinds of behaviours

2. Herzberg Hygiene Theory of Motivation

A study by Fredrick Herzberg showed that among the number of factors that employees experienced in a job, some provided satisfactions while others only provided dissatisfactions, if absent. He called the former group of factors “motivators” and the latter “hygiene factors”.

a) Hygiene factors

Hygiene factors must exist satisfactorily. Otherwise, there are negative feelings. Their presence removes dissatisfaction, but does not make people enthusiastic to work. They do not make workers want to do. This theory is called the Hygiene Theory or the Two Factor Theory.

Hygiene factors include:

- i. Company policy and administration
- ii. Supervision
- iii. Salary
- iv. Interpersonal relations and
- v. Working conditions

Close supervision is dissatisfying, but freedom from supervision does not provide high level of motivation. So also, if the salary is not good, there is dissatisfaction, but if the salary is good, only the dissatisfaction is avoided.

The motivators are (i) achievement, (ii) recognition, (iii) the work itself, (iv) challenge in work, (v) responsibility and (vi) advancement.

Although fair administrative policies, working conditions, salary, etc. are important, without which the worker may not be productive even at the minimal level, it is necessary to focus on the motivating factors to strengthen and intensify the worker's drive to work at much above the minimal level.

The motivators make the worker want to excel, to achieve. These findings brought into focus that monetary incentives, by way of higher wages and welfare measures, (emphasized as part of the human relations school) may not produce positive long-lasting results. These findings led to the development of concepts like job enlargement and job enrichment to add to the job elements and make the job more challenging, responsible and rewarding to the worker.

3. Achievement theory of motivation

David McClelland emphasized that the need to achieve exists in all persons, but is dormant in many and that it is possible to strengthen the motivation to achieve. When so developed, such people work to great capacity. This was called the Achievement Theory.

People with high need for Achievement, also have a high need for Power, to be in control, to dominate. If the need for power of such people is not satisfied at work, there will be an attempt to seek satisfaction through disruptive tendencies, creating trouble, causing delays, etc.

4. Vroom's Expectancy theory of Motivation

Another concept relating to motivation is that the effort put in will depend on how strong is the need to obtain satisfaction. Making an effort is the cost. Satisfaction derived is the benefit. The mind makes a quick cost-benefit analysis.

If the benefit is more, the effort will be made. There are two intervening factors.

- a) One is the relationship between the effort and the possibility of the outcome that can give satisfaction.
- b) The other is the perception of one's skills to perform.

If one doubts one's capacity to perform, the effort will not be made. Secondly, if one doubts that the required satisfaction will not emerge from the effort, again the effort will not be made. If both perceptions are favorable, the effort will be made, if the need to be satisfied is strong.

To sum up, a person will make the effort to perform if:

- a) he thinks that the effort can produce an outcome that may be satisfying (instrumentality)
- b) he thinks that he has the skills to make the effort and produce the outcome (expectancy); and
- c) the satisfactions that the outcome will provide, are strongly desired by him (valence)

This theory, called the Expectancy theory was developed by Victor Vroom, Porter and Lawler in the 1960s

Test Yourself 2

In Maslow's theory of management, _____ refers to the basic needs for survival like the need for air, food, water, warmth and sleep.

- I. Physiological needs
 - II. Safety needs
 - III. Social needs
 - IV. Recognition needs
-

C. Motivators

1. Financial incentives

Motivation is an internal impulse. Nobody can motivate a worker, except himself. The manager can only create situations whereby the worker may become motivated. Many people believe even now, that money is a big motivator and the more money a manager gives to his subordinates, the greater is the work he can expect from them.

The theories cited above and many other studies show that money is not sufficient incentive for high level performances.

The manager may offer extra bonus for better production but this may have little effect on the work. It is possible that the need for money is suppressed by a stronger need to 'belong' to the group, to be met by doing only as much as everybody else does. This was what the Hawthorne studies showed. Some may find that the amount of bonus offered is not commensurate with the extra effort required to earn it. Some may not try for it because they feel that the extra effort is beyond their capacity.

The underlying assumptions behind all attempts to get people to work through offer of money is that human beings are basically economic beings who

- a) would respond positively when shown ways to reduce effort and earn more through higher output (Taylor)
- b) would be stirred to action by self-interest and economic advantages and
- c) could be manipulated and controlled through the offer of financial incentives and working conditions

On the basis of empirical studies, it has been observed that human beings are not merely economic beings. Herzberg has established the limitations of financial incentives. They are also social beings. Attitudes to work are influenced by the social interaction, probably more powerfully than all the economic incentives and working conditions. Incentives may be rejected if they are seen as threatening to social cohesion.

Current approaches to managing human resources are on the basis that man is not only economic or social, but is a very complex being. People have many motives which they combine into different patterns. These motives are variable. Therefore, human behavior is unpredictable and unique.

All persons have a set of values and perceptions (of the world around them) that are unique and very private. They are aware of some of these and blind to some others. They can explain some of their reactions and behavior, but not all. Some value social approval and some do not. Some will value money incentives, while some do not. Some are content with their lot and some are ambitious.

In certain cases, the “carrot and stick” approach may still get the best of work. In general, the manager must try to understand the unsatisfied needs of his subordinates and see how best he can satisfy those needs.

2. Job enrichment

It is estimated that on an average people spend about 35% of their waking time on their jobs. Therefore, the nature of their jobs will have an important role in the satisfactions that they experience. Satisfactions may come from the comfort of doing the job without stress. Or it may come from the stress of the challenge in the job. The contents of the job can be designed in such a way as to provide for the needs of the employee. If managements can pay some attention to the content of the jobs and design them in such a way that people enjoy doing them, then they will succeed in making their employees happy and motivated on their jobs.

One of the ways of making jobs help in development is known as ‘job enrichment.’

Job enrichment implies adding elements to the existing job which makes it more complete or more responsible.

In insurance we can think of a clerk attending to only one aspect of servicing of a policy, say, and age admission. If he is given the responsibility of attending to all the servicing functions like age, nomination, loan and finally claim payment, he may find greater interest in his work.

Job enrichment is an attempt to make the job more interesting, providing more opportunity for challenge and achievement. This is done by giving more autonomy and responsibility.

a) Job enlargement

Job enlargement attempts to make a job more varied thus removing the dullness associated with performing repetitive operations for long.

Adding tasks to existing tasks is one way of enriching. Adding tasks that require use of discretion is another way. Tasks that require interaction with customers and helping to solve their problems may add to one's importance and self-esteem.

Another way of achieving job enrichment is to allow the employee to have direct relationship with the customer. People may enjoy interacting with the customers rather than sitting inside the office and poring over correspondence.

A third way of enriching jobs is by giving workers greater say in planning, doing and controlling their work. People may enjoy their work more when they have a feeling of empowerment and courage and the confidence that the management will support them in their efforts to serve the customers. Regular and systematic feedback also help employees to enjoy their work better. Job enrichment is related to Herzberg's theory of motivation in which factors such as challenge, achievement, recognition and responsibility are seen as real motivators.

Technology is making organizations restructure jobs. Insurance companies are not exceptions. Several jobs are already happening on-line. There is a move to make policy records in demat form and be deposited with depositories, like shares and other securities. Premiums can be paid on-line. These affect the internal systems and procedures and calls for different skills on the part of employees.

One would expect that most of the employees will enthusiastically embrace the opportunity and acquire the skills. The cost of upgrading the skills would have to be met by the organization. The benefits cannot be predicted. One cannot know what innovation or new application, one of these employees may propose and popularize.

D. Empowerment

a) The worker works well when he wants to.

Workers may not want to, when they experience that they are being treated as machines, of no value other than doing the boring routines entrusted to them by their managers. Fear of punishment may motivate them only to avert the fear through:

- i. Minimal performance or
- ii. Pretensions to performance or
- iii. Using pressure through unions or other external sources to avert the punishment.

On the contrary, they may want to work, if they experience importance at work, recognition of their ability, being trusted to take charge, being consulted for expertise and being recognized as a worthwhile, valuable human being. Herzberg's findings support this assumption.

b) Research studies have revealed that a challenging job is considered to be more meaningful and therefore, more motivating to employees, than a routine job.

However, everybody does not like challenging tasks. Some people prefer routine work to challenge. To such persons adding tasks can be threatening and demotivating. Secondly a job is challenging only in the early stages, when it is new. Later, when mastered, the job becomes routine and monotonous.

c) The resource available in people, is their knowledge, their skills, their insights, and their creativity.

These resources become available to the organization for planning, adaptation or innovation, only if the people who possess them make them available. They may make the resources available or withhold the resources. They have the choice. The choice is made according to whether they feel like contributing to the organization or not. This "feeling" is the motivation.

d) Choices are exercised by people not because they are told to do so but because they want to do so.

If an employee senses a problem with a customer, he may try to solve the problem or he may just direct the customer to the senior or he may become rude and tell the customer that he need not expect any better treatment. Such choices are exercised by people not because they are told to do so but

because they want to do so. Some may not want to exercise discretion even if told to do so.

Employees may want to try and solve the problem on their own initiative and will do so if they:

- i. feel empowered
- ii. have a sense of belonging to the organization and
- iii. are committed

These are aspects of motivation.

e) Empowerment is what an employee feels about his duty, about what is expected from him.

An employee not feeling empowered, will not take initiative, will not do anything more than what he is told to do. Perhaps he will do less.

f) Empowerment is not the same as delegation.

A person who is formally vested with authority (delegation) may not exercise the same, if he feels that his judgement is likely to be questioned and reversed by the seniors. In this case, he does not feel empowered. He would not decide within his authority, unless he is sure that the decision would be the right one. Such persons delegate the authority upwards by consulting the senior for 'advice', for 'approval', etc; informally, if not formally.

An empowered employee does what he thinks needs to be done in the interest of the organisation, even if he does not have formal authority. Or he may chase people who have authority, to get them to do.

g) If employees do not feel empowered, they may allow opportunities to pass by.

A missed opportunity and the cost thereof will never be reflected in the accounting data or the output of the management information systems.

h) Those who do not feel empowered do not challenge or attempt to modify the decisions of seniors, even when aware of the need to modify.

In 1985 a space vehicle launched by the NASA exploded soon after takeoff. Investigations showed that the engineers had detected a faulty component justifying a postponement of the launch, but someone thought that keeping to the schedule of launch was very important and a suggestion for postponement would not be accepted.

i) An empowered employee focusses on results.

- i. He is not inhibited by formalities of position, authority or function. He does not consider himself bound by rules and procedures. He believes that the organisation expects him to be aware of the ends to be achieved and to act in furtherance thereof. He 'sees' constraints, but does not feel prevented thereby, from what is to be done. Instead, he tries to overcome the constraints.
- ii. He believes that the organisation will not find fault with him for having done something new or unusual. On the contrary, he believes that the organisation will applaud him for having done something that had to be done.
- iii. He believes that he is expected to take the initiative and ensure that the customer's needs are met and thereby maintain and enhance the reputation of the organisation. He believes that if he hesitates and the customer turns sour, he would be letting down the organisation.

j) An empowered employee is likely to challenge company policies at meetings with seniors.

If he is characterised as arrogant, rebellious or cantankerous, he may attempt conformity and feel less empowered. If well-intentioned efforts fail to work out as planned, there will have to be tolerance. Only then will the employees remain empowered.

k) Empowered employees make demands on management.

They dislike conforming to rules and procedures which they see as restrictive of their capacity to perform. It is difficult to control their behaviours through rules. They need to be coached on values and philosophy of the company. That would be the way to control their behaviour at work.

l) Those used to traditional formal authority prevent empowering

Those used to traditional formal authority find it difficult to encourage initiatives from others. They prevent empowering.

E. Rewards

Theories on the motivations of people suggest that individuals act in order that they may get pleasure or satisfaction and avoid pain or dissatisfaction. Anything that gives satisfaction (pleasure) is a reward and anything that gives dissatisfaction (pain) is a punishment. People seek rewards and avoid punishments. The perceived possibility of rewards, leads to action. Punishments are part of the reward system.

This is so even in the traditional theories on motivation which emphasised on doing one's duty and serving others. "Do your duty and not seek advantage to yourself" is the famous dictum in the Gita. This dictum is validated by the guarantee of a reward for doing one's duty - the reward being the grace of God and ultimate bliss and happiness, even one's elevation in the social strata.

a) Rewards are of various kinds

- i. **Monetary rewards** may take the form of cash rewards, special increments, additional allowances, perquisites like transport, residential telephones, etc.
- ii. **Non-monetary rewards** have infinite variety. Some are job related like higher responsibility, shift to a position or place of choice, duties with more visibility. Some are not job related, like mention in company bulletins, press handouts, gifts to family, photographs in publicity literature, nominations for seminars, selection to address conventions, authority to represent company in negotiations or important meetings, holidays in a place of choice, admission to privileged rosters, (sometimes called clubs), invitation to lunch/dinner with V.I.Ps and so on. Being made a role model is a big reward.

b) Values of rewards vary

An opportunity to represent the company at an important meeting or a holiday cruise may be liked by some. It is then a reward. But some persons may not enjoy such situations. To them, these are not rewards. They may seem to be punishments, if refusal of an offer from management is frowned upon.

c) The value of a reward increases according to Cost, Exclusiveness and Visibility

A prize worth Rs. 1000 has more value than a prize of Rs. 20. A gold medal has more value than a simple paragraph. A paragraph is better than a line. A 4-day trip to Goa is not as good as a trip to Mauritius. To be honoured in public is better than a letter of congratulations by post. A dinner with the Chairman is better than a dinner with the manager.

d) A reward system usually includes punishments to prevent undesirable behaviour.

A punishment tends to have more negative influence than the positive effects of rewards. The threat of punishment may not prevent unacceptable performance. On the contrary, it could inhibit performance.

e) A reward is a confirmation of propriety, an endorsement of having done the right thing.

If reward is not carefully monitored, they may convey the wrong messages and people's behaviour may tend to be improper.

Example

If the leaders in sales performance are honoured and decorated regularly with valuable T.V sets or trips abroad but those in the service functions like maintenance, repairs, etc. are not, or at best are given "mention" and badges, the message is that the customer is important only till he buys, not afterwards. The operating systems will not be supporting the promises made by sales.

f) In work organisations, reward systems influence the directions in which the energies of the people are directed,

The rewards available should be such as to provide pleasure to the employees. The action which is rewarded should reflect behaviours that the management wants to encourage.

Example

There is a story of a wealthy businessman instructing his secretary to tip the mail boy every time he brought in the mail and finding later that the mail was being delivered one piece at a time.

Wages paid by the hour may cause delays in output. Incentives related to quantity of output may lead to neglect of quality of output. Reward systems should be related to the nature of desired performance. Otherwise the system misleads.

Example

When an employee is given an assignment, he is initially willing to do it. But he asks himself "What if I don't do it well?" If the answer to that question is threatening to himself, he becomes cautious, he finds ways of doing the work in a manner that will avoid the perceived threat. If discretion is to be used, he may avoid it. Or he may try to check the superior's preferences (or views) before exercising discretion. Such "delegation upwards" is practised by many, in a variety of subtle and gross forms.

g) Every decision involves a choice between multiple options and use of individual judgement.

Making choices requires experience and confidence. Some may avoid making decisions because they can be risky. The risk is that the decision could, on

the basis of events that follow, found to be wrong and the decision maker taken to task. If such a risk (of being taken to task) is perceived, decisions will be avoided. Decisions may be avoided by asking for more information or pointing out inadequacies in the available data. Other persons, within the organisation, or the customers, may be blamed for the inadequacies.

h) The perceived threat of punishment for failure leads to inaction

Often failures are attributed to individuals having done something wrong as an act of deliberate commission or neglect (omission). There is then the attempt to identify the person who did the wrong, to “fix responsibility” and take appropriate action against those found ‘responsible’ for failure. Such systems tell the employees; “It is better not to fail”.

Public sector systems are notorious in this respect. But private sector organisations are no exceptions. The criteria for failure are sometimes based on the rules and procedures, manuals etc. Non-adherence to rules, is looked upon as guilt that is punishable. The criteria are sometimes based on the preference of the persons who matter. They are sometimes based on the pressures built up by groups within or outside the organisation.

The perceived threat of punishment for failure leads to inaction. Persons who thus avoid using discretion or making decisions, cause delays. Delays are annoying. An employee who does not do, is expressing lack of concern for the customer. He may be perceived as not competent or without the right attitude. He is creating a dissatisfied customer. He does not recognise the customer. The expectations of the customer are being denied. The organisation suffers a loss of credibility. The customer will then avoid the organisation and go elsewhere. The decision against the company is made because of the apparent attitude of the employee. The organisation’s reward system is really the cause for this behaviour.

All failures in performances can be looked at in terms of skill or systems inadequacies. The persons concerned in the incident can be involved in the analysis of the situation and in the search for methods to improve the situation. Failure then becomes a learning opportunity for all. The opportunity for involvement is a reward.

i) Reinforcement as an approach to motivation

Prof. B. F. Skinner, a Harvard Psychologist, suggested reinforcement as an approach to motivation. According to this, the individuals should be rewarded for good performance whenever it occurs. When performance is not satisfactory, the specific situation should be analysed to determine the causes which hamper good performance.

Unsatisfactory performance may be occurring because it had been rewarded. If a worker's need for attention from the superior is being satisfied only when he makes a mistake, he will keep making mistakes so as to fulfil that need. So also workers may be negligent, in order to obtain the reward of less responsibility and workload. If good work is likely to get a worker a promotion and consequent transfer, that may be viewed as punishment and good work may be avoided.

Test Yourself 3

_____ attempts to make a job more varied thus removing the dullness associated with performing repetitive operations for long.

- I. Reinforcement
 - II. Rewards
 - III. Empowerment
 - IV. Job enlargement
-

Summary

- a) Motivation is an internal impulse and not an external stimulus.
- b) The needs of human beings are the motivators for their performance.
- c) Human needs are varied in number and peculiar in character. Neither the nature nor the intensity of needs is similar in different individuals. But all of us are trying to satisfy some need or the other, by doing something or the other.
- d) According to Abraham Maslow, needs are of five levels, starting from the lower level to the higher level needs. He calls this order 'The Hierarchy of Needs' which include:
 - i. Physiological need
 - ii. Safety need
 - iii. Social need
 - iv. Recognition need
 - v. Self-Actualisation need
- e) A study by Fredrick Herzberg showed that among the number of factors that employees experienced in a job, some provided satisfactions while others only provided dissatisfactions, if absent. He called the former group of factors "motivators" and the latter "hygiene factors. Hygiene factors must exist satisfactorily. Otherwise, there are negative feelings. The motivators make the worker want to excel, to achieve.
- f) David McClelland emphasised that the need to achieve exists in all persons, but is dormant in many and that it is possible to strengthen the motivation to achieve. When so developed, such people work to great capacity. This was called the Achievement Theory.
- g) According to Expectancy theory by Victor Vroom a person will make the effort to perform if
 - i. He thinks that the effort can produce an outcome that may be satisfying (Instrumentality)
 - ii. He thinks that he has the skills to make the effort and produce the outcome (Expectancy); and
 - iii. The satisfactions that the outcome will provide, are strongly desired by him (Valence).
- h) The theories of motivation show that money is not sufficient incentive for high level performances. Non-financial incentives such as prestige,

recognition, status, titles, etc. are more powerful motivators for better performance.

- i) Job enrichment implies adding elements to the existing job which makes it more complete or more responsible. This is done by:
 - i. Job enlargement
 - ii. Allowing the employee to have direct relationship with the customer
 - iii. Giving workers greater say in planning, doing and controlling their work
 - j) Empowerment is what an employee feels about his duty, about what is expected from him. An employee not feeling empowered, will not take initiative, will not do anything more than what he is told to do.
 - k) Theories on the motivations of people suggest that individuals act in order that they may get pleasure or satisfaction and avoid pain or dissatisfaction. Anything that gives satisfaction (pleasure) is a reward and anything that gives dissatisfaction (pain) is a punishment.
 - l) Rewards are of various kinds which can be classified under two categories:
 - i. Monetary rewards may take the form of cash rewards, special increments, additional allowances, perquisites like transport, residential telephones etc.
 - ii. Non-monetary rewards have infinite variety. Some are job related like higher responsibility, shift to a position or place of choice, duties with more visibility.
 - m) Prof. B. F. Skinner, a Harvard Psychologist, suggested reinforcement as an approach to motivation. According to this, the individuals should be rewarded for good performance whenever it occurs. When performance is not satisfactory, the specific situation should be analysed to determine the causes which hamper good performance.
-

Key Terms

- a) Achievement theory
 - b) Empowerment
 - c) Expectancy theory
 - d) Herzberg
 - e) Hierarchy of needs
 - f) Hygiene theory
 - g) Lawler
 - h) Maslow
 - i) McClelland
 - j) Needs
 - k) Porter
 - l) Two-factor theory
 - m) Victor Vroom
-

Answers to Test Yourself

Answer 1

The correct option is II.

Answer 2

The correct option is I.

Answer 3

The correct option is IV.

Self-Examination Questions

Question 1

In Maslow's theory of motivation, _____ refers to needs that are related to avoidance of physical danger, threat, sickness and deprivation.

- I. Physiological needs
- II. Safety needs
- III. Social needs
- IV. Recognition needs

Question 2

Which of the following is an example of non-monetary reward?

- I. Increments
- II. Transport facility
- III. Residential telephone
- IV. Nomination for seminars

Question 3

In Maslow's theory of motivation, which need/s has / have been ranked as highest?

- I. Physiological needs
 - II. Safety needs
 - III. Self Actualisation need
 - IV. Recognition needs
-

Answers to Self-Examination Questions

Answer 1

The correct option is II.

Answer 2

The correct option is IV.

Answer 3

The correct option is III.

CHAPTER 9

COMMUNICATION

Chapter Introduction

This chapter deals with the process of communication, barriers to communication building communication-competencies in organizations.

Learning Outcomes

- A. Understanding Communication
- B. Types of noise during the communication process
- C. Barriers to Effective Communication
- D. Principles of Good Communication
- E. Communication in Organisations
- F. Interpersonal Skills
- G. Adoption of Technology

A. Understanding Communication

1. Introduction

One cannot not communicate: Paul Watzlawick - Famous psychoanalyst

Every behavior is a form of communication. Every living thing communicates in some form or other.

From the above, we can know communication is something encompassing life.

Communication can be divided into three broad categories:

- Verbal or oral communication
- Written communication
- Non-verbal communication (Communication through signs and body language)

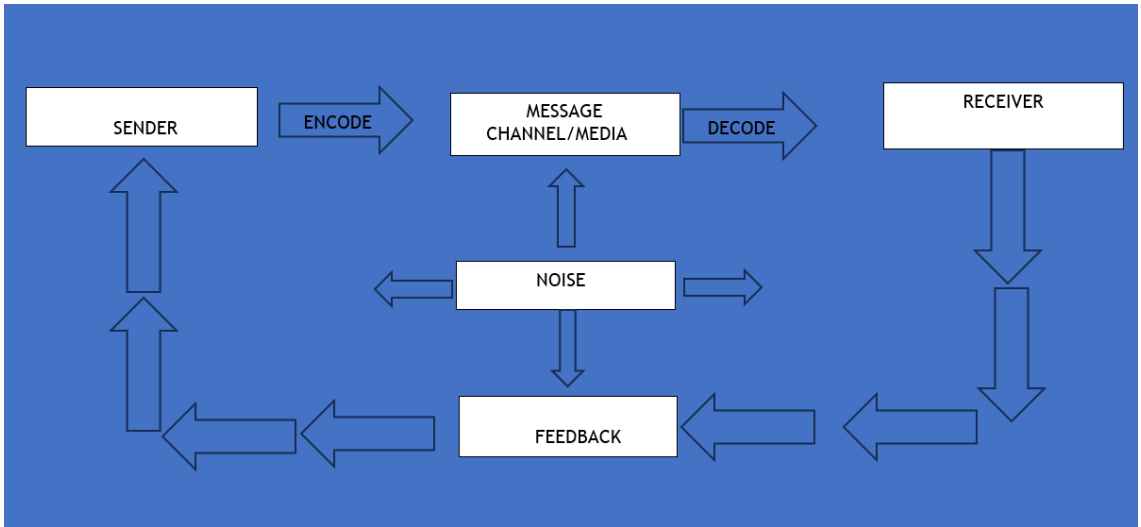
Here the discussions will center around organizational communication which is also a branch of communication.

Communication within the organization and its communication with outside world has a minimum of two important principles-

- Communication is based on well thought out processes and strategies.
- Communication should be understood the way the sender intends it to be perceived by the receiver of the communication,

A simple two-way model of communication will help in appreciating the elements involved in communication in general and in organizations in particular.

TWO-WAY COMMUNICATION PROCESS



7 Key components of communication process:

1. **Sender:** The person who conceptualized the idea or picked it up from outside environment and wants it delivered to the recipient.
2. **Encoding:** The way the information is described or translated into a message by the sender.
3. **Message:** The idea, fact or opinion that the sender wants to communicate.
4. **Communication channel:** The method of delivering the message.
5. **Receiver:** The target audience of the message.
6. **Decoding:** The interpretation of the message by the recipient.
7. **Feedback:** The response or action a receiver takes after decoding a message.

In addition, there is an external factor termed **NOISE** which affects all seven parts negatively in some way or other, unless managed successfully.

Noise: It refers to anything that interferes with the communication process between the sender and the receiver. It is also called **interference**.

1. The sender develops an idea to be sent

Communication begins with an idea. To construct a clear and actionable message, the sender needs to organize his thoughts. The message will serve the purpose only if sender understands the three essentials:

- For whom the message is intended?
- How will the receiver understand the content of the message
- What is the expectation of the sender, from the receiver once the latter receives the message?

2. The sender encodes the message

Once the message clarity is there, sender will encode the message to make meaning to the receiver. The message has to be structured keeping following things in mind:

- Is the receiver familiar with the topic?
- Which will serve the purpose better - a general overview or detailed information?
- Is there any need to provide additional resources to aid receiver's understanding of the message?

3. The sender selects the channel of communication that will be used

This will depend on the nature of message and the decoding skills of the receiver.

- Verbal: Face-to-face, telephone, video conferences, presentations, and visual media
- Non-verbal: Eye-contact, facial expressions, body language and dress code
- Written: Emails, newsletters, press releases, text messages, social media posts, records, proposals and other business documents
- Visual: Graphs, charts and drawings

4. The message travels over the channel of communication

The sender should select an appropriate medium for the message. This will depend on sender's relationship with the receiver, the purpose of the message and the urgency of the message.

Technology has made it faster than ever to share important information.

5. The receiver receives the message

Next, the recipient receives the message. The receiver will process the message according to the communication channel the sender uses. For example, the sender could deliver the message by speaking to the receiver face-to-face. For more formal messages, the sender may present the message during a meeting instead.

6. The receiver decodes the message

The receiver then decodes the sender's message. In this stage, the receiver processes the information, understands its context and analyses its implications. **This is one of the most crucial stages in the communication process.** If the receiver can successfully decode the message, this implies the effectiveness of the communication process. As a result, businesses can continue their operations with little disruption.

7. The receiver provides feedback

Feedback is the most important step in the communication process.

- Is there a process for feedback?
- Does an open atmosphere exist which allows receiver to raise questions?
- Have non-verbal cues have also been integrated into the feedback system?
- Is review of feed- back mechanism takes place at regular intervals?

B. Types of noise during the communication process

Reducing 'noise' or distractions can significantly increase the chances of successfully communicating t. It ensures message does not get misinterpreted or ignored, In order to effectively eliminate noise, senders should consider the receiver's personal beliefs and their physical environment. Here are the four types of noise that need elimination for effective communication

1. Psychological noise

This type of noise interferes with communication between the sender and receiver because of personal barriers. Managing psychological noise is a sign of respect. It helps build trust and encourages people to speak up some examples of psychological noise are:

- Preconceived beliefs
- Biases and prejudice
- Stereotypes
- Sarcasm

2. Physical noise

Physical noise describes external distractions from outside surroundings.

Environmental noise makes it difficult to hear or concentrate on a message, for example, noise from a construction site or passing traffic. Noise can affect our emotions and, therefore, the way we perceive a message. That is why it is important to keep distractions to a minimum.

3. Semantic noise

Semantic noise is interference on the sender's end. This could be because of technical issues or poor communication skills. To communicate a message clearly, it is important to avoid jargon, abstract ideas and ambiguous language when writing. Similarly, during verbal communication, speaking clearly in a relaxed and confident tone can help in communicating more effectively.

Application question - Scenario Creation - Self-practice (No answer in the text book)

Imagine you need to present a proposal to your higher-ups about a Project on which you are working. How will you work on all the seven key elements of communication and by eliminating 'noise' as well, for effectively communicating about your Project?

Test Yourself 1

Communication is effective only if:

- I. Sender encodes the message keeping the Receiver in mind.
- II. Correct Medium is selected focusing on the result to be obtained.
- III. Receiver can decode the message as the sender intended it to be.
- IV. Feedback mechanism is in place.
- V. All Four.

C. Barriers to Effective Communication

Diagram 1: Barriers to effective communication



a) Map Vs Territory

The first problem can occur in the coding. Language is the most common mode of coding. Language has limitations. It is not easy to capture the fullness of one's thought within the limited confines of words. That is why there are few great litterateurs and cartoonists, although there are many writers and sketchers.

Example

When one talks of a “beautiful” or “fantastic” innings by a cricketer who “played like a champion”, practically nothing is said about the innings itself. The words convey little more than one's appreciation of the innings.

Hayakawa has illustrated this problem by comparing thoughts to territory and words (or sketches) used for coding, to maps. However elaborately drawn, maps cannot represent fully the richness and the totality of the territory it seeks to represent. The territory consists of administrative boundaries, people and their cultures (dance, music, dress) rivers and mountains, birds and animals, trees and flowers, minerals and industries, climate and a host of other things. So also what is coded can rarely be complete as far as the thought or idea is concerned.

The receiver of the communication completes the missing parts of the thought by himself supplying the information which has not been codified by the sender. He may or may not check back for accuracy.

Example

Descriptive expressions like “the typist’s output was 40 letters in a day” communicate better than evaluative expressions like “the typist is too slow”, although the descriptive statement is still not specific on the length of day and the nature of the letters. The receiver will supply this information from his imagination or past experience. If later, the information, so supplied by the receiver, is found to be wrong, the error is attributed to the sender himself.

b) Semantics

Secondly, problems are created by the choice of symbols.

- i. **Words** do not mean the same to all persons.

Example

- i. The word ‘run’ has 400 different meanings. So also ‘fast’.
- ii. Bedouins have 300 words to refer to a camel and Eskimos have 23 different words referring to snow.

-
- ii. **Abbreviations** have specific significances in specific societies. What it means in government circles, is not what it means in banks.

Example

- i. DM can mean a District Magistrate or a Divisional Manager.
- ii. DD can mean a Deputy Director or a Demand Draft.
- iii. “Bill” refers to a document demanding payment in some countries, while it refers to a document making payment (like currency note) in the USA.

- iv. The word 'family' means the 'wife' in Tamil Nadu, something totally different than anywhere else.
- v. A furious argument on the need for 'role' clarity, ended only when it was discovered that one of them understood 'role' as something to be acted out, as if on a stage, according to a pre-determined script.

iii. **Gestures** also do not have universality in meanings. The meaning of a smile was referred to earlier. A nod may mean agreement in some communities, but disapproval in some other communities. These differences are problems of Semantics.

c) Noise

Problems of communication may be caused because of "Noise" or disturbances in the medium of transmission.

Example

While listening to a radio, disturbances may be caused by electrical impulses, called 'statics' as well as by overlap of adjacent frequencies. The message will then not be clear.

The use of more words than necessary, or inappropriate words by way of elaboration, explanation, illustration, etc. often create "noise". When a person talks too much, he communicates less, because there is more "noise". If the words and gestures and tonal variations are not in consonance with each other, there is noise. Words may have friendly connotations but the gestures and expressions may look unfriendly or the tone, fierce. The way one stands and what he does with his fingers (body language) also transmit messages. Noise is also created because of interference by others. When a person is making a point, interruption by another - the intention may be to clarify - can create "noise".

"Noise" may be created by the receiver himself. Sometimes while listening to a speaker, some of his comments may trigger off some thoughts within the listener and these thoughts constitute "noise" if they interfere with further listening. Such thoughts may be in the form of wanting to challenge the speaker or working out the relevance to one's situation.

Mannerisms (actions like adjusting the tie or repetitive use of words like 'and all that') of speakers that are repetitive and not related to the talk, distract attention and create 'noise'.

d) Frame of reference

The context or background in which an idea exists is important to understanding the idea properly. If the context is not transmitted along with the idea, there would be a difference in meaning. The receiver will assume a different context.

Example

- i. Political cartoons will have no meaning in a different country, where the topic dealt with is not known.
- ii. An enquiry made by a senior about the progress made in a job, with the intention of planning further follow-up jobs, can be understood (wrongly) as arising from doubts about the sincerity of the person concerned.

e) Lack of attention

We fail to pay attention because the mind often gets diverted into some other matters. Even when we do, we do not read every word, but try to absorb meanings. In the process, we may make meanings from some words and ignore some other words which may have modified the meaning. We do not read every word but the mind skips over parts of the written material.

We do not read because we think we know what the paper contains, having read it before, or assuming it from the earlier words. Important details are missed in the hurry to understand the totality. This phenomenon is the same as the experience of noticing details in a video recording, which we had not noticed earlier, even though we were present at and had witnessed the recorded event.

f) Unclear assumptions

All messages make certain assumptions about the content of the message and the addressee.

Example

- i. A peon, who was instructed to deliver an important letter on his way home and also allowed to leave office half an hour early, delivered the letter after he completed his shopping and social calls. The manager had assumed that the peon would go home straight from the office and therefore, did not bother to specify that the letter must be delivered by 5.30 p.m.

g) Different experiences and backgrounds

One can make meanings only within the limitations of one's experience.

Example

To a person who has not studied physics or astronomy, a discourse on the black holes of tremendous energy, will not make any sense, not because the words are unfamiliar, but because the subject is unfamiliar.

An unfamiliar idea, coded in simple words, will still not convey any understanding. The new idea will have to be related to some familiar ideas before understanding can occur.

h) Stereotypes and beliefs

All of us have stereotype ideas about other people and tend to behave on that basis. 'Women are poor drivers' is one such common stereotype. There are similar generalisations about ethnic and other distinct groups like some are thought of as more intelligent, some are less reliable, some are very loyal, some are very self-centered and so on none of these generalisations are valid, but they do colour our views of people and affect the interpretations of what they say or do.

i) Impressions of the communicator

Our prior impressions of the person who is sending the communication tend to distort the meaning.

Example

If we know that the manager is a rough person who never has a nice word to say, a call from him, immediately prepares us to face the worst.

If that manager then says, "Have you done this?" we hear it as a critical comment and are ready to explain and defend ourselves. Defensiveness distorts.

j) Our own state of mind

A worried, nervous employee finds a threat in everything that is said to him. A person who prefers to be alone, is very suspicious of a colleague who tries to establish social contact. People become nervous in the presence of very senior managers.

k) Perception

This refers to what one sees. (This has been discussed in some detail earlier in this book). One does not see the world and the realities as they are. Each one of us has his own images and visions and viewpoints.

We interpret all that we hear and see, through the filter of these perceptions. Even the abuses from someone we love, are heard as affectionate sounds. Politeness from someone we suspect, may be seen as insulting. The instructions to be strict, emanating from a manager perceived to be lenient, will not be taken seriously.

l) Filtering

Filtering refers to the selective omission or selection of some information, with a view to create a particular impression.

This is similar to the behaviour of children who hide some information from the teachers or the parents, in order to avoid an unpleasant situation for the time being. This happens often in organisations. Reports to the seniors will be filtered to suppress certain drawbacks or failures. Filtering happens in a big way while writing Appraisals.

m) Psychological distance

This refers to how much people feel close to or distant from each other. This is determined by positions in organisational set up, or social factors like background, caste, life styles, living standards, etc. The lesser the psychological distance, the better the chances of effective communication.

D. Principles of Good Communication

1. Clarity of thought

The first step in any good communication is to be clear about what one needs to communicate and what the receiver should do as a result of the communication. The communicator should anticipate the doubts that the receiver may get after receiving the communication and the way he may respond to the same. Otherwise, the receiver will fill up the gaps with his own assumptions.

2. Clarity of language

The language used should be simple, keeping in mind the knowledge levels of the receivers. Simple words, direct statements and short sentences communicate better. Avoid jargons. Jargons are technical and professional words, including abbreviations, which have different meanings in different contexts.

3. Amount of communication

Too much communication may lead to confusion. Too little communication may not convey the message adequately. Both create problems.

4. Appropriate media or channel

Communication may be oral, written or visual. Options will depend on the matter to be conveyed and the audience. Wherever possible, charts and diagrams may be used. The effect depends on how far the different messages reinforce each other.

5. Avoid mismatches in communication

It is not only the words which are important. The tone, the voice, the facial expression also communicate. Smiles, frowns, or a bored look are equally important. Sometimes, the words may be interpreted differently than intended, if the expressions and voice do not match. There should be no conflict between words, deeds and thoughts.

6. Make communication a two-way process

Effective communication implies that the message conveyed has been received and understood, as expected. To ensure that the understanding of the message by the receiver is right, the communicator must check by asking questions and give the receiver an opportunity to ask questions. A discussion on some of the subtler points will provide better data on the level of understanding.

7. Be sensitive to receiver's response

The receiver's responses including his facial expressions and body movement, may give some clue as to how he may be receiving the message.

8. Communicate directly

Every communication has problems. If the communication is relayed through intermediaries, every intermediary is a potential source of distortion. Therefore, as far as possible communicate directly and not through someone else.

E. Communication in Organisations

Communication takes place among different individuals, groups, departments and within the organisation as a whole. Communication may be called 'upward' when a sub-ordinate communicates to his superior and 'downward' when the superior communicates to his sub-ordinates. Communication may also be 'lateral' when the people of the same hierarchical level communicate with each other.

1. Upward communication

Upward communication is essential for senior levels to know what is happening at operational levels and to enable them to exercise appropriate controls. Upward communication may get distorted because:

- a) the communication passes through several levels and at every level some distortion unavoidably takes place,
- b) the information will be filtered in such a way that unpleasant information may be kept back and only that information may go up, which reflects favourably on operations.

2. Downward communication

Downward communication seeks to convey company policies and objectives. That is how directions and instructions are issued. Co-ordination and control depend upon both upward and downward communication.

3. Lateral communication

Lateral communication helps co-ordination between activities done at various departments or by various people, who are all dependent on one other.

4. Formal communication

Formal communications in organisations from the top downwards takes place through letters, emails, memos, notices, departmental meetings, internal bulletins and house magazines meant for internal circulation. Formal communication from the bottom upwards will be in the form of reports, requests, grievances, complaints, etc.

Formal communication may be either oral or written.

a) Oral communication

In case of oral communication, there is a direct contact and face to face relationship between the sender and receiver. In case of telephones or intercom systems, face to face contact may not be present but messages do travel through tone and voice modulations, pauses, etc. Usually a large amount of time of an executive is spent in oral communication with his subordinates and colleagues.

Oral communication has the following merits:

- i. It is two-way, provides immediate feedback.
- ii. It is direct, simple and least expensive.
- iii. It provides an opportunity to ask questions and seek clarity.
- iv. It provides an opportunity to check understanding.
- v. It is possible to modify the coding of the message to improve clarity and understanding.
- vi. It enables personal contact and can generate friendly relationships.

However oral communication is

- i. unsuitable for lengthy and distant communications
- ii. inadequate where permanent records and uniformity of communications are required, for example in case of policies and rules
- iii. likely to be distorted through facial expression and tone of voice or wrong choice of words
- iv. likely to be misinterpreted and misquoted
- v. likely to generate responses that may not be well thought of

b) Written communication

Written communication is useful where oral communication is inadequate. For example, in those cases where the information is to be retained for a longer period of time or records are necessary for reference, such as research information reports, committee decisions or statements of policies, only written communication is appropriate.

Written communication has the following merits:

- i. There is a lesser probability of being misunderstood.
- ii. It provides a source of future reference
- iii. It is drafted (coded) more precisely than oral communication.
- iv. It can be made available to a larger number of people by printing and duplication.
- v. It is more suitable for lengthy messages, such as production figures or financial data.
- vi. It can be kept as proof or evidence of past occurrences.

Written communication suffers from the following disadvantages:

- i. Updating of written material is difficult.
- ii. It is expensive.
- iii. Checking of response is not possible.
- iv. It is less conducive to friendly relations.
- v. There is a likelihood of written messages not being read.

Written communication is an important basis for organisational operations. Through letters and other written media:

- i. orders are placed,
- ii. demands are made (for money or information or work),
- iii. decisions are recorded,

- iv. policies are communicated,
- v. sanctions are given,
- vi. controls are exercised

and so on. Written communication is referred to in the event of disputes, to arbitrate on justice, to defend one's actions, to check for clarification and so on.

Written communication should therefore, satisfy seven C's.

- i. **Completeness:** Stating all essential facts, anticipating and answering all possible doubts.
- ii. **Courtesy:** Pleasantly worded, meant to gain goodwill, requesting instead of ordering. (For example, a sign near a snake pit in a museum read "Trespassers are likely to be poisoned" instead of the usual, "Trespassers are likely to be prosecuted".)
- iii. **Consideration:** Keeping in mind the reader's interest and level of understanding
- iv. **Clarity:** Using simple familiar words, short sentences, avoiding jargon and uncommon abbreviations.
- v. **Conciseness:** Avoiding superfluous and redundant expressions
- vi. **Concreteness:** Avoiding complicated imagery and saying directly, leaving little room to imagine.
- vii. **Correctness:** Particularly with numbers, dates and references.

Meetings provide opportunities for two way communication. There can be a lot of noise in meetings. However, if properly conducted, meetings are very effective to clarify and overcome differences in perceptions and frames of reference. Meetings may be of small groups of people or of large gatherings. Small meetings enable more exchange than larger ones. But even large ones are useful because:

- i. the spoken words are more informal, more explanatory
- ii. listening to a talk has a better impact than reading
- iii. one feels that he is being spoken to while the written words address no one in particular
- iv. clarifications can be sought and given immediately, allaying doubts
- v. opportunity exists for upward communication.

5. Informal communication

Much communication takes place in organisations through informal communication channels. These channels do not recognize official levels of positions. The informal network connects persons who are socially affiliated, mostly through the medium of word-of-mouth. Known as the **grapevine**, these informal channels carry information with little distortion because the members share languages, perceptions and frames of reference (social affiliations bring about commonness of interest and outlook) and have little cause for defensiveness.

The grapevine is the channel for rumours. The information flow is very fast and it reaches far and wide. The news of Gandhiji's death in 1948, spread through the entire country in less than half an hour. Everybody did not hear the radio. However, being oral communication, distortion may take place in the process of being relayed.

Senior managers often make it a point to link themselves to the grapevine to receive authentic information about what the members of the organisation think and believe - information which they may never receive through the formal channels. They also sometimes use the grapevine to convey messages which they would like to spread swiftly and widely within the organisation.

6. Communication gap

a) Reasons for communication gap

Communication gap is a “jargon” for “did not understand” or “understood differently”. There is said to be a communication gap when what is understood is different from what is meant to be understood. This gap may be because:

- i. the sender did not say
- ii. the sender did not send properly
- iii. there was a problem in transmission
- iv. the receiver did not receive everything that was sent or
- v. any of the other barriers in communication

Adults try to conceal their feelings believing that being emotional is an antithesis to adulthood. In the process, they try to rationalise their attitudes. Then, what is openly stated conceals much of what is required to be expressed.

Similarly, when receiving communication, the receiver listens to what is said or apparently visible, unaware that behind the apparent, there may be a

whole lot of feelings or ideas which are sought to be suppressed or at least unexpressed.

Often in superior-subordinate dialogues, the subordinate does not say clearly what he wants to say because, he is nervous. This will happen particularly when they are new to each other. If the superior, instead of trying to calm down the nervousness of the subordinate, expresses impatience at his lack of clarity, it will heighten the nervousness, breaking down communication totally.

Similarly, the sub-ordinates do not always ask for clarifications on instructions given by superiors. They hesitate for fear or any other reason, but their behaviour may indicate that something needs to be clarified. If the superior does not sense it and later, things go wrong, there is mutual exchange of explanations and blame.

The stance, voice, tone and facial expressions will all indicate the nature of feeling behind the words spoken and it is possible to detect these feelings and respond to them. Such recognition of and response to feelings are important, because feelings have powerful influences on thought and behaviour. Feelings communicate attitudes of people more genuinely than the words.

Communication is intended to influence the attitudes, thoughts and behaviour of people. Therefore, feelings need to be taken note of and not ignored. They are not always expressed verbally but they are expressed in subtle ways, mainly through body language. A good communicator has to be sensitive to these.

Communication gaps also arise in organisations due to selective control of the nature and quantum of information that flows across the boundaries of different sections (functional departments).

Information is filtered, sometimes deliberately, because of:

- i. need to present oneself in a more favourable light
- ii. non-availability of complete and correct data
- iii. being unaware that the information is of relevance to others

b) Distortion

When an office claims a certain achievement in output, it may not mention certain aspects which could scale down the quality of that achievement. Such filtering of information usually reflects the norms and values, or sub-cultures of the system, leading to distortion.

Distortions also occur because there is too much information to be processed and communicated. The overload problem is sought to be met, often

unconsciously, by omission (not processing the information at all), queueing (process in parts, missing the total picture), selectivity (choosing information that one considers more relevant), etc.

Every time a communication is attempted between two persons, there is a possibility of a gap. If a communication reaches a person after being relayed by one or two intermediaries, the gap can indeed become a chasm. Organizational communications that follow “proper channels” are likely to suffer from such problems. Gaps in communication are least when made directly.

7. Listening

The word ‘listening’ is used here to include all ways of receiving a communication and not only through the use of the ear. When one reads a letter or a representation, one is ‘listening’. One cannot receive a communication without listening. One may hear but not listen. One hears much more than one listens to.

Example

As one travels in a bus, all the sights one sees on the way do not make any impression. Only some of those sights attract our attention. One did not ‘listen’ (see) everything that had hit the eye. One can hear without the words heard making any impression on oneself - without any meaning being made. Then, listening has not taken place.

a) Obstructions in listening

Listening is important for effective communication. Listening is obstructed by a number of reasons, some of the important ones being as follows:

- i. Mental dissipation or wandering (one is busy with own thoughts).
- ii. Perception that the topic of communication is boring or un-understandable
- iii. Perception that the person communicating is not worth listening to
- iv. Evaluation of the contents of the communication as unimportant or irrelevant.
- v. Impatience at the speed or manner of the communication.
- vi. Pre-occupation with other concerns, like taking notes.
- vii. Disturbances from neighbours or other activities in the room (noise)
- viii. Need to challenge or rebut the communicator.

The listener must listen not only to what is being said, but also to what is not being said. This is similar to “reading between the lines”. When a person speaks, the choice of words, the stress or emphasis made, the stance, the tentativeness of statements, etc. all indicate what passes through the mind of the speaker. Polite expressions may not always hide suppressed anger that the eyes and facial muscles will express. Listening requires that these unstated communications be received. Otherwise there will be gaps.

b) Listening helps to

- i. clarify inconsistencies and biases, like a lawyer, while cross examining witnesses, listens for contradictions and weaknesses
- ii. avoid ignoring relevant cues that affect the configuration of the whole meaning. There is a tendency to start making meanings even on receipt of the first few symbols instead of listening for the whole
- iii. identify “noise” or irrelevant materials that distort the meaning

Listening improves the communication process by reducing the barriers. There are few things more frustrating and humiliating than finding that the person being spoken to, is not listening. Lack of listening conveys a clear expression of lack of regard or lack of respect for the communication and for the communicator.

The act of listening conveys a message of being interested in the person being listened to and what he is saying. The message of being interested in, is very satisfying. When one is listened to, one wants to speak more. And the more one speaks, the more one reveals oneself.

Consequently, fears of how the other person may respond, tend to disappear. The speaker and the listener tend to become closer. In other words, psychological distance reduces and there is freer flow of communication. Better working relations are built through the process of listening. More cohesive teams are welded through listening.

Those who conduct interviews for selection of new recruits or for enquiries, must learn to listen to make sure that the person interviewed does not become defensive and refrain from being open. Seniors must listen to subordinates to make sure that they are not withholding valuable information.

F. Interpersonal Skills

1. Concept

Interpersonal skills are skills in relating to other people. The effectiveness of the skill is in avoiding to hurt the other person and to win his affiliation and co-

operation, to avoid misunderstanding and to improve common understanding. It is essentially a skill in communication.

As a very simple rule, it can be said that people relate to each other favourably when they find that there is support to their dignity, their ideas, their values, their worth, their self-esteem. Any communication that enhances the self is helpful for better interpersonal relations.

The contrary is also true. Any communication that belittles the other's self, disturbs inter-personal relations. Interpersonal skills, therefore, focus on abilities to enhance the self of others. A person with poor interpersonal skills is likely to damage the other's self.

2. Avoiding an attitude of superiority

Dale Carnegie's book, "How to Win Friends and Influence People" is perhaps the finest book on interpersonal skills. The principles underlying that book are essentially the same as what is stated earlier. When one assumes a posture of superiority over another, the other is being belittled. It is not necessary to adopt such a posture even when one is instructing one's sub-ordinate. That is humiliating. Nobody likes to be humiliated.

A realisation that even a sweeper is just doing another function, important by itself, as much as one is doing his own, is enough to avoid such an attitude of superiority.

3. Focus on the task / behaviour, not the person

It is necessary to advise a sub-ordinate that the way he does his job needs to improve. It can be done without suggestions and innuendos to the effect that he, as a person, is no good. Managers usually feel that such advice will be resented. Such advice is resented only when it is perceived to imply that he, as a person, is no good. He does not have to be made to feel guilty or ashamed for whatever he had done. If that happens, he will start defending himself.

It is possible to convey that nothing is wrong with him as an individual (the self-worth is not affected) but something is wrong with the work or behaviour, because of the consequences, that it is creating. If the consequences are highlighted, the 'advice' can change to a joint, problem solving session. That is what is meant by "Focus on the task / behaviour, not the person".

People have to be accepted as they are, but their behaviours do not have to be. People may not change themselves. But they would be willing to change their behaviours provided it does not affect themselves as persons.

4. Communication of caring

A very effective technique in interpersonal transactions is to convey messages that there is concern for the other person. If the interpersonal transaction is

such as to focus on the interests of the other person, then there is a communication of “concern”, of caring. That is a very powerful message to strengthen relationships. Nobody fails to respond to one who cares.

Do not make the other person feel anxious or insecure. He should not feel threatened. Say things that keep him relaxed. Enhance people’s self-worth with recognition of what they have done, compliment them. Everybody wants to be recognized, to be told how well they have performed. **Even bosses want such recognition and praise.**

It is no use trying to praise as an empty formality, without being sincere. Insincerity will be quickly detected and then the effect is worse, because it would be seen as an attempt to manipulate. Nobody likes to be manipulated. That is insulting. One can always find something to compliment on. Do that and do that genuinely.

5. Listen to people

Listening to people is very supportive of self-worth. Listen to what they say and also to what they do not say. Listen to their feelings. Try to know what is disturbing them. Give them information, if that is what they need. Offer them help, if it is within your capability. All these show “concern”. Be genuinely interested. If the boss has a problem, help him. Managers have learnt to try to be considerate for bosses. Bosses also need support. They also have anxieties and feelings of insecurity.

Smile when talking to people. Don’t frown. Also do not raise your voice, indicating anger. Anger makes the other person want to defend and fight. Favourable relationships are not built during fights. If the other person is angry, try not to match him in his temper and his tone. Bring down your loudness and tone to an ultra-softness. This will convey a message that you do not propose to be aggressive and he may calm down. Sit down and make the other person sit down. Sitting down reduces tempers and stress.

If the other person does and says something that disturbs you, do not point out that he has done an error. He will deny it. Do not enquire whether he is sure of what he is saying or doing. It is an insult to assume the contrary. Don’t tell him that you will report to someone senior and have him properly instructed. Do not tell him how important you are. All these make him build his defenses. Instead tell him how it disturbs you and ask him whether he could check again or do something differently to help you. People are happy to be asked for help. They feel important to be asked for help and respond accordingly.

6. Be considerate

If a person is doing something, do not rush him for something else. Wait till he is free. It is this timing that makes the difference between being seen as helpful

or interference. Do not insist or demand that you are entitled to prior or immediate attention. Do not suggest that he does not know his priorities. Do not suggest that he does not know the proper ways of handling his job or responsibilities. These are statements that deny him his self-worth.

If such thoughts have to be conveyed, it is better to do so as a counselling effort. Counselling, of course, is a private matter. If as a boss, you notice that the sub-ordinate is mixing up priorities and likely to cause a difficult situation, call him up quickly and talk to him in private. If a sub-ordinate is engaged in an argument with someone else (his sub-ordinate or a client) which you think is improper, get into the situation. Do not criticise either. Offer to help, resolve the issue. Counselling can be done later.

7. Criticise when alone

Do not contradict or criticise others when third parties are around. To lose face before others is very disturbing. Openness is necessary in a group. But not when outsiders are present. The open exchange between members of the group even if not critical may not be understood by outsiders.

People do not like to be bluffed or cheated. Good interpersonal relationships do not build, if one is suspected of bluffing or cheating the other. Persons with good interpersonal skills, therefore, level with others. Levelling means that you say what you have in mind. But the skill is in saying it without offending or calling the other person names. If the person is suspected of having been unfair, state the facts and the grounds of suspicion without calling him “unfair”. Calling a spade a spade is not a great virtue.

G. Adoption of Technology

Current workplace demands collaboration and adoption of technology has become imperative. All employees need to have at least some basic knowledge about using the relevant technologies. This is one of the communication and technological challenges in the present environment. It has to be understood technology is not an end all solution for communication but facilitator of communication.

a) Classification of various technologies available

Internet, emails, telephone / mobile phone, fax machine, computers / laptops, personal digital assistance, conferencing tools both for audio and video, intranet, blogs, podcasts, etc. the list is endless and ever evolving.

There are both advantages and disadvantages of using modern communications tools.

The advantages are:

- i. Real time response
- ii. Cutting down on cost e.g. travel costs come down considerably
- iii. Wide reach
- iv. Collaboration among the team members i.e. team members can simultaneously work on the same project and integrate the same later.
- v. Distances have shrunk
- vi. Time zones have become immaterial.
- vii. Employees can work from their own space at their own pace and at a time convenient for them.

The disadvantages are:

- i. There is an information over load
- ii. Work-life balance is affected
- iii. Security of documents, correspondence, records, etc. is under Cyber Threat.
- iv. Connectivity issues still plague the globe
- v. Change in technology happens at a very fast rate putting pressure on employees to keep updating their skills constantly.
- vi. The human touch is slowly vanishing.

However, the technology is here to stay and the organizations as well as the employees have to adapt themselves to the technological changes for effective communication.

Test Yourself 4

_____ is essential for senior levels to know what is happening at operational levels and to enable them to exercise appropriate controls.

- I. Upward communication
- II. Downward communication
- III. Lateral communication
- IV. Unilateral communication

Summary

- a) Communication is the process of exchanging (sharing) thoughts, information, interpretations, ideas, opinions and decisions between persons, to create common understanding.
- b) In the process of communication, the idea (or information) in the mind of one person, who is called the Sender, is being transferred to another person, who is called the Receiver.
- c) Ideas are coded in words, illustrations, histrionics or symbols.

Communication occurs, not when the receiver receives the message sent by the sender, but when he understands the thought of the sender.
- d) Meanings are made of totalities. Meanings are not made by logically arranging the contents of the various symbols received during the communication process.
- e) Communication occurs continuously in organizations.
- f) Language has limitations in capturing the fullness of one's thought.
- g) Semantics: Words do not have the same meanings.
- h) Noise: Problems of communication may be caused because of "Noise" or disturbances during transmission.
- i) The context or background in which an idea exists is important to understanding the idea properly.
- j) Lack of Attention: The mind often gets diverted into some other matters.
- k) Unclear Assumptions: All messages make certain assumptions about the content of the message and the addressee.
- l) One can make meanings only within the limitations of one's experience.
- m) Stereotypes and Beliefs: All of us have stereotype ideas about other people and tend to behave on that basis.
- n) Impressions of the Communicator: Our prior impressions of the person who is sending the communication tend to distort the meaning.
- o) Psychological distance: The lesser the psychological distance, the better the chances of effective communication.
- p) Principles of good communication include:
 - i. Clarity of thought
 - ii. Clarity on language
 - iii. Amount of communication

- iv. Appropriate media or channel
 - v. Avoid mismatches in communication
 - vi. Make communication a two-way process
 - vii. Be sensitive to receiver's response
 - viii. Communicate directly
- q) Upward communication is essential for senior levels to know what is happening at operational levels and to enable them to exercise appropriate controls.
 - r) Downward communication is necessary to convey policies and objectives.
 - s) Lateral communication helps co-ordination between activities done at various departments or by various people, who are all dependant on one other.
 - t) Formal communication may be either oral or written.
 - u) In case of oral communication, there is a direct contact and face to face relationship between the sender and receiver.
 - v) In those cases where the information is to be retained for a longer period of time or records are necessary for reference, only written communication is appropriate.
 - w) Informal communication: These channels do not recognize official levels of positions. The informal network connects persons who are socially affiliated, mostly through the medium of word-of-mouth.
 - x) Listening is important to build relationships.
 - y) Interpersonal skills are skills in relating to other people.
-

Key Terms

- a) Barriers
 - b) Coding
 - c) Distortion
 - d) Downward
 - e) Gap
 - f) Grapevine
 - g) Interpersonal skills
 - h) Filtering
 - i) Frame of reference
 - j) Lateral
 - k) Levelling
 - l) Noise
 - m) Overload
 - n) Relay
 - o) Semantics
 - p) Upward
-

Answers to Test Yourself

Answer 1

The correct answer is V

Answer 2

The correct option is I.

Self-Examination Questions

Question 1

‘Filtering’ refers to:

- I. The omission in the message by the sender at the time of encoding process.
- II. Removal of noise from communication,
- III. The process adopted by receiver to interpret the message
- IV. Selective omission or selection of some information, with a view to create a particular impression

Question 2

_____ seeks to convey company policies and objectives.

- I. Downward communication
- II. Upward communication
- III. Lateral communication
- IV. Unilateral communication

Question 3

Given below are some merits of oral communication. Identify the incorrect option.

- I. It is direct, simple and least expensive
 - II. It is one-way and hence provides little feedback
 - III. It provides an opportunity to ask questions and seek clarity
 - IV. It provides an opportunity to check understanding
-

Answers to Self-Examination Questions

Answer 1

The correct option is IV.

Answer 2

The correct option is I.

Answer 3

The correct option is II.

CHAPTER 10

HRM AS A BEDROCK OF LEADERSHIP DEVELOPMENT

Chapter Introduction

This chapter deals with definition of leadership, qualities of leaders, groups and teams.

There is further elaboration on few well-known leadership theories, role of HRM in building talent pool, constructing leadership pipe line, training leaders, helping all employees in upskilling and creating a congenial atmosphere for growth.

Learning Outcomes

- A. Understanding Leadership
- B. Groups and Teams
- C. Authority and Power
- D. Theories on Leadership
- E. HRM role in identifying and training leaders
- F. Upskilling all employees and keeping their morale high.

A. Understanding Leadership

1. Introduction

We live in a 'VUCA' World. Majority of us must have come across this phrase at some point of time or other. The acronym 'VUCA' stands for:

- V -Volatile
- U - Uncertain
- C - Complex
- A - Ambiguous

What is true for the world is true for organizations as well. Dynamic forward-looking leaders are required to steer the organizations in the wake of fast changing economic, technological, and social spheres.

An understanding of certain theories related to leadership and few current developments will help in appreciating the role of leadership in organizations.

A general definition of leadership

"Leadership is a function of knowing yourself, having a vision that is well communicated, building trust among colleagues, and taking effective action to realize your own leadership potential."- Warren Bennis

"Leadership is an attempt at influencing the activities of followers through the communication process and toward the attainment of some goal or goals."

- Donnelly, J.H. & Ivancevich, J. M. & Gibson, J.L. 'Organizations: behavior, structure, processes.

From the above definitions it can be seen Leadership is about:

Self-awareness

- Well communicated vision
- Building trust among colleagues
- Influencing the activities of the team members
- Attaining the goals set
- Working towards realizing the leadership potential within oneself

Before further dwelling into theories of leadership role of HRM in creating leaders understanding certain concepts like Groups and teams, Authority, Power, functions and qualities of a leader will help in appreciating need for leadership in organizations.

B. Groups and Teams

1. Groups and teams

a) People are interdependent on each other

Very few jobs in an organisation can be done by an individual all by himself. Everybody's work connects to someone else's work and the final results are achieved when all these jobs are done in coordination. One person's output is another's input, the second person being the internal customer of the first. He takes on from there. People have to work in groups. They are interdependent on each other.

b) Reasons for forming groups

People form groups for many reasons.

- i. One of them is propinquity or nearness in time or space. Fellow travelers in a train compartment can be an example.
- ii. Another reason can be common activities or interactions or interests. Members of a club will have groups according to their interests in a sport or in politics. They may come together to fight for a common cause, as in a protest march.

Whatever be the reason, members in a group will find satisfaction in being in that group, because there is something common with all the others.

c) Working groups in organisations

- i. Working groups in organisations are generally **Command** groups, all working under one leader.
- ii. They may also be **Problem Solving** groups or **Task Forces**, put together for a specific task of solving a problem or executing a job. The group will be dismantled as soon as that task is done.

d) Informal groups within organisations

Informal groups are formed within organisations because of propinquity, from among the formal Command groups or Task forces. They come together outside the requirements of work. But, as discovered by Elton Mayo, the informal group can have an effect on work. HRM and Managers of Departments need to be sensitive on this aspect

2. Characteristics of groups

a) Norms

A group may have norms, which is an agreed standard of behaviour.

- i. In **formal groups**, these will be laid down by the organisation which created the group.
- ii. In **informal groups**, they evolve over time and are accepted by everyone. This is like the society we live in, where there are standards of behaviour which, by and large, everyone accepts.

Norms provide the guidelines for the group to function. The stability and the continuity of a group will depend on how much the members of the group adhere to the norms.

b) Synergy

Synergy is the concept which says that the interaction of members in a group can create energy (abilities or knowledge) more than the sum of the energies of the members themselves. This was what Elton Mayo noticed. The mutual support between members can increase the total knowledge they individually have, as the points raised by one in a discussion can provide insights into further nuances in the subject. Healthy competition between members can improve the performance of everybody. When the supporters in a sports field cheer, the players do better. These are all examples of synergy.

Unlike formal groups which are formed by decisions of superiors, informal groups are formed voluntarily. By the very nature of their formation, there is likely to be better understanding and willingness to cooperate among the members of informal groups. There is likely to be more trust and mutual support among them.

3. Teams

a) Meaning

A group is said to be cohesive when the members desire to continue to be in the group. The more cohesive a group, the better will be its ability to function effectively. A cohesive group is called a **team**. Building cohesiveness in a group and making it a team is the responsibility of a leader.

b) Characteristics of Teams

The cohesiveness of a team can be evaluated on the following characteristics.

i. Common objectives

All the members of a team should know what they are collectively working for and what their individual role or contributions are in that collective effort.

ii. Co-operation

Members of a team have to cooperate with each other. This implies that they show concern for and adjust to each other, instead of being concerned only with their respective problems. There has to be recognition of differences in skills, that one can do better than another. There would be willingness to modify, for example, one's output, if that suits the other person's work.

iii. Support and trust

Members of a team trust each other and are not suspicious of each other's intentions and bonafides. Support implies that if one is in difficulty, another comes in to help him. The difficulty may be lack of knowledge, pressure of work, personal inconveniences or making amends for errors. Members can take responsibility for the team as a whole, only if there is support and trust.

iv. Confrontation

When people interact with each other, it is natural that there would be differences and misunderstandings. In cohesive teams, these are not brushed under the carpet. They are brought up to the surface and discussed to clear up misunderstandings. It is not necessary that members agree completely on all matters. It is however, necessary to have agreement on matters concerning the performance of the team as a whole. If differences interfere with the cooperation, there could be problems in the working of the team.

v. Openness

This refers to the willingness of a member to (i) express himself and also (ii) listen to and examine the validity of opposing points of view. Confrontation is not possible without openness.

vi. Procedures or systems

Members of a team will have to know how work is arranged and being done, within the team. These need not be written down but must be clear and understood. Without this, cooperation becomes difficult. The role of each member should be known to him and to others in the team. When members of a team find duplication or lack of coordination, procedures and systems could be the cause.

vii. Appropriate leadership

In a cohesive team, the leadership is appropriate to the skills and motivations of the members and to the tasks to be achieved. Cohesion comes through appropriate leadership. The thesis of Rensis Likert (discussed in an earlier chapter) explains how leadership styles affect climate and

output. Also, members other than the formal leader, will take over the leadership function, depending on the expertise required at various times.

viii. Regular review

Members of a team take time off to look at what they are doing and how they are doing. This helps to keep objectives in focus, improve cooperation and improve working. All members should feel free to raise issues, express opinions and suggest changes (Openness).

c) Consensus

There is a lot of sharing in teams. Objectives, ideas, strategies and differences are shared. The more the sharing, the better will be the acceptance of decisions and commitments thereto. Team decisions are best made by consensus, which means that all members agree with the decision.

Consensus is different from unanimity. In a unanimous decision, all the members are of the same mind. There are no differences. In a consensus decision, differences may exist. But the members agree that these differences are not such as to affect the implementation of the decision. They agree to ignore the differences for the time being.

d) Consensus decision vs. Majority decision

A consensus decision is not a majority decision. A majority decision is a mechanism to arrive at a decision, despite differences. That could leave others with a sense of having been defeated or ignored. In a consensus, the differences are listened to with respect, not ridiculed, are discussed fully and narrowed down, till agreement is found on substantial points. A leader must be able to generate consensus decisions.

C. Authority and Power

1. Authority

In organisations, there is no formal position called 'Leader'. There are managers and heads of departments. All such people will be required to get work done through subordinates. All of them therefore, have to function as leaders. This is not to say there are no leaders in the organization, Leaders emerge and they are the ones along with Managers or as Managers who help in the progress of the organization.

When appointed by the organisation to a role as manager or head of department, the incumbent is given some authority. Authority includes the right to instruct subordinates. This does not necessarily help him exercise influence.

Example

All branch managers of an insurance company will have the same authority. But some may have more difficulty than others, in getting cooperation from the staff. In the same branch, the staff may become more (or less) cooperative when a new manager takes over. The ability of the two branch managers to influence their subordinates is different, although both of them have the same authority.

2. Power

The ability to influence is defined as power. An effective leader has influence over his people. He therefore has power. A leader of a group, who is not able to influence the behaviour of his people, has no power, even though he may have authority.

3. Difference between authority and power

A leader has power because the members of his group accept his leadership. If they do not, they are unlikely to follow him, they may not be influenced by him and may even get some other person to lead them. This other person would effectively be the leader, with no formal authority but with power.

Thus, power is given to a leader by the persons over whom he exercises influence.

- i. Authority is given from above. Power is given from below.
- ii. Authority is that of a position. Power is that of a person.

Power is sometimes referred to as Personal Authority.

4. Power is acquired

A leader has to acquire power from his subordinates. Power is given to a leader for a number of reasons. Some of the reasons are as follows:

- i. Fear that the leader may take action when the sub-ordinate fails in his duties. This must be used but need to be used in a judicious and fair manner.
- ii. Hope that the leader can reward. Rewards are not necessarily official like increments or promotions, which require authority. Anything that gives satisfaction is a reward. A leader may provide opportunity to learn, assign interesting work, explain decisions, consult or allow concessions in work (may be because of health condition). All these are rewards.

- iii. Regard for the authority of the leader. Many of the subordinates abide by the instructions of their superiors, because they recognize and respect the position of the superior. The superiors are then able to influence. They have power which flows from the acceptance of the legitimacy of the appointment.
- iv. Recognition of and respect for the competence of the leader. If the superior is seen as not competent, he is not respected. There is then less willingness to follow him. Ability to decide, to solve problems, to liaison with higher officers, to guide, to be consistent, to take responsibility, are, in addition to technical knowledge, factors that create respect for competence.
- v. Respect for the leader as a person. The factors here relate to personality characteristics of the leader other than his competence at work. His manners, sense of fairness, trustworthiness, scholarship, connections and accomplishments are some characteristics that earn respect.

5. Behaviours that help acquire power

Some behaviours that help to acquire power are as follows:

- i. **Enhancing self-worth:** A leader who enhances the self-worth of his followers through acts like acknowledgement of performance, allotment of important or difficult tasks, consulting on important issues, listening to viewpoints (including grievances) etc. acquires power from his followers.
- ii. **Availability and accessibility:** A leader who makes himself available to his subordinates for consultation, advice and help is valued highly.
- iii. **Support and trust:** A follower wants that his leader will understand him and represent him fully before the superiors and others. In other words, if someone questions an individual's action, the leader has to come to his support by explaining what was done and establishing it as bonafide. Leaders, who let down the followers in such difficult times, tend to lose power.
- iv. **Sharing and caring:** A leader who shows genuine concern for his followers and also shares his problems and concerns, with the group, tends to build better rapport between him and others, thus enhancing his power. Sharing will be in areas of policy directions, problems, strategies, proprieties of decisions (values) etc.
- v. **Character:** Character is to be understood as consistency in thought, word and deed. A person without character does not enjoy much power.

Leaders have power. But all those having power are not leaders. Just formal powers bestowed by authority alone does not make a person leader. He should be capable of exercising those powers without losing the support of the team.

6. Traits of a good leader

A good leader is respected, even admired by his followers and remembered with affection long after he has vacated the position of leadership. Threats of punishment may leave traces of unpleasant emotions like fear and hostility. Great leaders do not resort to this source of power. With them, the followers respond in ways that when the task is complete they say with pride “We did it”. They savour the experience.

Some studies have suggested that effective leaders possess traits and characteristics like:

- a) being hard working,
- b) lot of energy and vigour,
- c) not being afraid,
- d) integrity,
- e) having moral and ethical standards,
- f) capacity to understand,
- g) concern for others,
- h) good judgement,
- i) self-confidence and
- j) decisiveness

It is difficult to be prescriptive about how each one of these traits works to create a relationship between leader and followers. Concern for followers may be seen as supportive or as interference in the followers. Decisiveness can sometimes become stubbornness or becoming too authoritarian. Self-confidence can become inflexibility.

Leadership actually is the interaction between two persons. Each trait may be perceived and interpreted differently. The traits may help, but not ensure, effective leadership. The ‘traits theory’ about leadership is not considered to be very valid these days.

7. The middle manager's role

The middle manager's role has traditionally been one of integrating top management policy with activities of their subordinates. The focus therefore, had been to supervise activities of subordinates, control results, solve problems and so on. The emphasis nowadays is on the process of delivering the outcomes, which produce satisfactions to customers. The quality of service has not only to be maintained but continuously improved upon.

It would be the role of middle managers to:

- a) identify the contact points with the customer
- b) determine how the contact is to be managed
- c) determine what standards of (quantity and quality) have to be maintained
- d) analyse operations and processes
- e) visualise the possible errors, what may go wrong
- f) find ways of avoiding errors
- g) find ways of compensating for the errors, if they occur
- h) find ways to enhance quality standards

The middle manager can do his part best, when he involves the operating personnel. They know what is happening. They should know what should happen. They alone can make it happen. They are willing to make it happen. They need to know what cause the happenings and the risks involved in the proposed actions. The information and the decision should be shared. These are outcomes from good effective leadership

Lead more and manage less is the principle. Let subordinates be a part of managing. They should understand and accept the quality and delivery standards, what is good and what can become better. These take place through improvements. Each improvement may be small but no improvement is too small to be ignored. Hundreds of 1/2 percent here and 1/4 percent there, add up to substantial figures.

8. Internal communication

The leader has to ensure that the communication within his group is complete and timely. If employees have to remain committed and empowered, they have to be informed properly and correctly on operationally relevant matters. Written circulars, bulletins or notice boards and similar media are all useful to inform about schemes, plans, procedures etc.

In service organisations, however values and philosophies need to be communicated so that they are shared. These are best communicated:

- i. at meetings through discussions
- ii. through experiences reflecting these values, which if not direct, could be captured on films
- iii. by top management personnel explaining their mind

When erratic behaviour needing correction, or commendable behaviour needing reinforcement, are noticed, these may be communicated, so that others may know what is and what is not, expected. Rewards communicate. Appraisal systems communicate. Top management has to check that the communication that takes place through all these and other practices and decisions, are not distorted; that they do not mislead or misdirect.

If the events have raised doubts, such doubts have to be discussed, explained and set to rest. Meetings have to be arranged often to share ideas, information, doubts and misgivings. Occasions can be found to celebrate. A celebration is of a success. Success improves team cohesiveness, which is both the cause and the result of motivation to stay together, to belong.

Employees are in a position to contribute to decisions. They will happily do so, if consulted. They may even help the management to implement harsh decisions. Consultations improve the motivation to contribute.

Involve personnel at all levels in virtually everything:

- i. quality improvement,
- ii. productivity,
- iii. preparing plans and budgets,
- iv. assessment of new technology,
- v. layout,
- vi. work assignments,
- vii. work flow

Listen to them, constantly and completely.

Give employees feedback on customer's opinions. Let them be exposed to performance data. Let them discuss and appreciate the implications thereof and suggest appropriate action.

Employees have to be told not merely the rules that restrict, but principles and key values that should guide performance.

Now that the leadership and need for leadership has been discussed in general, to further understand the need for leadership and types of leadership and certain leadership aspects, few well-known theories of Leadership are described below:

D. Theories on Leadership

1. McGregor's Theory

An important theory to understand behaviour of humans at work was postulated by Douglas McGregor. He said that behaviour was not the consequence only of an individual's inherent nature, but was also a result of the manner in which he is managed at work. Managers have their own ways of managing, depending on their assumptions and expectations. These assumptions and expectations could be classified under heads that represent the extremes of a continuum.

a) Theory X assumptions

At one extreme, the assumptions are:

An average human being has an inherent dislike of work and will avoid it if he can. Therefore, workers must be coerced, controlled, directed and threatened with punishment to get them to make adequate efforts towards achievement of organisational goals.

- i. An average human being prefers to be directed, does not like to take responsibility, has little ambition and wants security above all.
- ii. An average worker has little capacity for creative problem solving, is inherently self-centred and by nature, resistant to change.

McGregor called this set of assumptions Theory X and said that they represented traditional patterns of management. Managers with these assumptions will attempt to structure, control and supervise closely.

Theory Y assumptions

At the other extreme, are the assumptions of what he called Theory Y, which are:

- i. The expenditure of physical and mental effort at work is as natural as play or rest.
- ii. The average worker does not inherently dislike work. Work can be a source of satisfaction and enjoyment.
- iii. External control and threats of punishment are not the only means for regulating efforts at work. People can exercise self-control and self-direction in working for objectives to which they are committed.
- iv. Commitment to objectives is related to outcomes from efforts put in.

- v. People learn, under proper conditions, not only to accept but to seek responsibility. They also learn under different conditions, to avoid responsibility and seek security.
- vi. The capacity to be highly imaginative and creative in the solution of organisational problems is distributed widely among people.
- vii. The potentialities of the average worker are only partially utilised.

McGregor postulated that when workers are managed on the basis of the assumptions of Theory X, they tend to become so, fulfilling those assumptions. Therefore, managements need to introduce practices based on Theory Y to unleash the potential in workers to take responsibilities and to be creative, by allowing them to assume more and more control over their work.

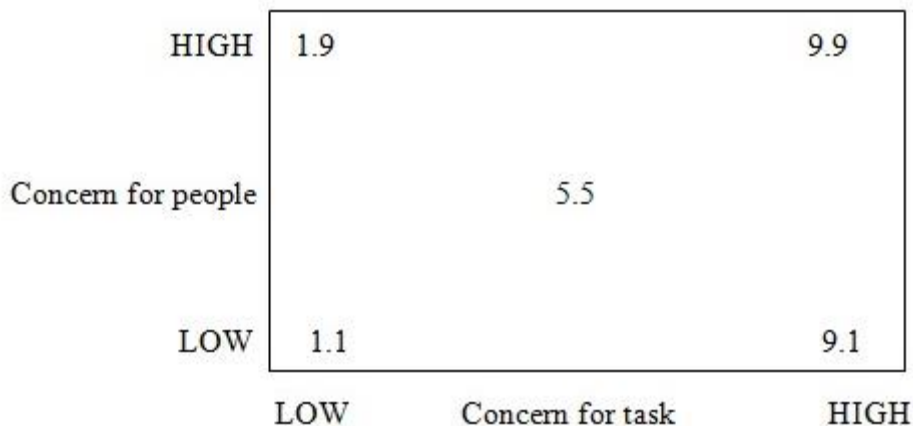
Theory X and Theory Y are two extreme anchors. Any worker at a time may be somewhere between X and Y. He has to be managed according to assumptions, appropriate to his personality and character. There is no 'average' worker.

2. Leadership styles

Leadership style refers to the type of behaviour and conduct the leader adopts while dealing with his people. Different experts have classified leadership styles in different ways.

a) Robert R Blake and Jane S Mouton's concept of grid

Robert R Blake and Jane S Mouton developed the concept of the grid, as shown below, based on two criteria, the leader's concern for people and his concern for the task.



i. 1.1 type of leader

Leaders of the 1.1 type have low concern for people and also low concern for tasks. They are satisfied with the minimum effort. They practice Avoidance style and can be said they are like **tortoise** which goes into a shell oblivious of surroundings.

ii. 9.1 type of leader

The 9.1 types have very high concern for task but very low concern for people. They operate on Theory X assumptions. They are hard taskmasters, expect implicit obedience to instructions, show little concern for problems and feelings of people and are interested in people only as instruments for production.

They look at quantity and quality of output, workload and efficiency measurements. They do not seek suggestions. They threaten. They are workaholics, highly committed organisational people, seen as ruthless and inconsiderate. They are usually described as authoritarian, autocratic or dictatorial. They adopt autocratic style. They can be equated to **sharks** in the sea, which are only concerned about the task on hand.

iii. 1.9 type of leader

The 1.9 type of leader, having high concern for people and low concern for tasks, will be a very popular figure, building up fellow feeling and camaraderie. The happiness of and harmony among his colleagues has greater priority to him than the work to be done. He builds on trust and social relationships and does not impose himself.

They operates on Theory Y assumptions. They are called a democratic or benevolent leader. They believe that production will automatically follow, if the climate is good. They can be equated to **Teddy Bears** who spread warmth and are comfortable to deal with but are not effective in getting the tasks done.

iv. 9.9 type of leader

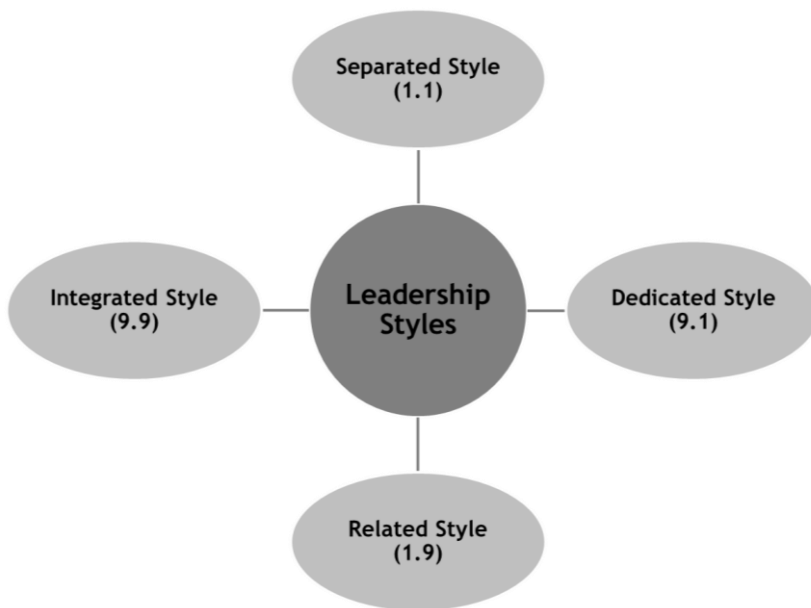
The 9.9 type of leader has equally high concern for both task and for people, integrating the needs of the people with the needs of the organisation. He involves people in decisions, looks to their needs, but never forgets that tasks have to be performed. He generates through the process a highly committed team of persons. He demands and gets high levels of performance, not through coercion, but through persuasion and inspiration. This type of a leader is as wise as an **Owl**, who can see through the darkness, take wise decisions.

5.5 type of leader

He takes the middle path, and does not like to stir any storm in the tea cup. Happy with status- quo and is prepared for compromise to get the result. This style can be equated to that of the **Fox where fox runs with the lion and after** lion hunts the prey is happy to share the spoils. He tries to get the job done at minimum effort and struggle without much focus on people or quality.

Indicators for leadership styles: The four basic styles can be identified by some indicators:

Diagram 1: Leadership Styles



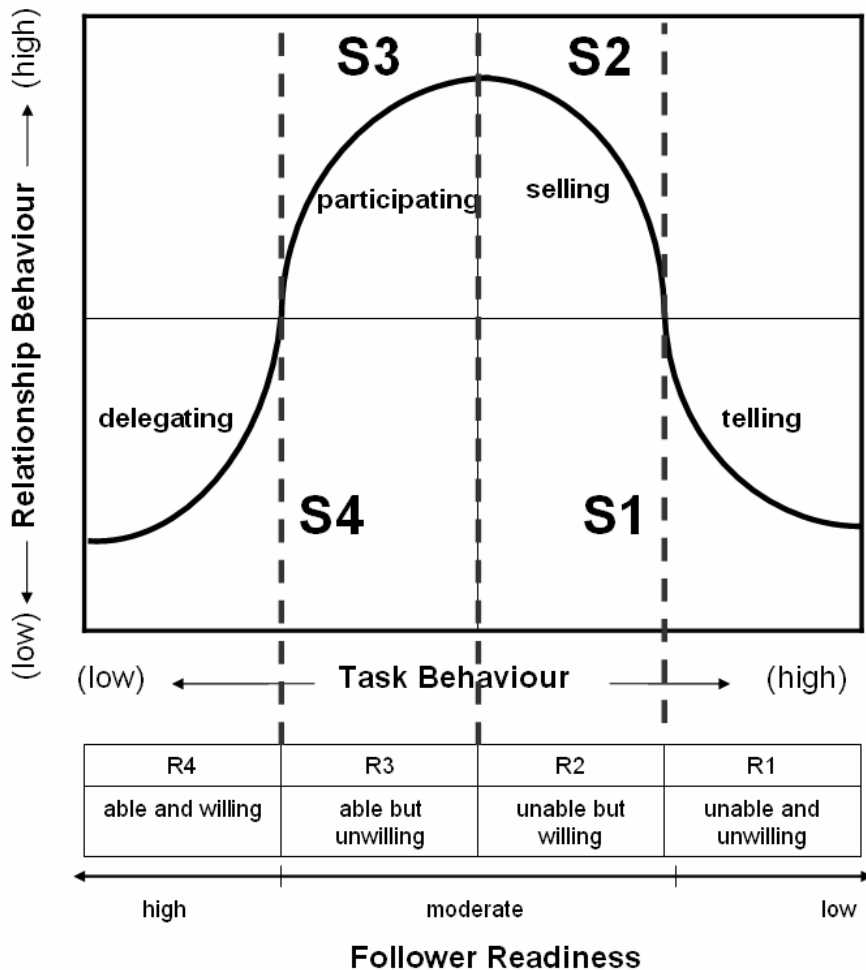
- i. **Separated style (1.1)** also called **impoverished**: cautious, conservative, procedure-minded, orderly, trying to be accurate, calm, discreet, scrupulous, not mixing easily, low interaction, role oriented, takes little initiative, gives minimal guidance. Likely to be found in accounting, banking, research related departments.
- ii. **Dedicated style (9.1)** also called **autocratic**: determined, aggressive, confident, busy, driving, restless, self-reliant, talks always of jobs, controls, ambitious, likes rewards-punishments, self-centered, inconsiderate to others, manipulative. Likely to be found in production.
- iii. **Related style (1.9)** also called **country club**: emphasizes personal development, informal, long conversations, sympathetic, approving, encouraging, friendly and reassuring. Likely to be found in sales, personnel, training.

- iv. **Integrated style (9.9)** also called **team managers**: talks of ideals, goals, policies, wants, values, lot of sharing, listens, participative, problem solver, inspires. Usually, but not always, found at senior levels.

The one at 5.5 is a leader with average concern for both people and task. He may get adequate, but not outstanding, co-operation and performance.

Situational Leadership Model

Hersey and Blanchard's concept of Situational Leadership



(Google Figure)

To appreciate this model of leadership, understanding the following two parameters are necessary

- **Task or directive behavior:** The extent to which a leader tells the follower /followers
 - ✓ what to do,

- ✓ how to do it,
- ✓ when it needs to be done and
- ✓ who is to do what
- **Relationship or supportive behavior:** The extent to which a leader,
 - ✓ asks open-ended questions
 - ✓ provides recognition
 - ✓ socio-emotional support and
 - ✓ actively listens

Referring to the diagram above, if each axis is considered on a 10 -point scale a leader will choose his own behaviour based on his followers' ability and willingness to do the tasks.

1. **High task/low relationship behavior - style 1 or S1 (telling, directing, guiding)**
 - A leader working in S1 quadrant would make all decisions regarding tasks and closely monitors the progress of the followers during implementation.

This approach aligns with followers who are responsible for performing a task they know little (or nothing) about. This is due to the fact, they have limited experience and/or skill and their confidence is often impacted (R1 - Unable, Unwilling)

E.g.- When computers were first introduced in organizations, the leader who had knowledge about computers and was skilled in its operations had to adopt telling style.

Telling Style is adopted (S1)

2. **High task/high relationship behavior - style 2 or S2 (selling, explaining, coaching)**
 - A leader using S2 would still make decisions regarding task completion but would also involve the follower in a discussion of why those decisions are being made and what will be the end result.

This approach aligns with followers who do not know what to do but are eager and enthusiastic to learn. They are confident they have what it takes to be successful and willing to listen to instructions and explanations that accelerate their progress, (R2 - Unable but willing).

E.g. - New recruits who are not familiar with the jobs, but are willing to learn

Selling style is adopted (S2)

3. High relationship/low task behavior - style 3 or S3 (participating, facilitating, problem solving)

- A leader using S3 would listen to a follower describe a challenge or opportunity with a particular task, then help that follower decide and determine the best path forward.

This approach aligns with followers who have proven they can produce results on a sustained and acceptable level, but for whatever reason still struggle with the confidence to “do it on their own.”

(R3 - Able but Unwilling)

E.g. - When a person is transferred to an unfamiliar location, initially he will consult his peers and superiors to understand how things are done there although he will have sufficient job knowledge.

Participation style is adopted.

4. Low relationship/low task behavior - style 4 or S4 (delegating, empowering, monitoring)

- A leader using S4 would allow the follower to make and implement task-related decisions and be there for support if need be.

This approach aligns with followers who have demonstrated mastery of a particular task. The single most important element of recognition for a high performer is the ability to determine how they will proceed and execute their agreed-upon responsibilities. It is the ultimate demonstration of trust.

(R4 - Able and Willing)

E.g. - In Departments like actuarial. Investments where highly specialized employees are working, the leader will adopt this style.

Delegation style is adopted.

There is no such thing as a “best style” or “preferred approach.” It depends upon the nuances of the situation in which the approach is being employed.

While discussing certain Leadership theories, we saw about qualities of a leader and what skill sets are required. There has been a debate for a long time whether Leaders are born with leadership qualities or the qualities are acquired?

The answer to this question is leadership is a combination of natural abilities and the organizational nurturing of the employees with those skills. Hence, this interplay between nature and nurture is what determines the success of leadership.

HRM initiatives and the senior management efforts to develop leadership is what nurturing is all about and will determine the continuous endeavour of the organization to be in the forefront.

While Management is a static function, leadership is a dynamic function wrought with challenges

E. HRM role in identifying and training leaders

It must build intellectual capital

It must release the brain potential available in the organization.

From the above it can be seen that it is not just sufficient to help few employees to become leaders. There must be a steady supply of leaders.

- **Assessment of current and future needs of the organization keeping its vision in mind**

As a first step, HRM will have to analyse its own structure, roles, and competencies, and align them with organization's vision, strategy, and goals.

HRM should be able to anticipate the future challenges and opportunities that may affect the HR function, such as changes in the market, technology, regulations, or culture.

This really needs a change in rethinking about the future itself. Based on these assessments, HRM can identify the gaps and priorities for organization's leadership pipeline and succession plan.

Identify high-potential employees for leadership roles

Once the gaps and priorities for organization's leadership pipeline and succession plan are identified, the next step is to identify and develop high-potential employees who have the skills, potential, and motivation to become current and future leaders. Here interventions like:

- Performance reviews,
- 360-degree feedback,
- Psychometric tests, or
- Assessment Centers.

Will help to assess and select high-potential employees.

Nurture and Monitor Talent

Once the talent pool is in place, the third step is to provide the employees of the talent pool with tailored development opportunities, such as:

- Coaching,
- Mentoring,
- Training,
- Job rotations and /or
- Stretch assignments which mean, a project or task that is currently beyond a person's knowledge or skill (this is done to pose challenges and help in self-development). For example, overseas assignment if opportunities are there for the same in the organization.
- Regular Feedback. ...
- Cross-Departmental Learning.

Along with helping the leaders to develop they also need to be monitored and evaluated regarding their progress and readiness for leadership roles. And it must be ensured they are committed to organization and its values. This can be done by creating a positive and supportive work environment, offering recognition and rewards, providing feedback and guidance, and fostering a culture of learning and growth. HRM needs to communicate clearly and frequently with high-potential employees, and involve them in the leadership pipeline and succession planning process. HRM must plan and execute leadership transitions smoothly.

Review, Refine Leadership Pipeline and Execute Leadership Transitions

The fourth step is to review and refine the leadership pipeline and succession plan regularly and systematically. HRM needs to track and measure the outcomes and impact of leadership pipeline and plan, and identify the strengths and weaknesses of the process and practices. There is also a need to adapt and adjust the pipeline and plan according to the changing needs and circumstances of the organization and its environment. HRM must get feedback and input from stakeholders, such as senior leaders, high-potentials and/ or external experts.

The fourth and final step is to plan and execute leadership transitions smoothly and effectively. HRM needs to have a clear and transparent process for assisting in selecting and appointing leaders, and ensure that the leaders have the support and resources they need to succeed. HRM also need to manage the

expectations and emotions of your other employees, and address any issues or concerns that may arise. You can also use this opportunity to review and update your HR structure, roles, and competencies, and align them with the and future needs.

F. Upskilling all employees and keeping their morale high.

Other Challenges:

While selecting or recruiting leaders for the present or for future HRM must ensure the motivational levels of existing employees are not affected. They should also be provided with growth and learning opportunities to keep them motivated.

- Constant communication with all employees regarding organization's progress, opportunities and changes happening, is a must
- Upskilling programmes for all employees must be continuously done.
- Not only selection of leaders must be fair but it should also be perceived to be fair by the employees.
- A climate of acceptance of the leaders selected by the organization must be created and nurtured.
- It must be clearly communicated to the leaders that both task on hand and employees' morale are important.
- HRM must develop an open process oriented communication system by which employees give feedback about their leaders without fear.
- The feedback must be shared with leaders even while protecting the identity of the employee/employees who gave feedback.
- Employees must know the action taken on feedback in a generalized manner.
- Regular team building initiatives must happen at all departmental levels to build a cohesive team with common goals,

As a rule, HR managers should see themselves as a coach, rather than a commander and leader who gives the orders.

Test Yourself 1

The leaders that follow separated style (1.1) are also called _____.

- I. Team managers
- II. Country club
- III. Impoverished
- IV. Autocratic

Test Yourself 2

The ability to influence is defined as _____.

- I. Power
 - II. Authority
 - III. Supremacy
 - IV. Control
-

Summary

- a) Leadership skills relate to those skills that are relevant to managing people. Leadership is the ability to influence other people.
- b) Leadership is concerned with obtaining willing co-operation of the followers, not under conditions of threat or fear which thugs and dacoits do.
- c) The leader is concerned with:
 - i. the **Task**, which has to be achieved
 - ii. the **Individuals**, who have aspirations for growth and development
 - iii. the **Group** which has to remain cohesive

Authority is given from above. Power is given from below. Authority is that of a position. Power is that of a person.

The leader has to ensure that the communication within his group is complete and timely.

- d) Douglas McGregor said that behaviour was not the consequence only of an individual's inherent nature, but was also a result of the manner in which he is managed at work.
- e) Robert R Blake and Jane S Mouton developed the concept of the grid, based on two criteria, the leader's concern for people and his concern for the task.
- f) Hersey and Blanchard have postulated the concept of Situational Leadership which states that the leadership style should depend on the "ability and willingness" of the sub-ordinates.
- g) Authority is given from above. Power is given from below. Authority is that of a position. Power is that of a person.
- h) The leader has to ensure that the communication within his group is complete and timely.
- i) Leadership qualities are natural but has to be nurtured for developing the same.
- j) Senior leadership assisted by HRM plays a role in nurturing future leadership
- k) HRM has to identify current and future leaders.
- l) Leaders must be nurtured through different initiatives on a constant basis
- m) Review of leaders is a must
- n) Employee acceptance of leaders leads to success of leaders.
- o) Employee-nurturing is an equally important role of HRM

Key Terms

- a) Authority
 - b) Blake and Mouton
 - c) Challenges
 - d) Cohesion
 - e) Consensus
 - f) Effectiveness
 - g) Grid
 - h) Hersey Blanchard
 - i) Influence
 - j) Leadership styles
 - k) Maturity
 - l) McGregor
 - m) Power
 - n) Role of HRM
 - o) Situational
 - p) Stretch assignments
 - q) Synergy
 - r) Teams
 - s) Traits theory
 - t) Unanimity
-

Answers to Test Yourself

Answer 1

The correct answer is III.

Answer 2

The correct option is I.

Self-Examination Questions

Question 1

The leaders that follow related style (1.9) are likely to be found in _____.

- I. Senior levels
- II. Accounting
- III. Production
- IV. Sales

Question 2

Authority is that of a _____.

- I. Person
- II. Performer
- III. Position
- IV. Character

Question 3

Leaders that follow dedicated style (9.1) are also called _____.

- I. Country club
 - II. Autocratic
 - III. Team managers
 - IV. Impoverished
-

Answers to Self-Examination Questions

Answer 1

The correct option is IV.

Answer 2

The correct option is III.

Answer 3

The correct option is II.

CHAPTER 11

CHALLENGES AND OPPORTUNITIES

Chapter Introduction

“Tomorrow’s leaders will have to learn how to create an environment that actually embraces change, not as a threat but as an opportunity,” - Warren Bennis

This chapter deals with the challenges that will be faced in future as well as opportunities due to fast paced changes because of advancements in technology and change in social dynamics and employee expectations.

Learning Outcomes

A. Future Challenges and Opportunities

A. Future Challenges and Opportunities

Changes had been happening all the time. What is different in present times is that the pace of change is accelerating. The nature of change is also changing. Change is not incremental any more. It is disruptive. Experts suggest that 40% of Indian, US and European enterprises may not exist in 4 to 10 years. Some of the areas in which significant changes are happening, are discussed below:

1. Demographics

Changing demographics: India has a young and growing population, with a median age of around 28 years. As these individuals start families and take on more responsibilities, there is a greater need for financial protection against life's uncertainties.

Rising disposable income: Per capita income in India rising by around 8% annually. This has led to increase in demand for insurance products and the companies are also offering more products.

Increasing Awareness of Financial Protection: More and more people are becoming financially aware and are opting for greater protection through insurance products.

Impact of COVID-19: The COVID-19 pandemic has had a significant impact on the Indian insurance market, with many people recognizing the need for adequate coverage against health and financial risks. This has led to a surge in demand for health insurance policies, as well as an increased interest in life insurance and related products such as critical illness cover.

These are some of the favorable factors for Insurance Industry but these are not without challenges.

The challenges are:

- low penetration rates,
- limited awareness and education,
- complex regulatory environment, and
- pricing pressures.

2. Generation X or Y

Marketers in the USA have distinguished between those born in the decade 1966 to 1976 calling them Generation X and those born between 1977 and 1999 calling them Generation Y. Those born after 1999 are not grown up enough to show distinct characteristics in behaviour.

a) Generation X

According to the studies, Generation X, born of divorced parents and grown up in day care institutions are characterised by scepticism, want to know 'What is in it for me' before reacting and show a higher level of caution and pragmatism than their parents.

b) Generation Y

Generation Y are incredibly sophisticated, technically savvy, immune to traditional marketing and sales pitches, 'having been exposed to them and seen it all'. They are racially and ethnically diverse, much more segmented as an audience and flexible in fashions and styles. They are often raised in dual income families and more involved in family purchases.

Though the classification into X and Y generations may not be applicable as such to Indian conditions, it is obvious that the younger generation in India is technically very savvy having been used to computers and smart phones and tablets even in school. They like informality and learn quickly. They embrace diversity easily. What it means to HR management cannot yet be spelt out. But it is likely that they will not adjust to and accept traditional controls. They may seek opportunities within organisations to experiment and innovate.

Organisations are experiencing increasing difficulty in retaining talent. While there is demand for talent, employees seem to have less and less loyalty to the employers. They are prepared to shift jobs without much hesitation, if they feel that the remuneration is better or there is better recognition and freedom. Some are able to obtain terms better than the CEO of their company.

In 2016, several graduates from IIMs in India declined offers from corporates to pursue their dreams of starting their own businesses.

3. Technology

One of the major programmes of the Government of India is called 'Digital India'. This is in keeping with the trends globally. Technology will move more from information era (end of the previous century) to digital era (in the current decade).

According to John Chambers, Ex-CEO of Cisco, every country, every city, every company, every car, every house and every human being will become connected digitally by 2020. About 100 devices were connected to the Internet in 1964. About 10000 mobile applications are being added to Google's and Apple's app stores every day. The rate at which they become obsolete is also very high.

Number of IoT devices

The term IoT, or Internet of Things, refers to **the collective network of connected devices and the technology that facilitates communication between devices and the cloud, as well as between the devices themselves.**

Few examples of IoT devices:

- Smart TV
- Robot Vacuum cleaner
- Smart Watch

The number of Internet of Things (IoT) devices worldwide is forecast to almost double from 15.1 billion in 2020 to more than 29 billion IoT devices in 2030. In 2030, the highest number of IoT devices will be found in China with around 8 billion consumer devices. (statista.com)

This is a massive growth in data and the implications will be not merely in terms of better connectivity but will mean new businesses, unknown so far and entirely new ways of delivering services.

Increasing connectivity will also change the way business is done. The digital era will have much greater impact than the Information era had. It will not be easy to adjust. It will affect strategic thinking. It will affect models for delivery of services like health care. It will change manufacturing.

India is very much in the forefront in developing many of these new devices. According to IT industry body NASSCOM, the Indian technology sector is set to grow 8.4 per cent in FY 2023 to reach \$245 billion in size.

a) Cashless, paperless, person-less transactions with devices layered upon the Aadhar Card

Aadhaar is a game-changer for India. It has become an important technological instrument to empower the poor and entitle them to get their benefits without any interruption or middlemen. In this pursuit, Aadhaar is concretising the most important objective of Digital India: leading to digital inclusion and empowering common Indians. It is a marvel of innovation that uses safe and secured technology seeking to subserve the other objective of digital India namely transformation based upon technology which is affordable, inclusive and developmental. Today, 119 crore Indians have Aadhaar in a population of nearly 130 crore. The coverage of adult population is nearly 99%. Today, Aadhaar stands tall as an Indian innovation, globally acknowledged as the world's largest digital identity programme. (The Hindustan Times -18th October 2023)

Challenges:

A common thread connecting the issues regarding the Aadhaar is that the users of digital-identity programs must be kept central to the design of the system, i.e., to be effective, digital identity must empower people, not just the governments. The solutions can only take effect within a larger institutional framework that prioritises the rights of the users above other considerations. Data security, Effective Biometrics, Efficient transformation to paperless systems and Education of Aadhaar usage by common man can make the system more effective.

Aadhaar and Insurance Industry The establishment of a task force by IRDAI to facilitate Aadhaar-based KYC in the insurance sector marks a significant step toward enhancing customer on-boarding, fraud management, and overall operational efficiency.

By leveraging Aadhaar's robust identification framework, insurers can streamline,

- Processes,
- Improve traceability, and
- Provide seamless services to policyholders.

To the HRM person in insurance companies, these developments pose major challenges. Upskilling in all areas like Actuarial, IT, Marketing Fund Management etc. has become a priority

- a) First of all, new skills will have to be imparted learnt.
 - b) The risks in the businesses and technologies including that of manufacturing industries will have to be understood to be able to process underwriting and claims decisions.
 - c) Equally important would be the need for maintaining absolute confidentiality with regard to information accessed during official work. Employees of insurance companies, including agents and surveyors, will have access to a lot of information relating to the clients' activities. Being related to strategic matters, there could be persons abroad as well as in India, who may be keenly interested in knowing what is happening.
4. Consumer expectations from Insurance Industries.
 5. "With COVID-19 exposing a vast segment of the population to the delights of stellar online services such as Amazon and Apple, consumers now expect every company and every industry to offer this same level of professional service...which increases expectations for personal insurance," Jim Carroll.

6. Times are changing fast. One study found that 55 percent of customers prefer digital channels over traditional ones, like telephone or in-person shopping options. Among younger shoppers, this number rises to 68 percent. Forty percent of customers will shop elsewhere if a company doesn't offer their preferred method of doing business. The customers expect a good digital service.
7. In today's insurance market, along with excellent products, customers expect high quality digital service which help them save time and money.
8. At the same time insurance customers seek personalized service from insurance agents and brokers, we have often formed long standing relationships with customers that allow them to make tailored recommendations. Technology accelerates the process. For Insurers it is a High Tech and High Touch World.

9. Effect on staff

If the insurance companies are using the new technologies, the staff will have to be imparted the necessary skills. There will have to be 100% accuracy and precision while doing tasks connected to the new devices. There will be no scope for any 'error' in handling jobs connected with the new technology.

Technology has made it possible for employees to work from home but managements have found that the remote working can be applied in some areas and for a specified period. The hybrid model of working from home for some days and coming to office on some days has been found to be more effective.

10. Rural development

In India, 83.3 percent of the total population of 121 million people live in rural areas (Census of India, 2011). As a result, nearly 70% of India's population lives in rural areas. These rural populations are characterised by widespread poverty, low literacy and income levels, high unemployment, and poor nutrition and health status. - unacademy CBSE

The developments in the rural areas will be reflected in the acronym JAM, which stands for the three pillars,

- a) Jan Dhan (bank accounts for everybody),
- b) Aadhar card which will be the identity for persons to receive benefits and
- c) Mobile phones which provide for communication.

As on 29th September 2023, the Authority has generated **138.08 crore** Aadhaar numbers to the residents of India. The stage is set for incomes to flow without

leakages into the farmers' bank accounts. Many Rural Households have benefitted by these schemes as well.

In 2018, around **36 per cent** of households had a smartphone, which increased to 74.8 per cent in 2022. The percentage of households with smartphones, as well as internet connectivity, is around 88 per cent as per ASER Study.

The Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA), the Rastriya Sama, Vikas Yojana (RSVY), the Indira Awas Yojana (IAY), the Sampoorna Grameen Rozgar Yojana (SGRY), the Integrated Tribal Development Project (ITDP), and the Pradhan Mantri Gram Sadak Yojana were all launched by the Government of India through the Planning Commission of India to improve rural people's conditions (PMGSY). All these schemes have helped in Rural Development.

All of these schemes aim to close the gap between rural and urban people, thereby reducing imbalances and speeding up the development process.

The prospects for insurance companies in rural areas seem to be bright in the immediate future. Both access and service are likely to become easier with the availability of technology. HR departments will have to ensure that the employees are ready to take full advantage of the same.

11. Being dynamic

Some surveys show that the three biggest HR challenges in the future will be:

- a) Rewarding and retaining the best employees
- b) Developing the next generation of corporate leaders
- c) Creating a corporate culture that attracts the best employees

The three challenges mentioned above come from the fact that the talents required are the ones necessitated by the new technology and the new business models.

Example

- a) Some leading Indian software companies have chosen to appoint as their CEOs persons who had been working abroad. Perhaps, their experience is wider than the Indian counterparts. The challenges are not ones that can be met with traditional adjustments to compensation packages. It is more than salary that matters. Leaders need strong people-related and development skills.
- b) In order to prevent women from leaving their jobs after maternity, the ICICI Bank has developed new technology to enable women to work from their

homes. This will also help employees who have to spend long hours on commuting.

- c) Access to core banking servers is made available with the use of face recognition technology and extended network. It enables tasks like checking documents for loan disbursements, image-based verification of cheques for clearance, first level scrutiny of documents for opening accounts and processing of export import documents, to be undertaken remotely.
- d) The State Bank of India is also working on systems that enable remote relationship managers to work from home, maintaining quality and security.

Competition in the future will be keener than ever before. Those organisations which do well may reshape and redefine not only their products, but the industry itself. It will be necessary to innovate systems and procedures.

The environment is dynamic. The individuals with whom HR people are going to work are increasingly diverse in interests, abilities and motivations. The result is a future with exciting challenges and opportunities. The new system will be one of dynamic engagement. Managers will now think of a company not as an organisation of managers and workers, but as a company of partners in business. Everyone will have to think as if it is his own business. Everyone will expect an opportunity to contribute to the change.

12. Global Operations

Indian companies are increasingly operating in other countries. Foreign companies are operating in India. Indian companies like hotels and hospitals will have plenty of foreigners as customers from different countries. The involvement of foreign personnel will affect the HR functions in the matter of Communications. Interpersonal relations are built through communications.

Communications will be affected because meanings will be made within the beliefs, values, perceptions, etc, which are all created to a significant extent, by the societies in which one is brought up. The customs and values of those societies will be different from India. HR managers will have to be aware of these differences and ensure that miscommunications are avoided.

Example

To sum up to create more opportunities in the new age economy which is full of challenges, is to convert complexity of networking into simplicity by using tools which common man and organizations can use with ease. Thus, enabling both to prosper

Test Yourself 1

Marketer in USA refers to those born between 1977 and 1999 as _____.

- I. Generation X
 - II. Generation Y
 - III. Generation Z
 - IV. Generation A
-

Summary

- a) Changes had been happening all the time. What is different in present times is that the pace of change is accelerating. The nature of change is also changing. Change is not incremental any more. It is disruptive.
- b) Organisations are experiencing increasing difficulty in retaining talent. While there is demand for talent, employees seem to have less and less loyalty to the employers. They are prepared to shift jobs without much hesitation, if they feel that the remuneration is better or there is better recognition and freedom.
- c) One of the major programmes of the Government of India is called 'Digital India'. This is in keeping with the trends globally. Technology will move more from information era (end of the previous century) to digital era in the current decade.
- d) Manufacturing in India is expected to get a big boost as a result of the 'Make in India' campaign of the Government of India. Many global brands might decide to set up manufacturing units in India because of the support that the Government offers for industry.
- e) If the insurance companies are using the new technologies, the staff will have to be imparted the necessary skills. It is possible that some of them will be found to be redundant because the systems will be able to function with lesser staff and because some of them may find it difficult to adjust to the new technology.
- f) Technology will make it possible for employees to work from home. Yet Hybrid model of a judicious combination of working from home and working from office is being preferred currently.
- g) The prospects for insurance companies in rural areas seem to be bright in the immediate future. Both access and service are likely to become easier with the availability of technology. HR departments will have to ensure that the employees are ready to take full advantage of the same.
- h) Some surveys show that the three biggest HR challenges in the future will be:
 - i. Rewarding and retaining the best employees
 - ii. Developing the next generation of corporate leaders
 - iii. Creating a corporate culture that attracts the best employees
- i) Indian companies are increasingly operating in other countries. Foreign companies are operating in India. The involvement of foreign personnel will

affect the HR functions in the matter of Communications. Interpersonal relations are built through communications.

Key Terms

- a) Commuting
 - b) Demographic
 - c) Digital
 - d) Dynamic
 - e) Generation X / Y
 - f) Global Operations
 - g) Hadoop
 - h) Rural Development
 - i) Technology
-

Answers to Test Yourself

Answer 1

The correct option is I.

Self-Examination Questions

Question 1

What is meant by the term IoT:

- I. Interconnectivity of Telephones
- II. Image of Things
- III. International- operations of Telecommunication
- IV. Internet of Things

Question 2

Aadhar is used for :

- I. Digital inclusion
- II. Reduce the role of middlemen
- III. Avoid leakages in money transfer
- IV. All of the above

Question 3

In the acronym JAM, what does 'M' stands for?

- I. Money
 - II. Market
 - III. Mobile phones
 - IV. Mandate
-

Answers to Self-Examination Questions

Answer 1

The correct option is IV.

Answer 2

The correct option is IV.

Answer 3

The correct option is III.
